

Notice under section 31(5) of the Arbitration and Conciliation Act 1996 as amended by the A&C Act of 2015(3 of 2016)

Before

The Arbitral tribunal of Er. Harnam Singh

Sole Arbitrator

(Retd. Special Director General, CPWD)

House No 5379, Block F, Aerocity, Mohali-140306

Email: erhsingh07@gmail.com

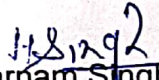
+91-9478663111

CASE NO ARB/HSI/ASR CPWD/BFD-SM/
.07.2025

Dated 04

M/s Satinder Mahajan		: Claimant
And		
UOI (Through Executive Engineer, Border Fencing Division-II, CPWD, Amritsar)		: Respondent
Name of work	Construction of Culvert over river/Nallah along Indo-Pak Border in Amritsar sector (SH: C/o RCC Box Culvert at Dhinda Chaura FWD (Nomini Nala) in Gurdaspur sector and plugging the gap at GIN 66A in Amritsar sector (Package-III) .	
Agreement No	03/EE BFD-II/CPWD/ASR/2020-21	
Reference	Chief Engineer, BFZ, CPWD letter No. F.No. : 25/4/23/BFZ)A&C/Hindi Dated 25.07.2023	

- 1.0 Take note that the award in the matter has been made and signed by me today i.e on 4.07.2025
- 2.0 A signed copy of the Award has been retained as fees is yet to be paid by the parties
- 3.0 The Award in original along with other related papers has been retained with me.
- 4.0 The Copy of the Award will be dispatched once fee is paid by the parties.


Harnam Singh
Sole Arbitrator
4-07-2025

Enclosed: As above

To: By Speed Post/Courier

1.0 Executive Engineer
Border Fencing Division-II, Amritsar
CPWD, Amritsar

E-mail eebfd2asr@gmail.com

2.0 M/s Satinder Mahajan

Chamera Guest House (Old) , Patel Nagar, Pathankot, 145001

E-mail Ashish_mahajan89@yahoo.com

mob no - 98723-34930

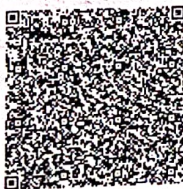


सत्यमेव जयते

INDIA NON JUDICIAL Government of Punjab

e-Stamp

Certificate No. : IN-PB50573417957978X
Certificate Issued Date : 03-Jul-2025 12:49 PM
Certificate Issued By : pbkulwinu
Account Reference : NEWIMPACC (SV)/ pb7016204/ KHARAR/ PB-SN
Unique Doc. Reference : SUBIN-PBPB701620499091358085124X
Purchased by : ASHISH MAHAJAN UID 4738 1576 2606
Description of Document : Article 12 Award
Property Description : NA
Area of Property : Not Applicable
Consideration Price (Rs.) : 0
 (Zero)
First Party : SATINDER MAHAJAN
Second Party : UNION BANK OF INDIA
Stamp Duty Paid By : SATINDER MAHAJAN
Stamp Duty Amount(Rs.) : 500
 (Five Hundred only)
Social Infrastructure Cess(Rs.) : 0
 (Zero)
Total Stamp Duty Amount(Rs.) : 500
 (Five Hundred only)



Please write or type below this line

In the matter of Arbitration between:

**M/s Satinder Mahajan
Vs**

**Union of India (Through Executive Engineer, Border Fencing Division-II, CPWD,
Amritsar)**

Agreement No. 03/EE BFD-II/CPWD/ASR/2020-21

Case No. ARB/HSI/ASR CPWD/BFD-SM/

Page 1 of 183

IPF

**Harnam Singh
Sole Arbitrator**

Statutory Alert:

1. The authenticity of this Stamp certificate should be verified at www.sholestamp.com or using e-Stamp Mobile App of Stock Holding. Any discrepancy in the details on this Certificate and as available on the website / Mobile App renders it invalid.
2. The onus of checking the legitimacy is on the users of the certificate.
3. In case of any discrepancy please inform the Competent Authority.



Scanned with OKEN Scanner

Name of Work: Construction of Culvert over river/Nallah along Indo-Pak Border in Amritsar sector (SH: C/o RCC Box Culvert at Dhinda Chaura FWD (Nomini Nala) in Gurdaspur sector and plugging the gap at GIN 66A in Amritsar Sector (Package-III)

Agreement No. 03/EE BFD-II/CPWD/ASR/2020-21

1. Whereas I, Harnam Singh, have been appointed Sole arbitrator by CE, BFZ Delhi, CPWD, vide letter No. F.No.: 25/4/23/BFZ/A&C/Hindi Dated 25.07.2023 (Received through Speed post/ email in the matter mentioned above to adjudicate disputes. I have sent my disclosure under section 12(1) a and b.
2. Claimants have submitted their waiver agreement under 12(5). Respondent requested to file his waiver under section 12(5) as per Performa.
3. A preliminary hearing was held on 8.11.2023 to fix timelines and procedure.
4. Hearing was attended by Sh. Ajmer Singh EE from Respondent side, Sh. Ashish Mahajan and Sh. RK Sheetal from Claimant side.
5. Claimant has submitted SOC on 22.1.24. SOD was to be submitted by Respondent up to 10th March 2024 which has been submitted on 15.5.24
6. Claimant filed Rejoinder on 9.8.24 and have submitted their admission and denial.

PREAMBLE:

7. Tender for the work relating to "C/o Culvert over river / nallah along Indo-Pak Border in Punjab Sector. (SH:- C/o RCC Box culvert at Dhinda & Chaura FWD (Nomini Nala) and Bemial in Gurdaspur Sector & Plugging the gap at GIN 66(A) in Amritsar Sector (Package-111)" was invited by the Respondent.
8. The Claimant analysed the commercial viability for submitting tender pursuant to the Notice Inviting Tender and after considering the fact that the Respondents are an instrumentality of the Central Govt. Organization, the Claimant felt assured that if it submitted the tender and was awarded the contract, the Respondent will discharge their obligations fairly within the period in accordance with Law for completion of work within the scheduled period.

9. Accordingly, the Claimant submitted the tender, on the representations of the Respondent that timely payment shall be made to the Claimant for the works done and also timely handing over of site free from obstructions for work and drawings and designs, decisions to be provided to the Claimant enabling it to complete the work within a stipulated time frame.
10. Claimant quoted the rate for the specified quantities to be completed within the specified period and submitted tender for the aforesaid Work. It was accepted vide Respondent's Letter of Acceptance dated 16.06.2020 (Exh -CI) at tendered amount of Rs. 11,18,42,877/- and the period fixed for completion was 320 days commencing from 07.07.2020 and ending with 22.05.2021.
11. Thereafter, the Claimants submitted the requisite performance guarantee as per the amount mentioned in the award letter and following that a formal agreement was executed between the above named parties.
12. Upon receipt of Letter of Acceptance dated 16.06.2020, the Claimant forthwith arranged its resources and deployed the same at Site with a view to carry on and complete the work by the date fixed for completion i.e. 22.05.2021. However, it was prolonged and the work was illegally determined on 18.08 2021 This is to state that none of the causes resulted in prolongation of the Contract attributable to the Claimant.

Salient Features:

1	Name of work:	C/o Culvert over river nallah along Indo-Pak Border in Punjab Sector. (SH: - C/o RCC Box culvert at Dhinda, Chaura FWD (Nomini Nala) and Bemial in Gurdaspur Sector & Plugging the gap at GIN 66(A) in Amritsar Sector (Package-111)
2	Agreement No.	03/EE BFD-II/CPWD/ASR/2020-21
3	Last date of submission of tender:	17.03.2020

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

4	Estimated cost put to tender: tender:	Rs.11,89,05,887/-
5	Tendered amount	Rs 11,18,42,877/-
6	Stipulated date of start:	07.07.2020
7	Shifted date of start ..	28.08.2020
8	Stipulated date of completion:	22.05.2021
9	Shifted date of completion ..	13.07.2021
10	Time allowed for completion.	320 days
11	Actual date of completion of work	Work determined on 18.08.2021
12	Total delay in work	88 days (Up to 18.08.2021)
13	Final bill submitted on	07.03.2022 (Exhibit C-80)
14	Final bill paid on (Civil work):	27.03.2022(Exhibit C-85)
15	Amount of final bill paid ..	Rs. 2,92,20,158/-
16	EOT granted with levy	Rs. 38,25,026/-for 105 days
17	Undertaking given by the Claimant was withdrawn on:	04.01.23, 02.02.23 25.02.2023 (Exh.-C-71, C-72, C-73)
18	Request made for DRC ..	20.03.2023
19	Decisions of DRC ..	31.05.2023 (Exh. -C-73)
20	Clause 25 invoked on ..	<u>22.06.2023 (Exh. -C-74)</u>
21	Arbitrator appointed on ..	25.07.2023 (Exh. -C-75)
22	Arbitrator held preliminary hearing for fixing timelines	08.11.2023

Hearing held in the case

13. Hearings held in the above case on 23.9.24, 24.9.24, 27.12.24, 28.12.24, 14.2.25, 15.2.25 when claimants submitted his oral arguments. Respondents submitted his arguments on 19.5.25 and 20.5.25. Claimants submitted their rejoinder arguments on 2.6.25 and 3.6.25. Both the parties submitted that they concluded their arguments and they have nothing more to say in the matter. Both the parties agreed to submit written synopsis by 16.6.25. Claimant submitted his written synopsis on 16.6.25 and respondents submitted his synopsis on 20.6.25. Now after completion of hearings and written submission by both the parties I go to analyse the preliminary submissions, preliminary objections and claims of the claimant and counter claim of the respondent. Additional documents pertaining to work like MAS account, correspondence regarding EOT case, location wise measurements of works executed and details of balance works awarded after determination of contract were sought from respondents for proper adjudication of disputes. These documents were supplied by respondents on different occasions after initially showing resistance that these documents do not pertain to disputes of the claimant. Documents like MAS account, steel register, copy of passed bills along with measurements and agreement of balance work of "RCC Box Culvert at Bemial and Chaura FWD" and Balance work for Dhinda was submitted before last hearing on 2nd June'2025. After completion of hearing and submission of written submissions by both the parties I go to analyse the claims.

Preliminary Submissions by the Claimant

14. **Introduction** The Claimant asserts that the delays in the completion of the contract work were solely and unequivocally caused by the Respondent. These delays arose from acts of omission and commission on the Respondent's part, resulting in the inability of the Claimant to fulfil its contractual obligations within the stipulated time frame. The responsibility for the project delays rests entirely with the Respondent, as detailed in the following sections.

Chronology of Delays and Hindrances

Initial Delays in Start Date and Site Handing Over

15. Despite the initial start date of **07.07.2020**, the Respondent delayed the issuance of structural drawings and failed to hand over a clear site for work. The start date was shifted to **28.08.2020**, with the revised completion date moved to **13.07.2021** (Exhibit C-15).
16. The delay in taking up foundations work was caused by unresolved design issues, such as the change from raft to RCC pile foundation at the Chaura site and other design changes at Dhinda and Bemial (Exhibits C-12, C-14, and C-26).

Hindrances During Project Execution

17. Persistent delays in issuing "Good for Construction" drawings further hindered progress. Initial structural drawings were issued belatedly for different sites (Exhibit C-13). Revised drawings, with errors requiring rectification, were not provided until **22.12.2020** (Exhibit C-26), which critically impacted project timelines. Hindrances on this account has not been carefully and reasonably considered by the respondent.
18. Claimant submitted details of major changes in the drawings as per his rejoinder as below:

Major changes made in the Revised drawings issued on 22.12.2020:

Bamial Site:

DRAWING No. 1/3

- a) Span increased from 60.85m to 66.75m;
- b) Apron upstream increased from 3.80m to 4.20m;
- c) Design of Piers changed;

DRAWING No. 2/3

- d) RCC Pier size decreased from 0.85m to 0.75m. Extra rings of 16mm dia@ 200mm c/c introduced and making and fixing of 16mm dia rings was time

consuming. Unless the Reinforcement of the Piers was not binded/erected, the RCC Raft could not have been casted;

DRAWING NO. 3/3

e) Wing wall changed from Cement concrete to RCC & size of wall was also changes;

f) Curtain walls design and size changed:

Downstream Width changed from 1.30m to 1.65m
 Depth changed from 2.50m to 3.50m

Upstream Width changed from 1.65m to 1.30m
 Depth changed from 3.60m to 2.50

CHANGE IN CULVERT DIMENSIONS/SIZE:

	Descriptions	Descriptions	As per Revised Drawing
1	Length of culvert	61.75m	66.75m
2	No. of spans	10	11
3	Clear ht. of Pier	4.60m	6.25m
4	Depth of excavation For raft	1.25m	6m to 9m

Dhinda Site:

DRAWING No. 1/3

- a) Span increased from 72.85m to 78.75m;
- b) Apron upstream increased from 3.70m to 4.20m;
- c) Design of Piers changed;

DRAWING No. 2/3

- d) RCC Pier size decreased from 0.85m to 0.75m. Extra rings of 16mm dia@ 200mm c/c introduced and making and fixing of 16mm dia rings was time consuming. Unless the Reinforcement of the Piers was not binded/erected, the RCC Raft could not have been casted;

DRAWING NO. 3/3

- e) Wing wall changed from Cement concrete to RCC & size of wall was also changes;
- f) Curtain walls design and size changed:
- | | | |
|------------|--------------------|----------------|
| Downstream | Width changed from | 1.30m to 1.65m |
| | Depth changed from | 2.50m to 3.50m |
| Upstream | Width changes from | 1.65m to 1,30m |
| | Depth changed from | 3.60m to 2.50 |

CHANGE IN CULVERT DIMENSIONS/SIZE:

	Descriptions	Descriptions	As per Revised Drawing
1	Length of culvert	61.75m	78.75m
2	No. of spans	10	13
3	Clear ht. of Pier	4.60m	7.00 m
4	Depth of excavation For raft	1.25m	6m to 9m

Chaura site:

DRAWING No. 1/3

- g) Span changed from 31.75m to 30.75m;
- h) Apron upstream increased from 3.70m to 4.20m;
- i) Design of Piers changed;

DRAWING No. 2/3

- j) RCC Pier size decreased from 0.85m to 0.75m. Extra rings of 16mm dia@ 200mm c/c introduces and making and fixing of 16mm dia rings was time consuming. Unless the Reinforcement of the Piers was not binded/erected, the RCC Raft could not have been casted;

DRAWING NO. 3/3

- k) Wing wall changed from Cement concrete to RCC & size of wall was also changes;

- l) Curtain walls design and size changed:

Downstream Width changed from 1.30m to 1.65m
 Depth changed from 2.50m to 3.50m

Upstream Width changes from 1.65m to 1,30m
 Depth changed from 3.60m to 2.50

CHANGE IN CULVERT DIMENSIONS/SIZE:

	Descriptions	Descriptions	As per Revised Drawing
1	Length of culvert	31.75m	30.75m
2	No. of spans	5	5
3	Clear ht. of Pier	5.53m	6.25m
4	Depth of excavation For raft	1.25m	RCC piles foundation of 10m depth

19. Above details of changes in drawings on revision show that there were considerable changes and progress of was affected badly and many components of work at three sites were to be halted waiting for revision of drawings. At many locations work was held up at foundation stage only which means that no other activity of work was possible. All these factors resulted into idle/under utilisation of machinery and equipment and prolongation of contract.

20. The Respondent also delayed decisions on significant matters like surplus excavated earth disposal and extra deviation items, forcing work stoppages at key intervals.

Environmental and Security Issues

21. Heavy rains and water flow in the project area obstructed early geotechnical surveys from **July to September 2020**. This issue, documented in multiple correspondences (Exhibits C-4 to C-7), was entirely beyond the Claimant's control.
22. Security measures at the border further disrupted work due to fog and non-removal of obstacles like trees and old bunkers at project sites (Exhibits C-16, C-19, C-21, and C-28).

Impact of the COVID-19 Pandemic

23. The COVID-19 pandemic caused widespread disruptions, including labour shortages and restricted material availability. The Ministry of Finance provided guidance for extensions for such delays through O.M. dated **13.05.2020** and **25.06.2020** (Exhibit C-2), yet the Respondent failed to account for this disruption.

Delayed Payments for Work Executed

24. Payments for Running Account (R/A) bills were delayed excessively. Measurements for completed work were not verified in a timely manner by the Respondent, further obstructing project progress.

Compensation Levied by the Respondent

25. A compensation of ₹38,25,026 was imposed on the Claimant for an alleged delay of **105 days**, despite clear evidence of justified hindrances submitted by the Claimant (Exhibit C-47). This action disregarded clause-29(i) of the contract, which limits the Respondent's authority to withhold only amounts in dispute pending arbitration.

Illegal Recoveries and Forfeitures

26. The Respondent unlawfully forfeited the following amounts upon the determination of the contract:
- **Earnest Money Deposit**
 - **Security Deposit** (cumulative recovery in final bill and earlier deductions)
 - **Performance Guarantee** in the form of Bank Guarantee amounting to ₹55,92,144/-.

Deviated and Extra Items

27. The Respondent unilaterally disallowed or undervalued deviation and extra items legitimately executed by the Claimant. Rate analyses for such items submitted in a timely manner were ignored, as evidenced by the Claimant's submissions dated **07.03.2022** (Exhibit C-80).

Legal Basis and Precedents

28. Clause-5.2 of the contract explicitly addresses unforeseen delays beyond the Claimant's control. However, the Respondent failed to adequately apply these provisions.
29. The Supreme Court in *Durga Charan Rautary vs State of Orissa* (AIR 2012 SC 442) upheld that arbitration rights persist even after final bill submissions, supporting the Claimant's stance.

Conclusion and Relief Sought In light of the aforementioned points, the Claimant seeks relief for:

- Full reimbursement of withheld and forfeited amounts, totalling ₹63,22,648 (₹55,92,144/- PG & ₹730504/- Security Deposit)
- Revocation of the unjustified compensation of ₹38,25,026.
- Payment for all extra and deviation items disallowed or underpaid.

- Compensation for financial losses and prolonged project duration caused solely by the Respondent.

Preliminary Objections and preliminary submissions by the Respondent.

Preliminary Objections

30. That the respondent submits that the claimant has not fulfilled the contractual obligations of his part and in spite of regular persuasion by the Respondent, the claimant did not pace up the work. Therefore, the claimant was given show cause notices under Clause 3 (a) and (b) and Clause 2 of the Agreement.
31. The Respondent is entitled to forfeit the Performance Guarantee and Security Deposit as per clause 3(a) of the Agreement, which states that Upon such a determination, Security Deposit already recovered and Performance Guarantee under the Contract shall be liable to be forfeited and shall be absolutely at the disposal of the Government".
32. After determination of the contract the claimant was requested several times to submit joint measurements duly signed by both the parties and final bill prepared on these measurements as per clause 6 the agreement The final bill dated 7.3.22 submitted by the claimant was unilaterally prepared and was without joint measurement signed by both the parties. In absence of proper final bill from the claimant, final bill was prepared by the respondent at his end on 26.3.2022 and payment made to the claimant vide voucher no 52 dated 27.3.22(R-69), Nevertheless, all the due payments have already been paid to the claimant by the respondent through various Running Account Bills as well as the final bill dated 26.3.2022 as per clause 6 of the Agreement.
33. Thus, in the light of the same, there cannot be any further claim or dispute to be referred to the Arbitrator.

Preliminary objections on grounds of section-55 & 73 of the Indian Contract Act.

34. It is submitted that the law of contractual damage is governed by the Section 55 & Section 73 of the Indian Contract Act. This section provides that in order to be eligible to receive such damages, the party who suffers losses due to breach of contract, will give notice of his Intention to claim compensation, to the party who is responsible for causing such damages at the earliest possible time when such damages is suffered or expected to be suffered This section aims to alert the breaching party and give him an opportunity to contain or avoid such damages. It also affords an opportunity to breaching party to contest the claim of damages lodged by the party giving such a notice.
35. Thus, it is clear that in order to claim such damages, certain conditions need to be essentially fulfilled by the claimant as follows:
- a) Proof of definite breach of contract on the part of other party which caused loss to the claimant;
 - b) Notice under section55 to the other party at the appropriate time about suffering of loss or damage;
 - c) Proof of sufferance of such damage and its quantum;
 - d) Efforts made by the claimant to mitigate such losses; and
 - e) The loss arose naturally in the usual course of things from such breach or the party knew when they made the contract, to be likely to result from the breach of it, meaning liable to be that the losses are not indirect or remote.
36. As all the claims of the claimant are damages or loss and are compensatory in nature, which are related to the prolongation of contract.
37. Thus, the claimant is not entitled to the claims of damage or loss as he did not fulfil any of the conditions which are the necessary pre- requisites for claiming damage or loss.

Preliminary Submissions:

38. It is well settled law of land that once the contract is executed between the parties, the same is binding upon both the parties equally and in its true manner. Therefore, the claims of the claimant should be restricted within the terms and conditions of the contract executed between the parties. It has been gathered from the contents of the claims submitted by the Claimant that they have unnecessarily raised the points which are not otherwise admissible as per the law and contract provisions.
39. The claimant has submitted the statement of claims on 22.01.2024. The statement of defence and counter statement of claims has been prepared on the basis of facts and documents annexed herewith.
40. The parawise reply to the submissions made by the Claimant in the Statement of Claims is submitted as under:

Reference to the matter of Arbitration:

Matter of record.

Formation of Contract

41. B.1 Matter of record.
42. B.2 The respondent being the Central Government Organization always discharges its obligations fairly within the period in accordance with law for completion of work within the scheduled period.
43. B.3 The payments for the work done to the claimant by the Respondent was always made as per provisions of the Agreement. Also, obstruction free sites were handed over to the claimant for work and drawing and design, all decisions were provided to the claimant timely to enable him to complete the work within a stipulated time frame.
44. B.4 The claimant quoted the rates for the specified quantities as per Clauses of the Agreement to be completed within the specified period and submitted tender for the aforesaid work. It was accepted vide Respondent's Letter of Acceptance dated

16.06.2020 (R-1) at tendered amount of Rs.11,18,42,877/- and the period fixed for completion was 320 days commencing from 07.07.2020.

45. B.5 Thereafter, the claimant submitted the requisite performance guarantee amounting Rs.55,92,144/- on 25.06.2020 and following that a formal agreement was executed between the above named parties.
46. B.6 After issuance of Letter of Acceptance dated 16.06.2020, the claimant was requested many times to submit the completion programme so that work could be completed by the stipulated date i.e. 22.05.2021. However, the claimant submitted the completion programme on dated 08.08.2020 to complete the work within the stipulated time. The claimant was requested many times to expedite the progress of the work and deploy the required resources like T&P, man, machinery etc. but the claimant always failed to achieve the targets as per the completion programme. A number of letters were written to the claimant for the slow progress, non-deployment of machinery, manpower and other required resources. This is to state that none of the causes attributable to the Respondent resulted in prolongation of the contract. Due to the failure of the claimant in achieving the targets in respect of progress of work as per programme for completion of work submitted by them, a show cause notice under Clause 3 (a) and (b) of the Agreement for slow progress of the work was issued to him vide letter dated 11.06.2021 (R-48). In this regard, the reply of the show cause notice dated 25.06.2021 submitted by the claimant to the Respondent which was not found satisfactory by the Respondent. Hence, the contract was duly determined by the Respondent under Clause 3 of the General Conditions of the Contract 2020 vide letter dated 18.08.2021(R-64).
47. C3.2 That the delay in completion of work is solely attributed to the claimant. The assigned work was time bound with target date of completion 22/05/2021 but on the request of the claimant the date of start was shifted to 28/08/2020 and date of completion to 23/07/2021 vide respondent letter No. 757 dated 05/10/2020 (R-19). It is a false statement of the claimant that the Respondent approved EOT and shifted the date of start of the work due to non-issuance of structural drawings for the work

and non-handing over of the sites. The claimant itself submitted an undertaking to the Respondent for shifting date of start and actual date of handover of the site vide his letter No. Nil dated 18.9.2020 **due to unprecedented floods and thus sites became unapproachable**. Hence, the Competent Authority as per Para No. (XIV) General condition of contract Para No. 10/GCC/2020 & Clause-5 (iii) of Schedule 'F' of the agreement vide letter No. 757 dated 05/10/2020(R-19), shifted the date of start **as per actual date of handover of the site**. The claimant was requested several times to submit the completion programme vide letter Nos. 421 dated 14.07.2020 (R-4), letter No 454 dated 21.07.2020 (R-5), etc. The completion programme was submitted by the claimant vide his letter No. Nil dated 07.12.2020 but the same was not as per the revised actual date of start i.e. 28.08.2020, so the claimant was again requested vide respondent letter No. 1096 dated 28.12.2020 (R-26) to resubmit the completion programme as per the actual date of start i.e. 28.08.2020. The claimant was also requested in the letter to deploy sufficient number of manpower, machinery and materials so that the works could have been executed before the monsoon season. The claimant was provided the structural drawings for RCC Box culverts in r/o Bemial, Chaura Fwd (Nomini Nallah) and Dhinda vide respondent letter No. 697 dated 21/09/2020 (R-9). The revised structural drawings (GFC) in r/o Bemial, Chaura Fwd (Nomini Nallah) and Dhinda were issued to the claimant vide respondent letter No. 1028 dated 15.12.2020 (R-23). The claimant was also requested to submit the completion programme as well as for carrying out the survey for river profile (at culvert) on upstream & downstream side, Geotechnical survey i/c SPT report for all culverts and detail of technical representative deputed at site as per clause 32 of the GCC vide respondent letter no. 23 (21)/EE/BFD41/CPVVD/2020.21/574 dated 21 08 2020 (R 15) and also requested to speed up the progress of the work

48. In spite of regular persuasion, no noticeable progress was made by the claimant as per completion programme (Bar chart) submitted by him and the same was conveyed vide letter No. 11/CPWD/2020-21/495 dated 11.6.2021 (R48). During the inspection of QC, it was also noticed that the progress was not satisfactory and was

conveyed vide letter even No. 232 dated 06.03.2021 (R-32). The work was also inspected by AE (QC) on dated 17.02.2021 and 18.02.2021 and also found the progress of the work was not satisfactory. Hence, a show cause notice was issued vide respondent letter dated 11.06.2021 (R-48) to the claimant under Clause 3 of the Agreement for wrongful delay/suspension of work and slow progress of the work. Reply of the show cause notice was given by the claimant vide letter dated 25.06.2021 which was not found satisfactory by the Respondent. Hence, action against the claimant under clause 3 of GCC was initiated vide respondent letter dated 18.08.2021 (R-64).

49. The Hindrance enlisted by the claimant were appropriately examined by the Superintending Engineer who is the competent authority as specified in the Schedule 'F' of the agreement as agreed both the parties under the contract while deciding their case of extension of time. After considering the justifiable Hindrances, delay of 105 days was found attributable to the claimant till date of determination of contract based on the progress of work on that date.
50. Accordingly, compensation of delay of 105 days was levied as per clause 2 of the General Condition of the Contract vide letter dated 21.03.2022 (R-67A).
51. C-3.3 From the starting of the work, the progress of the work was very slow. The same was conveyed to the claimant so many times. The claimant was requested vide respondent letters dated 22.02.2021 (R-30), dated 6.3.21(R-32), dated 16.03.2021 (R 34), dated 18.03.2021(R-36), dated 06.04.2021(R 37), dated 19.04 .2021 (R 38), dated 21.04.2021 (R39)), dated 30.4.21 (R 41), dated 12.5.21 (R43), dated 13.05.2021 (R 44), etc. to execute the work with appropriate pace on all sites i.e Dhinda, Bemial and Chaura Fwd by deploying more resources manpower, required materials for execution of work, fabrication and procuring the other items like gates, gabion materials and steel etc. and fencing work of Dariya Mansoor. The location wise observations, slow progress and non-execution of work as per completion programme submitted, submission of extra items etc. were also conveyed to the claimant vide letter dated 06.03.2021 (R-32). From the above, it is

crystal clear that the claimant failed to achieve the progress of work as per programme submitted by him.

52. It is not true that respondent while making payment of the final bill disallowed most of the extra items & paid lesser rates in the extra/deviated items. The claim made by the claimant in the final bill submitted by them very highly. This was intimated to the claimant vide letter dated 18.03.2021 (R-36), 12.05.2021 (R-43), 13.05.2021 (R-44), 21.06.2021 (R-51) & 22.06.2021 (R-52). Nevertheless, the rates of all extra/deviated items were fixed by the respondent after examining the Analysis of rates submitted by them and their admissibility as per clause 12 of the General Condition of Contract and as per relevant standard Analysis of rates given in MORTH Standard Data Book or Delhi Analysis of rates, as per their applicability. Further, all their legitimate payments were release by the respondent in the final bill dated 26.03.2022 paid on 27.03.2022 (R-69).
53. Their contention that they were not associated in finalization of rate of extra/deviated items is also not correct. Copies of all approved rates analysis were sent to them time to time.
54. Hence, the claimant had been paid justified/legitimate rates for the work done as per agreement provisions.
55. C-3.4 It is no true that there was justified prolongation of contract for 444 days. The stipulated date of start & completion of work were 7.7.2020 & 22.05.2021 respectively with allowed time period of completion as 320 days. However, based on the request of the claimant, the date of start of the work was shifted to 28.08.2020 & due date of completion as 23.07.2021. In spite of this generous gesture of the respondent, the claimant could complete the work amounting to Rs.2,92,20,158/- **only till date of determination of contract i.e. after 26 days of the extended due date of completion.** All the justified hindrances have already been considered while deciding the EOT case by the Superintending Engineer BFC-II, CPWD, Ferozpur.

Delay/Loss on account of:

Delay Non handing of over site/clear site for work in time

56. The following points substantially show that the slow progress in the work was entirely due to the claimant:
57. D-4.1.1 All the sites were shown to the claimant and were handed over on the same day as conveyed to him vide letter No. 23(21)/EE/BFD11/CPWD/2020-21/501 dated 05/08/2020 (R-7). However, on the request of the claimant the stipulated date of start & date of start was shifted to 28/08/2020 and due date of completion to 23/07/2021 vide respondent letter No.23(21)/EE/BFD-II/CPWD/ 2020-21/757 dated **05/ 10/2020 (R-19)** as per provisions of the Agreement.
58. The claimant was requested several times to submit the completion programme vide letter Nos. 421 dated 14.07.2020 (R-4), letter No. 454 dated 21.07.2020 (R-5), etc. The completion programme was submitted by the claimant vide his letter No. Nil dated 07.12.2020 but the same was not as per the revised actual date of start i.e. 28.08.2020, so the claimant was again requested vide respondent letter No. 1096 dated 28.12.2020 (R-26) to resubmit the completion programme as per the actual date of start i.e. 28.08.2020 and was also requested to deploy sufficient number of manpower, machinery and materials so that the works can be been executed before the monsoon season. The claimant was provided the structural drawings for RCC Box culverts in r/o Bemial, Chaura Fwd (Nomini Nallah) and Dhinda vide respondent letter No. 697 dated 21/09/2020 (R-9). The revised structural drawings (GFC) in r/o Bemial, Chaura Fwd (Nomini Nallah) and Dhinda were issued to the claimant vide respondent letter No. 1028 dated 15.12.2020 (R-23). The claimant was also requested to submit the completion programme as well as for carrying out the survey for river profile (at culvert) on upstream & downstream side, Geotechnical survey i/c SPT report for all culverts and detail of technical representative deputed at site as per clause 32 of the GCC vide respondent letter

- no. 574 dated 21.08.2020 (R-15) and also requested to speed up the progress of the work.
59. In spite of regular persuasion, no noticeable progress was made by the claimant as per completion programme (Bar chart) submitted by him and the same was conveyed vide letter No. 495 dated 11.06.2021 (R-48). During the inspection of QC on dated 17.02.2021 and 18.02.2021 and it was also noticed that the progress was not satisfactory and was conveyed vide letter even No. 232 dated 06.03.2021 (R-32).
60. D•4.1.2 All the sites were shown to the claimant and were handed over on the same day as conveyed to him vide letter No. 501 dated 05/08/2020 (R7) as informed by the AE-in-charge.
61. D-4.1.3 Reference is made to this office letter No 582 dated 24/08/2020 (R-16). Where it was informed that as per Additional Condition No. 13 of the Agreement, "In the rainy or any other season the roads leading to site becomes muddy and flow of water in nallahs increases hence keeping in view all the points the completion programme may be planned accordingly. No claim whatsoever will be entertained on this account" Beside these conditions it is expected from the claimant to have such knowledge for submission of bid as the work pertains to C/o culvert over river nallah where inundation of site is common.
62. D-4.1.4 Reply to the claimant was given vide respondent letter Nos.421 dated 14.07.2020 (R-4), 454 dated 21.07.2020 (R-5) and 501 dated 05.08.2020 (R-7).
63. D-4.2 Delay in issues of Goods for construction Drawing and revision of Foundation designs:
64. D-4.2.1 Matter of record
65. D-4.2.2 The claimant submitted the completion programme vide his letter No. Nil dated 08.08.2020. The claimant was advised vide letter No. 1005 dated 05.12.2020 (R-20) to deploy more men, material and T&P, etc. and intimated to the claimant that the progress of the work is very slow up to November 2020 and not as

per the completion programme. All site were hindrance free and the claimant was asked to start the work at once on the sites vide respondent letter No. 501 dated 05.08/2020 (R7).

66. D-4.2.3 Revised structural drawings were issued to the claimant vide letter No. 1028 dated 15.12.2020(R-23), There was no hindrance due to revised drawing, In revised drawing Bemial & Dhinda only one additional cell/ box is added and at Choura (FWD) additional pile foundation is provided. It was also conveyed vide letter No. No. /07 dated 05.1.21 (R27) to the claimant to speed up the progress of the work and the detail of the letter is not reproduced here due to sake of brevity. The claimant was also directed to deploy more resources, materials, machinery etc. on the sites to complete the work within stipulated date of completion.
67. D-4.3 Delay/Slow progress of work due to Fog at and around the work sites at border area and non-removal of trees/ old bunker from the site:
68. D-4.3.1 No work was affected due to stoppage of work by BSF due to Fog at GAP-66A during winter days at the border locations for security reasons. The Ld. Arbitrator may refer **Additional Point 4 at page No. 32 of General Conditions of Agreement** (to be noted by the claimant before quoting the rate for which nothing extra shall be paid). In this regard, which envisages that "On account of security consideration, there could be some restrictions on the working hours, movement of vehicles for transportation of materials nothing extra shall be payable on this account or due to less/reduced working hours etc. the claimant shall be bound to follow all such restrictions and adjust the programme for execution accordingly". Hence, the claimant must have submitted the tender after taking into consideration the above referred condition of NIT.
69. D-4.3.2 For clearing trees at site of chaura, nothing is to be payable to the claimant as per conditions of agreement. Please refer "Special Condition 3(vi) at page no 37 of the Agreement, scope of work will include regular clearnce of rubbush, reinstatement and cleaning-up of site as may be required during execution or on completion of works".

70. The same was also conveyed to the claimant vide letter No. 1111 dated 31.12.2020 (R-25). From 24.09.2020 to 03.11.2020 no work was done by the claimant as an abandoned bunker held up the work at the site of Bemial, whereas the abandoned bunker was cleared within 2-3 days(R-54) dated 3.7.21 & there was no hindrance due to this for earth work in excavation.

D-4.4 Delay in work due to COVID-19 Pandemic:

71. D-4.4.1 Matter of record. However, justifiable delay on this account has already been considered while deciding the EOT Case.
72. D-4.4.2 As per para 5 of O.M. No. F.18/4/2020-PPD dated 13.5.2020, " It is further clarified that invocation of FMC does not absolve all non-performances of a party to the contract, but only in respect of such non-performance as is attributable to a lockdown situation or restrictions imposed under any Act or executive order of the Government/s on account of COVID-19 global pandemic." It is stated that the competent authority has imposed the compensation for wrongful and unjustified delay of 105 days for Rs.38,25,026/- under the provisions of Clause 2 of the Agreement vide letter dated 21.03.2022 (R-67A). This factor has already been considered while deciding the EOT case.
73. D-4.5 Delay due to payment not made in time of R/A bills.
74. D4.5.1 The Respondent provided the claimant approved drawings and designs to execute the aforesaid work but the claimant always failed to achieve the targets as per completion programme submitted by him.
75. D-4.5.2 The claimant was paid all justified per agreement timely for the work done by him. It is false and fabricated fact that the claimant submitted 6th and final bill on 07.03.2022. In this regard, please refer to AE letter No. 807 dated 7.10.22 (R-59), No. 221 dated 18.10.21(R-60), No. 233 dated 26.10.21(R-61), 861 dated 28.10.21 (R-62), No.23(21)/EE/BFD-II/CPWD/ASR/2021-22/89 dated 4.2.22, No.23(21)/EE/BFD-II/CPWD/ASR/2021-22/149 dated 22.2.22, 200 dated 15.3.22 (R-66).

76. As above, the claimant was requested several times to submit the final bill as per clause 6 of the agreement and was also provided soft copy of the measurements to check and verify the same but the claimant did not turn up for the same. However, the final bill was passed by the Respondent on dated 26.03.2022 & paid to the claimant vide voucher No. 52 dated 27.03.2022 (R-69). The details of timely payment of running account bills and 10 CA is as under: -

SI. No.	R/A Bill No.	Date of submission of bill	Date of payment
1.	1st R/A	25.11.2020	05.12.2020
2.	2 nd R/A	14.03.2021	15.03.2021
3.	3 rd R/A (Adv.)		30.03.2021
4.	4th R/A	12.04.2021	11.06.2021
5.	5th R/A	30.07.2021	31.07.2021
6.	6th R/A	26.03.2022	27.03.2022
7.	10 CA		11.06.2021

77. From the above it is clearly established that all the RA bills were paid within time prescribed as per Clause 7 of GCC.
78. D-4.5.3 During the currency of work the pace of execution of work at all the sites was remarkably slow and it was informed to the claimant through various letters as already detailed in previous paras. The reply given in above para may be read as reply of this para also. All the due payments were released within the time prescribed clause 7 of the GCC. The delay in checking of measurements, its finalization and submission of final bill is solely attributed to the claimant.
79. D-4.6. Illegal recovery and forfeited amounts contrary to contract provisions and levy of compensation
80. 4.6.1 It is a false statement of the claimant that the Respondent approved EOT and shifted the date of start of the work due to non-issuance of structural drawings for the work and non-handing over of the sites. The claimant itself submitted an undertaking to the Respondent for shifting of date of start and actual date of

handover of the site vide letter No. Nil dated 18.09.2020 due to unprecedented floods and unapproachable sites. Hence, the Competent Authority as per Para No. (XIV) General Condition of Contract Para No. 10/GCC/2020 & Clause-5 (iii) of Schedule F' of the agreement vide letter No. No.23(21)/EE/BFD-II/CPWD/ ASR/ 2020-21/757 dated 05.10.2020 (R-19) approved shifting of date of start **and actual handover of the site to 28.08.2020.**

81. D-4.6.2 The Respondent intimated the claimant about various types of hindrances submitted by him vide respondent letter No. No.23(21)/EE/BFD-II/CPWD/ASR/ 2021-22/550 dated 3.7.21 (R-54). The justified show cause notice was given to the claimant regarding non-achievement of targets, suspension and slow progress of the work and wrongful delays under Clause 3 (a) & (b) of the Agreement. The contact was determined by the respondent within his rights as the reply submitted by the claimant to the show cause notice issued under clause 3(a) & (b) was not found satisfactory. .
82. D-4.6.3 The claimant failed to secure completion of the work by the extended date of completion and hence the Respondent legally determined the contract as per powers delegated to him under Clause 3 of the Agreement vide letter dated 18.08.2021 (R 64) as the reply on the show cause notice of the was not found to the satisfaction of the Respondent. As a result of it, the Respondent forfeited the performance guarantee and security deposit amounts under Clause 3 of the Agreement.
83. D-4.6.4 After determination of contract, Respondent issued a letter dated 22.02.2022 to the claimant regarding submission of EOT Performa Part-I (Submission of EOT case). The claimant has applied for the EOT on prescribed proforma part-I" Application for Extension of Time-Part I" vide his letter dated 15.03.2022. A show cause notice was issued to the claimant under Clause 2 of the Agreement by the SE BFC11, FZR Letter No.23(420)/BFC-II/Ferozpur/2022/166-H dated 08.03.2022 (R-67). The reply of the show cause notice submitted by the claimant was not found satisfactory by the respondent unjustified and, thus, a

compensation of Rs.38,25,026/- was levied for unjustified delay of work. It is pertinent to mention here that as per agreed terms of the contract under clause 2 the competent authority specified in Schedule 'F' has decided & calculated the compensation amount of Rs.38,25,026/-. The compensation amount of Rs.38,25,026/- was validly recovered in 6th and final bill from the claimant.

84. D-4. 6.5 As brought out in previous para D-4.6.4, the respondents were well within their rights to recover the amount of compensation for delay levied on them by the competent authority as specified in Schedule 'F' i.e. the Superintending Engineer, BFC-II, CPWD, Ferozpur.
85. D-4. 6.6 This is to state that the claims raised by the claimant are false, fabricated and non-maintainable under the contract and in law and they are to be dismissed as being prayed herein in the Statement of Defence. In view of above, submissions of the claimant are false and denied.
86. V. (E) Re: Submission on prolongation of the Contract:
87. E.5.1 The contract was for a period of 320 days commencing from 7.7.2020 and ending with 22.05.2021 **The Respondent shifted the date of start of the work 07.07.2020 to 28 08 2020 on the request of the claimant due to COVID 19 and other hindrances mentioned by him.** The respondent time to time requested to the claimant to speed up the work to achieve the targets given in completion programme by them but they have always remained failed to do so. The site of Chaura Fwd was handed over to the claimant on 28.08.2020 and the sites of Bemial & Dhinda were handed over on 24.09.2020. All the "Goods for Construction" drawing supplied to the claimant well in time. There was never any manpower/staff, machinery and equipment, centering, shuttering, other etc. remained idle/under-utilized at the sites of work, due to non-decisions of the Respondent and various hindrances mentioned by the claimant. The Respondent wrote various letters to the claimant and some of such letters are annexed herewith, viz., letter dated 05.01.2021 (R-27), letter dated 25.01.2021 (R-28), letter dated 06.04.2021 (R-37), letter dated 12.05.2021 (R-43), letter dated 28.05.2021 (R-45), etc. The contract

had prolonged due to lack of mobilization of resources viz manpower, machinery and material. It is not true to say that there was delay only 88 days in completion of work the contract was determined on 18.08.2021 against due date of completion on 23.07.2021 as till date of determination of contract, the claimant could complete less than 25% of the contract amount. The claimant had taken 356 days in executing the work of this quantum for which only 126 days were required and permissible as per contract. Out of the additional 230 days taken by the claimant, delay of only 125 days was found justified based on where hindrances in the work. Therefore, compensation for delay was levied under clause 2 of the GCC for balance 105 days only.

88. E-5.2 In respect of prolongation of contract up to 18.08.2021, the Respondent has considered merits of all the documents presented by the claimant before deciding the case of extension of time and compensation for delay of work under Clause 2 of the General Conditions of the
89. The levy of compensation was imposed on the claimant by the SE, DFC-II, CPWD, Ferozepur vide letter dated 21.03.2022(R 67 A) of Rs38,25,026/- after going through the detailed reply submitted by the claimant, wherein he had highlighted various hindrances in the work. All the records/correspondences pertaining to the work as well as the comments of Respondent were taken into consideration by the SE, BFC-II, CPWD, Ferozepur before levy of compensation on the claimant. The Hon'ble Ld. Arbitrator is requested to note that against extended date of completion of 23.07.2021 for execution of work amounting to Rs.11,18,42,877/-, work amounting to Rs. 2.92 Cr. only was done by the claimant till determination of contract i.e. up to 18.08.2021. The time period, calculated on pro-rata basis for completing the work of this quantum, works out to 126 days. Whereas the claimant took 356 days in executing of this work of this quantum. After considering the facts of the case, site records/correspondences related to the work, submissions of the claimant and comments of the Engineer-in-Charge, it was decided by the SE, BFC-II, CPWD, Ferozepur that there were justified hindrances of 125 days in the work. Accordingly, the time period for completion of work done by the claimant till date of determination

of contract worked out to 251 days from 28.08.2020; whereas, a total period of 356 days was taken by him. As such, a delay of 105 days up to the date of determination of contract was attributed to the claimant only. In view of above, submissions of the claimant are false and denied refer R-67A.

90. E-5.3. All the claims of the claimant are baseless false, fabricated and made to extract undue money from the Govt. exchequer, all their due payments have already been made to the claimant. Therefore, all the claims of the claimant are liable for rejection.

Summary of Replies of the Respondent to preliminary submissions

91. The respondents have contested the claimant's assertions regarding the **prolongation of the contract**, delay in **handing over the site**, issuance of **construction drawings**, **slow progress of work**, and **levy of compensation** due to alleged unjustified delays. Key facts and exhibits referenced in their reply are as follows:

I. Contract Duration & Extension

- Original Contract period: **7 July 2020 – 22 May 2021 (320 days)**.
- Revised due to claimant's request: **28 August 2020 – 23 July 2021 (R-19)**.
- Contract determination: **18 August 2021** with only **₹2.92 crore** work completed against a target of **₹11.18 crore (R-64)**.
- Justified hindrances: **125 days**, leading to a compensation levy for **105 days** of unjustified delay (**₹38,25,026/-**) (R-67A).

II. Site Handing Over & Work Delays

- Sites handed over: **5 August 2020 (R-7)** and **24 September 2020 (Bemial & Dhinda)**.
- Claimant's slow mobilization despite site availability led to unsatisfactory progress per multiple inspection reports (**R-32, R-48**).
- Respondents repeatedly requested completion program adjustments (**R-4, R-5, R-26**).

III. **Structural Drawings & Design Revisions**

- Initial drawings provided: **21 September 2020** (R-9).
- Revised drawings issued: **15 December 2020** (R-23), adding minor modifications without significant hindrances.

IV. **COVID-19 & Other Site Issues**

- Justified delays due to COVID-19 lockdown were considered in EOT decisions (R-67A).
- No disruption due to fog, as restrictions were known under contractual security provisions (**Clause 4, General Conditions**) (R-320).
- Old bunker at **Bemial** cleared within **2-3 days** intimated on 3.7.21(R-54).

V. **Payment & Compensation Issues**

- RA bills paid as per **Clause 7 GCC**, with the **final bill cleared on 27 March 2022** (R-69).
- No undue deductions—performance guarantee & security forfeited due to non-completion under **Clause 3** (R-64).

VI. **Respondents' Conclusion**

- The claim of unjustified delays, financial losses, and compensation disputes are denied.
- The claimant's submission lacks merit and is aimed at extracting undue payments.

Rejoinder to Statement of Defence by Claimant.

92. **Preliminary Objections** The claimant asserts that the respondent's statement of defence was filed **beyond the permitted timeline**—received on **20.05.2024**, exceeding the arbitrator's allowed period. Additionally, the respondent has not provided authorization for the Executive Engineer who signed and submitted the defence and counterclaims, nor has it filed a **vakalanama** in favor of its advocate. Consequently, the arbitrator is requested to **reject the counterclaims** as improperly filed. (*Refer: Exh. C-121, C-122*)

93. Furthermore, the counterclaims were **never referred for adjudication** nor were the prerequisites for seeking reference fulfilled. As such, the learned arbitrator lacks jurisdiction to entertain them and must dismiss them outright. (*Refer: Exh. C-80, C-85*)
94. **Merits of the Case** The claimant categorically states that no portion of the defence or counterclaims should be considered admitted unless expressly confirmed. The **authenticity of documents** submitted by the respondent is challenged as original documents have not been filed. (*Refer: Exh. C-61, C-129A*)
95. The contract was **wrongfully determined** by the respondent, despite repeated requests to remove hindrances. Letters highlighting issues include **hindrances for EOT dated 15.03.2022 (Exh. C-65)** and correspondence regarding unjustified levies and delays (**Exh. C-56, C-94, C-117, C-125**). The claimant suffered substantial losses due to delay in site handover, erroneous quantity reductions in final billing, and failure to finalize extra items.
96. **Procedural and Evidentiary Issues** The respondent failed to facilitate **joint measurements** after contract determination, despite referencing letters (R-60, R-61, R-62, R-65). These letters were mere cover-ups to justify wrongful reductions of earthwork quantity. The **measurements submitted in final bill were arbitrarily altered** without supplying factual support (*Refer: Exh. C-128, C-129*).
97. Additionally, the final bill submitted by the claimant on **07.03.2022 (Exh. C-80)** included extra items and deviation works, **which were wrongfully denied or altered** by the respondent. The claimant insists that all executed extra items must be adjudicated fairly, and payment must be ensured. (*Refer: Exh. C-124, C-126, C-133*)
98. **Jurisdictional Challenge to Counterclaims** The respondent has submitted **four counterclaims totalling ₹12,61,150**, which were **not referred for adjudication** by mutual consent. The learned arbitrator, therefore, **lacks jurisdiction** over these claims. (*Refer: Exh. C-67, C-85*)
99. **Relief Sought** The claimant respectfully requests the learned arbitrator to:

- **Reject the respondent's counterclaims** as beyond jurisdiction and procedural invalidity.
- **Recognize the hindrances caused by the respondent**, including delayed site handover, wrongful termination, and unjust deductions from final billing.
- **Direct the respondent to compensate the claimant** for losses incurred due to wrongful determination, unjust recoveries, and failure to pay contractual entitlements in full. (*Refer: Exh. C-142, C-145, C-150*)

100. The claimant submits that the respondent's defence is **without merit, lacks factual substantiation, and is an attempt to evade contractual obligations**. The arbitration award must be based on verified evidence, contractual rights, and procedural fairness.

Reply to Preliminary Objections on ground of Section-55 & 73 of the Indian Contract Act:

101. Contents of this para are misconceived, hence denied. This is to state that when time is set at large and the performance of the contract is accepted at the time other than fixed originally, in such case no notice is required to be given by the contractor of its intention to claim damages. The damages arisen due to breach of contract by the Respondent. On the face of it, after elapse of stipulated/shifted date of completion no further date was fixed or intimated to the Claimant for completion of the work. Hence in this case no notice by the Claimant was required to be given to the Respondent for claiming damages. The Claimant was permitted to continue the work without levy of any liquidated damages, until termination of contract on 18.08.2021. It was only on 21.03.2022 the Respondent chose to levy liquidated damages for the period of 105 days without specifying the exact length of the period i.e. date from to. In fact, having extended the time of completion from 22.05.2021 to 23.07.2021 without any levy of liquidated damages, the Respondents cannot retrospectively levy liquidated damages. The contention of the Respondent that certain conditions need to be fulfilled to claim damages is wrong and is denied and reply to the points raised is as under:

102. Any party to a contract cannot be arbiter to decide as to whether who breached the contract. This is to be decided by a Court or Arbitral Tribunal.
103. No notice is required to be given by the suffering party when the time for completion is set at large and no particular date fixed for completion of the work is notified to the contractor after original date of completion elapsed.
104. Damages naturally arisen due to breach of contract by the Respondents as per the various letters written by the Claimant to the Respondent and mentioned in sl. no. 1 to 114 (page 5-22) of **Rejoinder**. The Claimant also rely on the Statement of claims. Quantum of damages has already been given in the Statement of Facts and Claims under respective claims.
105. From the above mentioned letters sno1 to 114 (page 5-22) of **Rejoinder**, it is very clear that the Claimant's intention was to mitigate the losses to the extent possible, but the Respondent did not cooperate with the Claimant as the issues relating to Site, decisions, drawings and hindrances not removed in time by the Respondent as a result of which the work could not progress smoothly and the losses could not be mitigated.
106. This is to state that the Respondent breached the contract resulting in losses to the Claimant. The losses incurred by the Claimant are direct and not indirect or remote as the Respondents are solely responsible for the losses to the Claimant.
107. This is to state that the claims of the Claimant are genuine and payable as per law and decision to it is to be made by the Ld. Arbitrator on the claims.

Finding of the Arbitral Tribunal on Preliminary Objections

108. **Jurisdiction and Admissibility of Claims** Upon careful consideration of the Respondent's preliminary objections and the Claimant's reply, the Arbitral Tribunal finds that the objections raised by the Respondent lack merit. The Tribunal is satisfied that the Claimant's claims are **maintainable under the contract and in law**. The objections appear to have been made with the intent to delay the adjudication of the dispute rather than on substantive legal grounds.

109. **Determination of the Contract** Respondent's reliance on Clause 3(a) of the contract is noted. However, the Tribunal finds that the interpretation presented by the Respondent is **flawed and inconsistent with established legal principles**. The Tribunal concurs with the Claimant's position that Clause 3 does not confer finality upon the Engineer-in-Charge regarding the validity of contract termination. Instead, the determination of whether the termination was valid or unlawful falls within the jurisdiction of this Tribunal.
110. As per principles of **natural justice**, a party to a contract cannot unilaterally decide whether the other party has committed a breach. Such a determination must be made by an adjudicatory body, including a court or an arbitral tribunal. Consequently, the Tribunal holds that the **termination of the contract is subject to judicial review** and the Claimant's claims are arbitrable.
111. **Delay in Submission and Payment of Final Bill** Tribunal has examined the Claimant's arguments and supporting exhibits, including letters requesting the joint measurement sheets. Respondent never fixed and notified a date for joint measurement of work done. The evidence indicates that the Respondent failed to process the bill submitted by the claimant and never raised any objection to this bill rather bill was passed unilaterally without any intimation to claimant and raised certain objections on the bill submitted by the claimant much later after passing and payment of bill. Thus, the Tribunal finds that the delay in the submission of the final bill cannot be attributed to the Claimant.
112. Further, the Tribunal notes that there is **no evidence of an undertaking from the Claimant waiving their entitlement to further claims**. The Claimant's claims appear to have been raised in accordance with the contract and applicable legal provisions. Therefore, the Respondent's objection regarding the alleged delay in submission lacks merit.

Conclusion

113. The Tribunal holds that the Respondent's preliminary objections are **unfounded and accordingly rejected**. The Tribunal has jurisdiction to adjudicate the claims presented by the Claimant. Claimant's objection of counter claim not being referred is not accepted and counter claim will be decided on merit. The proceedings shall continue with a determination on the substantive merits of the dispute.

Finding of the Arbitral Tribunal on Section 55 and Section 73

114. **Objection Based on Section 55 and Section 73 of the Indian Contract Act, 1872**
The Respondent has objected to the Claimant's claims on the basis of **Section 55**, which pertains to the consequences of failure to perform an obligation within a stipulated time, and **Section 73**, which governs compensation for breach of contract. The Tribunal has reviewed the Respondent's objection and the Claimant's response in this regard.

Objection Under Section 55

115. The Respondent contends that the Claimant failed to complete the work within the stipulated time and that the contract, therefore, stood discharged. It is asserted that **no notice** was given by the Claimant regarding the delay being attributable to the Respondent, thereby barring the Claimant's right to seek compensation under this provision.

116. Upon examination of the correspondence submitted as exhibits—including letters dated **06.10.2021 (Exh. C-61)**, **30.10.2021 (Exh. C-62)**, **24.02.2022 (Exh. C-121)**, and **01.03.2022 (Exh. C-122)**—the Tribunal finds that the Claimant **did, in fact, notify the Respondent** regarding delays and their causes. These letters indicate repeated requests by the Claimant for timely decision on disposal of earth, gabion length, fencing design and joint measurement sheets, which were necessary for the progress of work and final bill's submission. The **Respondent failed to furnish these decision and documents**, contributing to the delay.

117. Claimant has also stated that time never remained essence of contract and was set at large by respondent as such there was no requirement of notice under section 55.
118. As such, the Tribunal finds that the failure to issue formal notice regarding the delay does **not bar the Claimant's claims**, as ample documentary evidence exists to demonstrate that the Respondent was well aware of the issues causing the delay. Further, the Tribunal observes that the contractual provisions do not stipulate that failure to notify the delay in a particular manner results in a waiver of claims.

Objection Under Section 73

119. The Respondent has argued that no damages can be claimed by the Claimant as there has been no direct loss suffered, relying on **Section 73**, which mandates that damages must arise as a natural consequence of breach or fall within the contemplation of the parties at the time of contract formation.
120. The Tribunal finds that the Claimant's demand for compensation stems from the delay in payment of legitimately completed work and wrongful termination of the contract. The evidence provided particularly the correspondence indicating repeated requests for decisions and for taking joint measurement of work executed demonstrates that the Respondent's conduct resulted in **financial losses to the Claimant** due to non-payment of dues and delayed finalization of accounts.
121. Thus, the Tribunal holds that the Claimant is **entitled to seek damages** for the Respondent's actions, as the losses suffered are a foreseeable consequence of wrongful action delayed decisions and non-payment of due amount on account of work done as per agreement, extra work and deviated work.

Conclusion

122. The Tribunal **rejects the Respondent's objections** under **Sections 55 and 73** and holds that the Claimant's claims remain **maintainable under the contract and law**. The proceedings shall continue to determine the quantum and merits of the claims presented.

Claim wise analysis and findings.

Claimant's claim

Claim No. 1: Contractor's claim of Rs. 63,22,648/- on account of non- release of Performance Guarantee & Security deposit due to illegal determination of contract by the Executive Engineer/Superintending Engineer.

123. By present claim, the Claimant is seeking Rs.63,22,648/- on account of release of Performance Guarantee amount and Security deposit amount forfeited by the Respondent illegally and unlawfully.
124. This is to state that the above amount has been forfeited upon illegal determination of contract by the Respondent. On the face of it, all the delays were attributed to the Respondent viz. non-handing over of site in time, non-issue of good for construction drawings, change of foundation design from raft to RCC Pile work at Chaura site and change in design at two other sites of the work, non-decision to dispose of the surplus excavated earth, non-sanction of the deviation items and Extra items as per the prevailing market rates, various other decisions not given in time and all these factors contributed to delay in execution of the work.
125. The claimant refers to the clause-29(i) of the contract which expressly provides that no such amount can be recovered and only amounts if due can be withheld till the final decision of the Arbitrator regarding the claims. The relevant para of clause-29(i) of the contract reads as:
126. Whenever any claim or claims for payment of a sum of money arises out of or under the contract or against the contractor, the Engineer-in-Charge or the Government shall be entitled to withhold and also have a lien to retain such sum or sums in whole or in part from the security, if any deposited by the contractor and for the purpose aforesaid, the Engineer-in-Charge or the Government shall be entitled to withhold the security deposit, if any, furnished as the case may be and also have a lien over the same pending finalization or adjudication of any such claim....." From

the above reading of the clause-29(i) of the contract it is very clear that the PG and SD forfeited/recovered/encashed by the Respondent is not as per the terms of the contract. The amount could have only withheld if need be and were not to be recovered.

127. The contract as hereinabove has been determined illegally and unlawfully leaving aside justified hindrances attributed to the Respondent as have been submitted by the Claimant vide its letter dated 15.03.2022 (Exhibit C-65) by which the Claimant explained all the hindrances encountered during the progress of work. This is to state that none of the hindrance was on the part of the Claimant. On the face of it, the fact is that the one or the other hindrance was continuing and the Respondent did not care to solve the deteriorating situation due to non-decisions by the Respondent resulting in idle resources deployed by the Claimant at sites of work. This is to state that the Respondent EE made no effort to call a meeting at site with the Claimant nor any joint foot to foot inspection with the Claimant was done by the Respondent EE to make the plan/for resolving the matter by way of on spot decisions. This led to reasonable inference that the Respondent EE was trying to pass time and had issued the routine letters/notice without giving replies to the Claimant's request to resolve real issues. Till the termination of Contract, the Claimant executed the work of Rs. 8,06,80,380/- as is evident from the 6th & final bill submitted by the Claimant on 07.03.2022 (Exh. C-80). The Claimant refers to the letters written by the Claimant requesting therein to the Respondent for drawings and decisions as Exhibits 09.07.2020 (Exhibit C-4), 15.7.2020 (Exhibit C-5), 14.08.2020 (Exhibit C-7), 04.09.2020 (Exhibit C-10), 06.12.2020 (Exhibit C-23), 26.12.2020 (Exhibit C-26, 19.3.21) (Exhibit C-34), 18.8.21 (Exhibit C-54), 19.08.2021 Exhibit C-55 Respondent's letter), 20.08.2021 (Exhibit C-56) and 25.08.2021 (Exhibit C-58).
128. In order to avoid prolixity, the Claimant crave reference to the facts stated herein above. Through letter dated 20.8.2021 the claimant had informed the respondents that there act of forfeiting the Bank Guarantee was against the CPWD office memorandum no DG/CON/MISC/14 and Ministry of Finance, Govt. of India office

memorandum 16456664/2020/0/o CSQ-Civil. After that respondent EE asked for the confirmation from Chief Engineer through letter no 683 dated 21.8.2021(Exh. C-57), it shows that the Respondent was not sure about its acts as to whether he was correct or not that is why Respondent EE had asked for the direction from the Chief Engineer.

129. The respondents vide its letter dated 23.04.2022 had assured the claimants that the security amount will be released as and when due but did not refund the same even after repeated requests by Claimant's letters dated 24.8.2022 & 5.9.2022. This shows that purposely the security was not released by the respondents.
130. The detail of performance Guarantee (in the shape of BG) and Security deposit forfeited is given as under:
131. Bank Guarantee no. 263GT02201770001 dated 25.06.2020 submitted for PG encashed by Respondent = Rs.55,92,144.00
132. Security deposit deducted up to & i/c 6th & final bill (C-85) forfeited Rs7,30,504/-
133. Total amount of this claim Rs. 63,22,648/-
134. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.63,22,648/- on account of refund of Performance Guarantee & Security deposit illegally recovered/forfeited/encashed by the Respondent as per detail herein above.
135. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs 63,22,648/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. I .

Reply of the Respondent.

Claim No. 1 Contractor's Claim of Rs.63,22,648/- on account of non-release of Performance Guarantee & Security deposit due to illegal determination of contract by the Executive Engineer/ Superintending Engineer.

136. The contract was determined under Clause 3 of the Agreement vide letter No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/672 dated 18.8.21 (R-64). The averments made in this claim by the claimant are wrong and hence denied completely. The amounts of the claimant forfeited upon determination of contract were justified and legitimate. All the delays were attributed to the claimant only. The claimant was requested several times to submit the completion programme vide letter Nos. 23(21)/EE/BFD-II/CPWD/2020-21/421 dated 14.7.20 (R-4), 23(21)/EE/BFD-II/CPWD/2020-21/454 dated 21.7.20 (R-5) etc. The completion programme was submitted by the claimant vide letter No. Nil dated 07.12.2020 but the same was not as per the revised actual date of start i.e. 28.08.2020() so he was requested vide letter Nos. 23(21)/EE/BFD-II/CPWD/2020-21/1096 dated 28.12.20 (R26) to resubmit the completion programme as per the actual date of start i.e. 28.8.20. He was also requested in the letter to deploy sufficient number of manpower, Machinery and materials so that the works could have been executed before the monsoon season and to pace up the execution of work. The claimant was provided structural drawings for RCC Box culverts in r/o Bemial, Chaura FWD (Nomini Nallah) and Dhinda Vide letter No. 23(21)/EE/BFD-II/CPWD/2020-21/697 dated 21/09/2020 (R9). The revised structural drawings (GFC) in r/o Bemial, Chaura FWD (Nomini Nallah) and Dhinda were given to the claimant letter No. 23(21)/EE/BFD-II/CPWD/2020-21/1028 dated 15/12/2020 (R23). There is no hindrance due to revised drawing, in revised drawing Bemial & Dhinda only one additional cell/box is added and at Choura (FWD) additional pile foundation provided. The claimant was also requested to submit the completion programme as well as for carrying out the survey for river profile (at culvert) on upstream & downstream side, Geotechnical survey i/c SPT report for all culverts and detail of technical representative deputed at site as per clause 32 of the GCC vide respondent letter no. 23(21)/EE/BFD-

11/CPWD/2020-21/574 dated 21.08.2020 (R-15) and also requested to speed up the progress of the work. As per Special Condition No. 7 of the agreement "the malba/garbage, removed from the site shall be disposed of by the claimant at any suitable place as directed by the Engineer-in-Charge, nothing extra shall be paid on this account". All the extra items submitted by the claimant were sanctioned by the Competent Authority which were admissible for the payment and the same was conveyed vide letter No.23(23) BFSD (GSP)BFD-II/2021/191 dated 09.06.2021(R-50).

137. The contract was determined legally after taking it into consideration all the hindrances submitted by the claimant vide letter 23(21)/EE/BFD-11/CPWD/2020-21/672 dated 18.08.2021 (R64). It is stated that all the hindrances were on the part of the claimant. It is crystal clear fact that the progress of the work was very slow from the starting of the work. As per letter No.23(21)/EE/BFD11/CPWD/ASR/2020-21/762 dated 24.09.2021 (R-58), claimant had not deployed resources like manpower, materials, T&P etc. on the site AE had provided the details of machinery and materials available at the Site (R-57) which are as under: -

- a) Chaura Fwd site: - No machinery, materials, T&P, manpower found available at Site during site visit except some minor qty of TMT reinforcement approximately 1.00 M.T.
- b) Dhinda Site: - No machinery, materials, T&P, manpower found available at site during site visit.
- c) Bemial Site: -No machinery, materials T&P, manpower found available at site during site visit. 5 spans of culvert approximate length 30 mtr have been casted only. Some quantity on shuttering was available.

138. The Respondent refers to the letters written to the claimant regarding submission of completion programme vide his letter No. 421 dated 14.07.2020(R-4), letter No. 454 dated 21.07.2020 (R-5) Letter No. 383 dated 04.07.2020 (R-6) letter No. 511 dated 05.08.2020 (R-10) etc. Revised structural drawings (GFC) were provided to the claimant vide this office letter No. 23(21)/EE/BFD11/CPWD/ASR/ 2020-21/1028

dated 15.12.2020 (R-23). There is no hindrance due to revised drawing. In revised drawing Bemial & Dhinda only one additional cell/ box is added and at Choura (FWD) additional pile foundation is provided.

139. As brought out earlier, the claimant had executed the work amounting to less than 25% of the contract amount till date of determination of contract i.e. in 356 days from the extended date of start against 126 days. Required for this work in proportion to the time allowed for execution of complete work of 320 days.
140. As the contract was determined as per terms of the contract under clause 3 of GCC, the respondents are entitled to forfeit the performance guarantee, security deposit and EMD of the claimant. Hence, it is evident that the decision of the Respondent regarding forfeiture of performance guarantee and security deposit was justified and legitimate. This claim is contrary to contract provisions and against the Public Policy of India.
141. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Claim No. 1: Claim for Rs. 63,22,648/- on account of non-release of Performance Guarantee and Security Deposit due to the alleged illegal determination of contract.

Claim by the Claimant:

142. The Claimant has sought an award for Rs. 63,22,648/-, alleging that the Performance Guarantee and Security Deposit were forfeited unlawfully by the Respondent after the contract was determined. The Claimant argues that the contract was terminated illegally, and delays in execution were entirely attributable to the Respondent. The Claimant cited several reasons, including delayed issuance of site possession, delay in issue of good for construction drawings, changes in

foundation designs, and lack of timely decisions for disposal of earth and decisions for deviations and extra items.

143. The Claimant invoked Clause-29(i) of the contract, which explicitly prohibits encashment of such amounts during the pendency of disputes, emphasizing that any determination of such recovery is subject to the final arbitration award. The Claimant submitted supporting documents such as:

- Records of work executed amounting to Rs. 8,06,80,380/-.
- Correspondences indicating hindrances caused by the Respondent (Exhibit C-65 dated 15.3.2022 and other letters).
- CPWD and Ministry of Finance memoranda prohibiting such forfeitures.

144. The Claimant also pointed out that the Respondent acknowledged uncertainty in correspondence and assured a refund through letters dated 23.04.2022 and 05.09.2022.

Reply by the Respondent:

145. The Respondent denied the allegations, stating that the contract was legally terminated under Clause 3 of the General Conditions of Contract (GCC). The Respondent attributed delays to the Claimant's inability to mobilize adequate resources, failure to submit a proper completion program, and overall slow progress in the execution of work. The Respondent provided structural drawings, including revised Good-for-Construction (GFC) drawings, on time and contended there was no hindrance caused by the revisions.

146. The Respondent submitted evidence to support its claims, including:

- Site inspection records (R-57), highlighting an absence of manpower, materials, and machinery at various locations.
- Correspondences requesting completion programs (R-4, R-5, etc.).
- Documents showing that less than 25% of work was completed within 356 days.

147. The Respondent argued that it acted within its contractual rights to forfeit the Performance Guarantee and Security Deposit upon the legal determination of the contract.

Findings of the Tribunal:

148. After reviewing the claims, counterclaims, and evidence presented by both parties, the Tribunal has arrived at the following conclusions:
149. **Determination of Contract:** The contract was terminated by the Respondent under Clause 3 of the GCC. While the Respondent presented evidence of delays on the part of the Claimant, the Tribunal finds that the circumstances leading to the delays were not adequately addressed by the Respondent. **Initial breach of the contract was done by respondent by not proving site and all structural drawings.** In schedule "F" page 136 of contract agreement, respondent stated that 100% site is available. Whereas site was not available on day one and respondent not only shifted date of start to 28.8.20 from 7.7.20 due to non-availability of site of Chaura FWD but also site of other works i.e Dinda, Bemial and Dariya Mansoor was handed over even after shifted date of start i.e on 24.9.20. Respondent have agreed in para C3.2 of his preliminary submissions that "Hence, the Competent Authority as per Para No. (XIV) General condition of contract Para No. 10/GCC/2020 & Clause-5 (iii) of Schedule 'F' of the agreement vide letter No. 757 dated 05/10/2020(**R-19**), shifted the date of start **as per actual date of handover of the site**". Evidence shows that issues such as delayed possession, revisions to structural designs, and decisions regarding extra/deviation items were material hindrances that impacted the Claimant's ability to perform. There was also hindrance on account of Covid pandemic which was not adequately considered despite Ministry of Finance instructions on the matter. Site was also affected by floods which adversely affected the progress of work.

150. Respondents served show cause notice without mentioning specific subclause of the contract. There are (i) to (xi) sub clauses under clause 3 and none of these sub clauses were mentioned while sending show cause notice.
151. Show cause notice was sent when hindrances like heavy rains, flooding of site and covid pandemic was continuing.
152. Respondent did neither establish exact days of default for achieving required progress on the day of issue of show cause notice on the part of claimant nor at the time considering reply to show cause notice and before taking action on show cause notice on 18.8.21. This exercise was done while taking action on EOT at belated stage in March 2022 whereas this exercise should have been done before issue of show cause notice under clause 3 to know the exact default and breach of the claimant.
153. Stipulated date of completion was shifted to a later date i.e to 23.7.21 due to initial default of the respondent due to failure to provide site. Later on, respondent called it extended date of completion to conceal his breach and lapse.
154. Show cause notice was issued on 11.6.21 and reply of the same submitted by the claimant on 25.6.21. It was stated by the respondent that reply is not satisfactory vide letter dated 3.7.21(R-54). Thereafter, respondent continued to accept his performance and asked for a revised completion program on 24.7.21 (R-55) with reference to the meeting held on 23.7.21. In the meantime, contract also expired on 23.7.21 and there was no mutual or unilateral extension of the contract. Then respondent took action for rescission of contract on 18.8.21 when contract period has expired and contract was no more in force. As explained above action of the respondent of rescission of contract is not as per terms of contract and is not held valid and legally tenable.
155. **Encashment of Performance Guarantee and Security Deposit:** The Tribunal concurs with the Claimant's interpretation of Clause-29(i) of the contract, which restricts encashment of Performance Guarantee and Security Deposit during the

pendency of disputes. The Respondent's act of forfeiture was in contravention of this clause, as adjudication of claims by arbitration was pending.

156. **Quantum of Claim:** The Claimant substantiated its claim for Rs. 63,22,648/-, including details of the encashed Bank Guarantee of Rs. 55,92,144/- and the Security Deposit amounting to Rs 7,30,504/- deducted.

157. In view of the above, action of respondent of determination of contract and subsequently forfeiture of earnest money and security deposit is held invalid The Tribunal finds the claim of claimant valid as the forfeiture of these amounts was unjustified.

Award:

158. The Arbitral Tribunal hereby directs as follows:

The Respondent shall pay to the Claimant an amount of Rs. 63,22,648/- towards the refund of the encashed Performance Guarantee and Security Deposit.

Amount of Award Rs 63,22,648/-

Since claim no 1 and claim 11 are interlinked same are discussed and analysed together

Claim No. 11: Contractor's claim of Rs. 38,25,026/- on account of demand to release the amount of arbitrarily and illegally imposing levy of compensation for delay in work when all the hindrances were attributed to the department.

159. That by present claim, the Claimant is seeking quashing/setting aside the letter of the Respondent SE dated 21.03.2022 (Exhibit C-67) and EE's letter dated 22.03.2022 (Exh.C-68) by which compensation is levied amounting to Rs.38,25,026/-.

160. This is to state that the compensation has been levied by the Respondent SE after expiry of more than 7 months of determination of the contract. The work was

determined on 18.08.2021 which is already on record and the compensation has been levied on 21.03.2022 (**Exhibit C-67**) which is against the laid down provisions in the contract. In compliance to clause-5.4.1. the extension of time was required to be decided within reasonable time after determination of contract and this reasonable time, the Claimant consider as 45 to 60 days. The Extension of time decided by the SE after more than 7 months of the event.

161. Ex-facie the Claimant submitted the request/claims containing the above claim among other claims to Respondent EE, SE and CE (BFZ) by its letters dated 04.01.2023 (**Exhibit C-70**), 02.02.2023 (**Exhibit C-71**), 25.02.2023 (**Exhibit C-72**) respectively for releasing the amount of levy of compensation of Rs.38,25,026/- along with other amount of claims. No decision as to release the amounts was taken by any of the above officers. The Claimant in its letter dated 16.03.2022 submitted explanation to the reasons resulting in delays in work in reply to show cause notice issued by SE vide its letter dated 08.03.2022 (C-64). **The Respondent vide its letter dated 05.10.2020 (Exhibit C-15) shifted the date of start from 07.07.2020 to 28.08.2020 and accordingly stipulated date of completion was shifted from 22.05.2021 to 23.07.2021. The Respondent EE & SE has not carefully taken stock of the situations/hindrances mentioned by the Claimant in its letter dated 15.03.2022 (Exhibit C-65) which resulted in delay in work and levied compensation without application of mind on the actual hindrances encountered due to non-issue of GFC drawings and decisions not given in time as the Respondent has already determined the contract illegally and unlawfully and to justify their action of determination of contract, the Respondent had taken the easy way to levy compensation to safe guard departmental officers responsible for getting the work done and completed by giving the support to the Claimant contractor by issuing in time GFC drawings and giving decisions in time, which the Respondent EE and its supervisory staff failed miserably to do so.**

162. On the face of it, this is to state that the fresh tenders were called and awarded to the other agencies for the balance work. The items which the Claimant was demanding during its contract and were not paid to the Claimant. Some of those items stated have been included in the tenders/contracts for the balance work. The balance work awarded were also not completed within the stipulated time and one part of the work is far behind the stipulated time schedule. It is prayed to the Ld. Arbitrator that directions may kindly be issued to the Respondent to file the following information with regard to the balance works awarded:

- a) Date of call and receipt of tenders for the balance work (Two tenders called);
- b) Date of award of the works;
- c) Stipulated date of completion of both the contracts for balance work;
- d) Actual date of completion of both the contracts for balance work;
- e) Present progress of works if works not completed as yet and
- f) Expenditure incurred on both the work's contract of balance work.

163. The Claimant specifically states that the Respondent SE while deciding the EOT has not considered our letter dated 15.03.2022 (**C-65**) wherein the Claimant has explained the factual situation existed during the progress of work which was necessarily required to be taken into account by the Respondent in terms of clause-5 of the contract in a time bound manner. The Respondent failed to do so. The decision on the EOT has been taken by the Respondent belatedly which is against the specific provisions in the clause-5 of the contract as well as is against the principles of natural justice. Therefore, the Claimant deny the decision of levy of compensation.

164. The Claimant refers and rely on the letters annexed herewith marked as exhibits dated 04.07.2020 (Exhibit C-3), 09.07.2020 (Exhibit C-4), 15.07.2020 (Exhibit C-5), 14.08.2020 (Exhibit C-7), 18.08.2020 (Exhibit C-8), 26.08.2020 (Exhibit C-9), 04.09.2020 (Exhibit C-10), 21.09.2020 (Exhibit C-13), 01.10.2020 (Exhibit C-14), 05.10.2020 (Exhibit C-15 Respondent's letter shifting of date of start), 13.10.2020 (Exhibit C-16), 03.11.2020 (Exhibit C-18), 25.11.2020 (Exhibit C-22), 06.12.2020

(Exhibit C-23), 26.12.2020 (Exhibit C-26), 04.04.2021 (Exhibit C-37), 28.04.2021 (Exhibit C-39), 06.06.2021 (Exhibit C-46), 05.07.2021 (Exhibit C-51), 14.08.2021 (Exhibit C-52), 18.08.2021 (Exhibit C-53) and 15.03.2022(Exhibit C-65).

165. That absolutely, no reason exists on the part of the Respondent to cancel/withdraw the letter by which compensation amounting to **Rs.38,25,026/-** has been levied by the Respondents and amount of Rs.38,25,026/- adjusted in the 6th & final bill. It is made clear that there is no provision in the contract to process and decide EOT case after more than 7 months of determination of the contract and there is no liability of the Claimant as well in the fresh tenders called and awarded for the remaining work.
166. Therefore, the Hon'ble Arbitrator may be pleased to cancel/quash the letter dated 21.03.2022 (Exh. C-67) and 22.03.2022 (Exh. C-68) by which illegal compensation has been levied by the Respondent in EOT case and according make order to clear the liability of **Rs.38,25,026/-** in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 11 and it is prayed accordingly.

Reply of the Respondent.

Claim No. 11: Contractor's Claim of Rs.38,25,026/- on account of demand to release the amount of arbitrarily and illegally imposing levy of compensation for delay in work when all the hindrances were attributed to the Respondent.

167. The claimant failed to execute the work as per extended date of completion as well as completion programme submitted by him and revised the various times completion programme and even then he remained fail to adhere the same. The assigned work was not executed up to extended date of completion and this compelled the Respondent to take the action against the claimant. As per extended date of completion of 23.07.2021 for execution of work amounting to Rs. 11, 18,42,877/= work amounting to Rs.2.92 Cr. only was done by the claimant till date of determination i.e. 18.08.2021. The time period, calculated on pro-rata basis for completing the work of this quantum works out to 126 days.

168. Whereas the claimant took 356 days on work of this quantum. There were justified hindrances of 125 days in the work. Accordingly, the time period for completion of work done by the claimant till date of determination of contract worked out to 251 days from 28.08.2020, whereas a total period of 356 days was taken by the respondent. As such, a delay of 105 days up to the date of determination of contract was attributed to the claimant. Hence, the claimant was liable to pay Rs.38,25,026/- for delay of 105 days i.e. 3.42 months in the work, as and by way of compensation @1% per month of accepted tendered amount {computed on per day basis} under the provision of clause 2 of said agreement (R-67-A).
169. In this regard, the Hon'ble Ld. Arbitrator is requested to refer to Clause No.2 of General Conditions of Contract (Compensation for delay)
170. "If the contractor fails to maintain the required progress in terms of clause 5 or to complete the work and clear the site on or before the contract or justified extended date of completion as per clause 5 (excluding any extension under Clause 5.5) as well as any extension granted under clauses 12 and 15, he shall, without prejudice to any other right or remedy available under the law to the Government on account of such breach, pay as compensation the amount calculated at the rates stipulated below as the authority specified in schedule 'F' may decide on the amount of accepted Tendered Value of the work for every completed day/ month (as determined) that the progress remains below that specified in Clause 5 or that the work remains incomplete. Compensation for delay of work (i) with maximum rate @ 1% (one percent) per month of delay to be computed on per day **basis based on quantum of damage suffered due to stated delay on the part of Contractor.** Provided always that the total amount of compensation for delay to be paid under this condition shall not exceed 10 % of the accepted Tendered Value of work or of the accepted tender value of the sectional part of the work mentioned in Schedule 'F' for which a separate period of completion is originally given.
171. In case no compensation has been decided by the authority in Schedule F' during the progress of work, this shall be no waiver of right to levy compensation by the

said authority if the work remains incomplete on final justified extended date of completion. If the Engineer in Charge decides to give further extension of time allowing performance of work beyond the justified extended date, the contractor shall be liable to pay compensation for such extended period. If any variation in amount of contract takes place during such extended period beyond justified extended date and the contractor becomes entitled to additional time under clause 12, the net period for such variation shall be accounted for while deciding the period for levy of compensation. However, during such further extended period beyond the justified extended period, if any delay occurs by events under sub clause 5.2, the contractor shall be liable to pay compensation for such delay.

172. Provided that compensation during the progress of work before the justified extended date of completion for delay under this clause shall be for non-achievement of sectional completion or part handing over of work on stipulated / justified extended date for such part of delay effects any other works / services. This is without prejudice to right of action by the Engineer in Charge under clause 3 for delay in performance and claim of compensation under that clause.
173. In case action under clause 2 has not been finalized and the work has been determined under clause 3, the right of action under this clause shall remain post determination of contract but levy of compensation shall be for days the progress is behind the schedule on date of determination, as assessed by the authority in Schedule F, after due consideration of justified extension. The compensation for delay, if not decided before the determination of contract, shall be decided after of determination of contract.
174. The amount of compensation may be adjusted or set-off against any sum payable to the Contractor under this or any other contract with the Government. In case, the contractor does not achieve a particular milestone mentioned in schedule F, or the rescheduled milestone(s) in terms of Clause 5.4, the amount shown against that milestone shall be withheld, to be adjusted against the compensation levied as above. With-holding of this amount on failure to achieve a milestone, shall be

automatic without any notice to the contractor. However, if the contractor catches up with the progress of work on the subsequent milestone(s), the withheld amount shall be released. In case the contractor fails to make up for the delay in subsequent milestone(s), amount mentioned against each milestone missed subsequently also shall be withheld. However, no interest, whatsoever, shall be payable on such withheld amount".

175. This claim is contrary to contract provisions and against the Public Policy of India.

176. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Introduction

177. This dispute pertains to the claim raised by the Claimant regarding the imposition of compensation for delay in work amounting to **Rs. 38,25,026/-**, which the Claimant alleges to have been levied arbitrarily and illegally by the Respondent, attributing the delay to hindrances caused by the Respondent itself.

178. The claim arises from letters dated **21.03.2022 (Exhibit C-67)** and **22.03.2022 (Exhibit C-68)**, issued by the Respondent SE and EE respectively, levying compensation as per Clause 2 of the contract.

Chronology of Events:

179. **Work commencement:** The contract initially stipulated the start date as **07.07.2020**, which was shifted to **28.08.2020** by the Respondent's letter dated **05.10.2020 (Exhibit C-15)**.

180. **Revised completion date:** Consequently, the completion date shifted from **22.05.2021** to **23.07.2021**.

181. **Determination of contract:** The contract was determined on **18.08.2021** due to alleged non-performance.

182. **Levy of compensation:** Compensation of **Rs. 38,25,026/-** was levied on **21.03.2022** and adjusted in the final bill.

Claimant's Position:

183. The Claimant contends that the delay in completing the work was primarily due to hindrances caused by the Respondent, including non-handing over of site on day one, the non-issuance of GFC drawings and failure to provide timely decisions during the work progress.

184. The Claimant highlights that the levy of compensation was decided **more than seven months** after the determination of the contract, contrary to the provisions of Clause 5.

185. Letters such as **15.03.2022 (Exhibit C-65)** explain the factual reasons for delays but were allegedly not carefully and reasonably considered by the Respondent.

Respondent's Position:

186. The Respondent asserts that the Claimant failed to execute the work within the extended period and delayed performance by **105 days** beyond justified extensions, leading to compensation under Clause 2 of the contract.

187. The Respondent attribute delays to the Claimant's inability to meet milestones and justifies the compensation as calculated pro-rata at **1% per month of the accepted tender value**.

Summary of Facts

188. The claimant was asked to submit an Extension of Time (EOT) case on 22.2.22, and although no request was received from the contractor, AE forwarded the EOT case to EE on 3.3.22. EE then sent the EOT case to SE on 7.3.22, recommending levy without demonstrating any financial loss to the government. The bill amount had not been finalized at the time of the levy of compensation on 21.3.22 and finalization of the bill occurring only on 27.3.22.

189. Meanwhile, the claimant formally applied for EOT on 15.3.22. SE had issued a show cause notice (SCN) on 8.3.22 (C-64) before claimant applied for EOT. SCN issued by SE failed to specify the quantum of work completed or the loss incurred by the government which is a requirement of clause 2. The claimant submitted reply to the SCN on 16.3.22, but SE did not seek comments from the Engineer in charge. Nevertheless, EE submitted his comments on 21.3.22, neither recommending the levy nor presenting evidence of government losses.
190. SE while issuing SCN mentioned that EE had extended time of contract up to 18.8.21 vide letter dated 7.3.22(R67). SE issued a corrigendum on 8.3.22 (R 67 page-208) itself that time was extended up to 23.7.21 only. There was no clarity at the office of competent authority that what is time of completion of contract and what was the completion date. It also proved that contract was not live when action under clause 3 was taken and action under clause 2 was taken at a belated stage i.e after 7 months of determination of contract.
191. EE while sending case to SE did not clearly submit factual position of handing over of site, with the EE asserting that all sites were handed over on 17.7.20, while official records (SOB C143, Page 213/3-4) indicate handover occurred much later and up to 24.9.20. Additionally, the pile foundation for Chaura site was finalized on 22.12.20. SE ultimately imposed compensation on 21.3.22, despite concerns over vague arguments regarding revision in drawings and ignoring the fact of major changes in drawings and hindrance claims, raising questions about procedural fairness and bias.

Analysis and Findings

192. **Assessment of Hindrances:** The Claimant has substantiated its claims regarding hindrances with documented evidence, including letters from the Respondent adjusting work timelines (Exhibit C-15) and communications about delays caused by external factors. The non availability of site, non-issuance of GFC drawings, revision of drawings and lack of timely decisions are critical points that merit consideration under Clause 5.

193. **Timelines of Compensation Decision:** Clause 5 of the contract mandates timely decisions regarding Extension of Time (EOT). The levy of compensation **seven months** post determination is procedurally inconsistent with this clause, supporting the Claimant's argument about procedural violations.
194. **Calculation of Delay and Compensation:** While the Respondent has detailed its calculation of compensation, it has not adequately addressed justified hindrances identified by the Claimant, which reduce the alleged delay significantly. While calculating delay respondent did not clarify delays attributable to each party. While sending his comments Engineer-in charge on 17.3.21 stated that all sites were handed over on 17.7.20 whereas site for Chaura was handed over on 28.8.20 and other sites were handed on 24.9.20 which was acknowledged by respondent in R-54. Bunker was existing at site which was not removed for long time. Whereas respondent stated that it was removed when asked to remove without mentioning any date. Nil hindrance has been considered which occurred due to change or revision in drawing. Engineer in charge in his reply dated 21.3.22 stated "Any change in drawing due to any reasons nothing is payable" Taking plea of this condition in contract, no hindrance has been allowed on this account which is not logically correct. Claimant submitted details of major changes in the drawings in his rejoinder reproduced above in para 18. It is crystal clear that major changes affected progress of work and unless work was put on hold these changes could not have been carried out. When there was no foundation drawing how work can proceed ? In such a situation plea taken by respondent that any change or revision in drawing nothing is payable, is a vague plea and effort to hide breach on the part of respondent. Hindrance on account of Covid 19 applied for 250 days and allowed only for 60 days where as Ministry of finance OM recommended allowing up to 6 months which shows that a judicious view has not been taken.
195. Respondent had agreed in R-54 that sites for two works were not handed over till 24.9.20. There have been hindrances due to revision in drawing and foundation was changed to pile foundation effect of which was not considered. Due to change in foundation type contractor had to arrange specialised agency and sophisticated

equipment which was not locally available. Whenever work is stopped due to hindrance contractor has remobilise his resources when hindrance is cleared. Certain minimum time of one week to 10 days is required to remobilise resources depending on type of resource. None of these factors have been considered. It seems that Competent authority has not applied his mind while deciding the EOT case. Engineer in charge has recommended 125 days as justified hindrance and same has been considered by SE the Competent Authority while arriving at net delay. Engineer in charge has recommended levy of compensation without stating any loss to Govt. which is requirement of clause 2. Portion of Clause 2 is reproduced as below “(i) Compensation for delay of work with maximum rate @ 1% (one percent) per month of delay to be computed on per day basis **based on quantum of damage suffered due to stated delay on the part of Contractor**” which means quantum of damages suffered are to be established and worked out before deciding to levy the compensation. Respondent neither established any damage suffered nor worked out its quantum which proves that levy is not as per clause 2 of the contract and action of respondent is contractually invalid. Above action of the respondent shows that he had a preconceived idea of levying the compensation without going into merits of the case and without taking a judicious view.

196. **Natural Justice:** The Respondent’s failure to consider the Claimant’s explanations (Exhibit C-65, Exhibit C-64) violates principles of natural justice, further undermining the validity of the compensation levied.

Conclusion

197. Based on the above analysis, it is determined that:

- a) The levy of **Rs. 38,25,026/-** as compensation for delay was procedurally flawed, contractually invalid and unjustified under Clause 5 and Clause 2 of the contract.
- b) The Respondent’s letters dated **21.03.2022 (Exhibit C-67)** and **22.03.2022 (Exhibit C-68)** imposing compensation are hereby quashed.

- c) The amount of **Rs. 38,25,026/-** adjusted in the Claimant's final bill shall be released to the Claimant.

Award

198. The Arbitral Tribunal awards Rs38,25,026/- in favour of claimant as action of respondent levying compensation has been held invalid under contract.

Amount of Award Rs 38,25,026/-

Claim no. 2: Contractor's claim of Rs. 1,76,850/- on account of loss due to watch and ward arrangements kept under compulsion for the prolonged period of contract and till 30.09.2021.

199. By present claim, the Claimant is seeking Rs.1,76,850/- towards watch and ward arrangements kept under compulsion as the work was prolonged beyond the stipulated time in the contract due to breaches of contract by the Respondent. All the delays in work were attributed to the department and the same have been furnished herein above which are not repeated here for the sake of brevity.
200. The work was stipulated to be completed on 22.05.2021 but due to various hindrances the work could not be completed by the stipulated time of completion due to hindrances attributed to the Respondent and the same were intimated vide Claimant's letter dated 15.03.2022 (Exhibit C-65). Thus the Claimants had to maintain watch and ward of site, stores, other assets, site workshop meant for the work located at three different locations, beyond the stipulated period of completion i.e w.e.f. 23.05.2021 to 30.09.2021 and till the work was taken over by the Respondent. Due to reasons mentioned hereinabove the completion of work was delayed and the Claimants were compelled to maintain day to day watch and ward of their assets and watch and ward during day time of work constructed till 30.09.2021 and up to taking over of the work by the Respondent. The decision for the TMT bars procured for the work was not being given by the Respondent, Refer Claimant's letter dated 05.10.2021 (Exhibit C-60). Therefore, the Claimant had to

maintain the watch & ward arrangement at site. The Claimant maintained the watch & ward arrangements up to 31.10.2021 but the Claimant claimed herein only up to 30.09.2021. Hence extra is payable on this account.

201. This is to state that the present claim of the Claimant is towards watch and ward arrangements only from 23.05.2021 & up till 30.09.2021 and during such delayed period, that is, w.e.f. 23.05.2021 the Claimant had to retain/deploy as the fact situation warrants for 3-Guards/chowkidars one at each site to ensure watch and ward arrangements till 30.09.2021.
202. This is to state that during such period w.e.f. 23.05.2021 to 30.09.2021, the Claimant had paid wages/salary to the Guards/chowkidars deployed for watch and ward as per details attached. Hence extra is payable on this account. Details of payment made to the 3-guards/chowkidars deployed at Site during the period from 23.05.2021 to 30.09.2021 is furnished as under:
203. In order to avoid prolixity, the Claimant crave reference to the facts stated hereinabove.
204. The details of the claim are given as under: -
- a) 3 nos. Guards/chowkidars deployed during period i.e. w.e.f. 23.05.2021 (Day after SDOC) to 30.09.2021 = 131 days
 - b) Guards/chowkidars = 3 nos @ Rs. 450 each/day x 131 days = Rs.1,76,850/-
 - c) The Claimant is, therefore, entitled for the above losses/damages due to breach of contract on the part of the Respondents.

The Claimants refer the Exhibits:

Letter dated 02.09.2021 Exhibit-C-59

Letter dated 05.10.2021 Exhibit-C-60

Letter dated 06.10.2021 Exhibit-C-61

Letter dated 30.10.2021 Exhibit-C-62

205. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.1,76,850/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 2.

Reply of the Respondent.

Claim No. 2: Contractor's Claim of Rs.1,76,850/- on account of loss due to watch and ward arrangements kept under compulsion for the prolonged period of contract and till 30.09.2021

206. The stipulated date of start of the work was 07/07/2020 and the stipulated date of completion of the work was 22/05/2021. Time Period of 320 days was allowed for completion of work for a value of Rs. 11, 18,42,877/- under the aforesaid contract Agreement. The assigned work was time bound with target date of completion 22/05/2021 but on the request of the claimant the date of start was shifted to 28/08/2020 and date of completion to 23/07/2021 vide this office letter No.23(21)/EE/BFD-II/CPWD/2020-21/757 dated 05/10/2020.
207. The reasons which caused delay in the work are totally attributed to the Claimant, such as, deployment of less labour/ manpower, machinery and equipment, centering, shuttering, materials, T&P etc.
208. The reasons for delay while seeking EOT submitted by the claimant himself has been discussed in Para V. (E) of this counter statement of facts. Accordingly, these are not being repeated here for the sake of brevity. As discussed, the reasons for delay in completion of work were not attributed to the Respondent.
209. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim, it is stated that the claimant has not submitted any documentary evidences and records for deployment of staff, payment of wages etc. The claimant has submitted only calculations in support of his claim which is based on unilaterally decided nos. of Guards/ chowkidar deployed, period of deployment and wages of chowkidars are imaginary assumptions, beyond agreement provisions and is liable to be rejected. The

claimant has failed to submit valid documents like books of accounts, labour reports, EPF, ESIC deduction statements/ deposition statement as a proof of payment in support of his claim.

210. Hence, this claim of the claimant is false, bogus, forged for one more reason as the delay allegedly attributed to the respondent is false and wrong on the face of the admitted records.

211. These admitted records includes records maintained by the claimant himself will show and prove to the Hon'ble Arbitral Tribunal that there was never any idle phase of work being executed by the claimant contractor. Thus, the present claim raised on the grounds of delay and prolongation of the contract is without any substantial and cogent document and evidence and deserves to be dismissed in light of the admitted and proved documents.

212. Since, the contract was determined on 18.08.2021, once the contract was determined by the respondent, it was the liability of the claimant to remove all the men, material and machinery from the sites immediately. Contrary to it, the respondent is entitled for compensation for misuse of Govt. land by the claimant.

213. The Respondent refers the Annexures:

- Letter dated 24.09.2021 Annexure R-58
- Letter dated 07.10.2021 Annexure R-59
- Letter dated 18.10.2021 Annexure R-60
- Letter dated 26.10.2021 Annexure R-61
- Letter dated 28.10.2021 Annexure R-62
- Letter dated 15.11.2021 Annexure R-63
- Letter dated 23.02.2022 Annexure R-65
- Letter dated 15.03.2022 Annexure R-66
- Letter dated 23.04.2022 Annexure R-74

214. This claim is contrary to contract provisions and against the Public Policy of India. Keeping in view of the above, this claim is frivolous not tenable under the eyes of

law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and award

Introduction

215. This arbitration proceeding addresses Claim No. 2 submitted by the Claimant, seeking compensation of Rs.1,76,850/- for maintaining watch and ward arrangements during the prolonged period of contract, from 23.05.2021 to 30.09.2021.

Background

216. The contract was awarded to the Claimant with a stipulated start date of 07.07.2020 and a stipulated completion date of 22.05.2021, as per the agreement.

217. It was stated by the respondent that on the request of the Claimant, the start date was shifted to 28.08.2020, and the completion date was extended to 23.07.2021, via letter No. 23(21)/EE/BFD-II/CPWD/2020-21/757 dated 05.10.2020. However, it is seen that start date was shifted due to non availability of site.

218. The Claimant alleges that due to delays caused by the Respondent, non handing over of all sites even on shifted date of start, revision in drawings, change in foundation type i.e. pile foundation in place of open foundation, non decision of place of disposal of earth including indecision regarding TMT bars (Exhibit C-60) and other hindrances, the contract work could not be completed within the stipulated time. Consequently, the Claimant was compelled to maintain watch and ward arrangements for the period mentioned above.

219. The Respondent disputes the claim, attributing the delay to the Claimant's lack of adequate resources and labour. The Respondent further contends that no supporting documentation for the claim, such as wage records or labour reports, has been provided.

Summary of Claim and Respondent's Defense

Claimant's Position:

- 220. The Claimant maintained three guards/chowkidars, one at each site, from 23.05.2021 to 30.09.2021.
- 221. Wages paid to the guards during this period amounted to Rs. 450/- per day, totalling Rs. 1,76,850/- for 131 days.
- 222. The Claimant asserts that this expenditure was necessary due to delays caused by the Respondent's breaches of contract.

Respondent's Position:

- 223. The delays were due to the Claimant's shortcomings in resource deployment and are not attributable to the Respondent.
- 224. The Claimant has not provided sufficient documentary evidence to substantiate the claim.
- 225. The claim is outside the provisions of the contract and is deemed frivolous and not admissible.

Analysis and Findings

- 226. The Claimant's letter dated 15.03.2022 (Exhibit C-65) and other correspondence, including Exhibit C-60, indicate repeated efforts to communicate the delays and hindrances to the Respondent. This supports the Claimant's contention that delays were attributable to the Respondent.
- 227. The Respondent has not adequately refuted these claims with evidence beyond general assertions of the Claimant's resource inadequacy.
- 228. In reply to the respondent that Claimant has not provided detailed wage records or statutory compliance documents (e.g., EPF, ESIC), it has been stated that at work site or nearby areas there were no ESIC facilities available as such no contribution

was deducted and deposited. The calculation of Rs. 1,76,850/- for 131 days with three guards appears reasonable based on industry norms.

Conclusion

229. After careful consideration of the facts, documents, and arguments presented by both parties, the following conclusions are drawn:

230. The Claimant's claim for maintaining watch and ward arrangements during the extended period is justified due to delays caused by the Respondent.

231. The absence of wage records does not negate the entirety of the claim, given the plausibility of the Claimant's calculations.

Award

232. The Arbitral Tribunal awards the Claimant a sum of Rs. 1,76,850/- as compensation for watch and ward arrangements for the period from 23.05.2021 to 30.09.2021

Amount of Award Rs 1,76,850/-

Claim No. 3: Contractor's claim of Rs. 62,54,500/- on account of loss due to prevented earning of profit (Loss of productivity) due to non-providing of decisions in time and other hindrances caused by the department as a result the work could not be completed in stipulated time and we could not earn requisite profit as the turnover remained lesser.

233. That by present claim, the Claimant is seeking Rs.61,96,704/- on account of loss of productivity due to various hindrances in work as a result of which Claimant could not earn requisite profit as the turnover remained lesser. It has been claimed by virtue of Section 73 of the Contract Act, 1872.

234. It is an admitted fact that the Claimant's staff establishment, centering, shuttering, T&P, Machinery and equipment were retained at Site during hindrances caused by the Respondent and during the prolonged period from 23.05.2021 to 18.08.2021 i.e. beyond the contractual period of 320-days w.e.f. 07.07.2020 to 23.05.2021 and

such prolongation of Contract was caused due to delays caused by the Respondent/client and none of the causes of delay were attributable to the Claimant as could be evident from the facts set out in hereinabove which are not repeated herein to avoid prolixity. This is to state that since Claimant's manpower, machineries and bank guarantees were held up in this work, hence the Claimant could not participate in similar Contracts and thereby prevented to earn its profitability. Copy of few such tender notifications which we intended to participate but could not do so, due to our huge amounts held up in the above work, are annexed as **Exhibit C-76 collectively** herewith. Thus, as a result thereof the Claimant could not earn the profit due to lesser turnover viz a viz as the work was contemplated to be completed within the stipulated period of 320-days. Accordingly, the Claimant deployed the resources to achieve completion of work by 22.05.2021. However, having regard to cause of delays, the Claimant could not earn its profit of 7.5% due to the lesser turnover, hence the Claimant is seeking such losses/damages/compensation considering 7.5% as profit on the amount of work remained unexecuted on determination of contract i.e. beyond 18.08.2021.

235. Having regard to facts that the contract price of the Work to be carried on and completed within the period fixed for completion i.e. within the period 320-days w.e.f. 07.07.2020 to 22.05.2021 was of Rs.11,18,42,877/-. Thus, on such amount, the Claimant while submitting its tender considered 15% as profit to be earned on pro-rata basis on the contract amount of Rs.11,18,42,877/-. However, instead the Claimant was permitted to execute the up to date work of Rs.8,06,80,380/- before determination of the contract. The Claimant submitted the 6th & final bill vide its letter dated 07.03.2022 for up to date payment of Rs. 8,06,80,380/- but the Respondent paid up to date Rs.2,92,20,158 only on 27.03.2022 (Exhibit C-85) Thus, the Claimant could not earn the profit as anticipated on getting the work completed of Rs.11,18,42,877/-within the period of 320-days. However, herein the contract was illegally and unlawfully determined on 18.08.2021. Accordingly, the profit is being claimed at the rate of 7.5% on such balance contract amount of work remained unexecuted/balance unpaid of Rs.8,26,22,719/- as for which the Claimant was

prevented to earn profit during the stipulated period of completion. As per Section 28 (3) Arbitration and Conciliation Act, 1996 i.e. usage of trade applicable in such contracts, the loss of profitability/productivity due to lesser turn-over is considered @ 15% of the contract value as per practice in CPWD works contracts which is further bifurcated to 7.5% being Profit component and remaining 7.5% as Overheads in the work as per the practice in the C.P.W.D. and the calculations are set out here under.

236. In order to avoid prolixity, the Claimant crave reference to the facts stated hereinabove.

237. Without prejudice to afore-going, even adopting the Hudson Formula, it would be seen that the Claimant is entitled to receive from Respondent a sum of Rs.61,96,704/- considering the profit @ 7.5% and the amount due for payment is worked out as per details set out hereunder:

Contract amount = Rs.11,18,42,877/-

Work done up to 18.08.2021 but only paid = Rs.2,92,20,158/-

Amount of work balance to be paid/remained incomplete = Rs. 8,26,22,719/-

LOSS OF PROFIT

LOSS OF PROFIT @ 7.5% on the work remained unpaid/unexecuted at the end of contract i.e on 18.08.2021 = Rs.8,26,22,719/- X 7.5%
= Rs.61,96,704/-

238. However, it is significant to note that the amount claimed by the Claimant herein of Rs.61,96,704/- as prayed for is just and reasonable.

239. The Claimant in this regard for award of the present claim besides Section 28(3) of the Arbitration and Conciliation Act, 1996 made reference to Section 28(1) thereof

provides for applicability of substantive law i.e. herein Sections 54 & 73 of the Contract Act, 1872.

240. It is a definite case of the Claimant for compensation by virtue of Section 73 of the Contract Act, 1872 for the hindrances/breaches caused by the Respondent/client resulted in prolongation of Contract and thereby the turnover as for carrying on the work remained lesser.
241. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.
242. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.61,96,704/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 3.

The Claimants refer the Exhibits:

243. Letter dated 04.07.2020 Exhibit C-3, Letter dated 09.07.2020 Exhibit C-4
244. Letter dated 15.07.2020 Exhibit C-5, Letter dated 14.08.2020 Exhibit C- 7
245. Letter dated 18.08.2020 Exhibit C-8 (Respondent's letter), Letter dated 26.08.2020 Exhibit C-9, Letter dated 04.09.2020 Exhibit C-10, Letter dated 21.09.2020 Exhibit C-13, Letter dated 01.10.2020 Exhibit C-14, Letter dated 05.10.2020 Exhibit C-15 Respondent's letter shifting of date of start
246. Letter dated 13.10.2020 Exhibit C-16, Letter dated 03.11.2020 Exhibit C-18, Letter dated 25.11.2020 Exhibit C-22, Letter dated 06.12.2020 Exhibit C- 23, Letter dated 26.12.2020 Exhibit C-26, Letter dated 04.04.2021 Exhibit C-37, Letter dated 28.04.2021 Exhibit C-39, Letter dated 06.06.2021 Exhibit C-46, Letter dated 05.07.2021 Exhibit C-51, Letter dated 14.08.2021 Exhibit C- 52, Letter dated 18.08.2021 Exhibit C- 53, Letter dated 15.03.2022 Exhibit-C-65

Reply of the respondent

Claim No. 3: Contractor's Claim of Rs.62,54,500/- on account of loss due to prevented earning of profit (Loss of productivity) due to non-providing of decisions in time and other hindrances caused by the Respondent as a result the work could not be completed in stipulated time and we could not earn requisite profit as the turnover remained lesser.

247. The stipulated date of start of the work was 07/07/2020 and the stipulated date of completion of the work was 22/05/2021 as being 320 days was allowed for completion of work for a value of Rs. 11,18,42,877/- under the aforesaid contract Agreement. The assigned work was time bound with target date of completion 22/05/2021 but on the request of the claimant the date of start was shifted to 28/08/2020 and date of completion to 23/07/2021 vide office letter No.23(21)/EE/BFD-II/CPWD/2020-21/757 dated 05/10/2020.
248. The reasons which caused delay in work are entirely attributed to the Claimant, such as, deployment of less labour/ manpower, machinery and equipment, centering, shuttering, materials, T&P etc. The reasons for delay while seeking EOT submitted by the claimant himself has been discussed in Para V. (E) of SOD. Accordingly, these are not being repeated here for the sake of brevity. As discussed, the reasons for delay in completion of work were not attributed to the Respondent.
249. All the decisions were conveyed well in time and as and when required at site during the progress of work.
250. As per Clause 3 of the Agreement (when contract can be determined) , "Subject to other provisions contained in this clause, the Engineer-in-Charge may, without prejudice to his any other rights or remedy against the contractor in respect of any delay, not following safety norms inferior workmanship, any claims for damages and/or any other provisions of this contract or otherwise, and whether the date of completion has or has not elapsed, by notice in writing absolutely determine the contract in any of the following cases:

251. If the contractor having been given by the Engineer-in Charge a notice in writing to rectify, reconstruct or replace any defective work or that the work is being performed in an inefficient or otherwise improper or un-workman like manner shall omit to comply with the requirement of such notice for a period of seven days thereafter.
252. If the contractor has, without reasonable cause, suspended the progress of the work or has failed to proceed with the work with due diligence and continues to do so after a notice in writing of seven days from the Engineer-in-Charge.
253. If the contractor fails to complete the work or section of work with individual date of completion on or before the stipulated or justified extended date, on or before such date of completion; and the Engineer in Charge without any prejudice to any other right or remedy under any other provision in the contract has given further reasonable time in a notice given in writing in that behalf as either mutually agreed or in absence of such mutual agreement by his own assessment making such time essence of contract and in the opinion of Engineer-in-Charge the contractor will be unable to complete the same or does not complete the same within the period specified.
254. If the contractor persistently neglects to carry out his obligations under the contract and/ or commits default in complying with any of the terms and conditions of the contract and does not remedy it or take effective steps to remedy it within 7 days after a notice in writing is given to him in that behalf by the Engineer-in-Charge
.
255. (xii) When the contractor has made himself liable for action under any of the aforesaid cases (i) to (xi), the Engineer-in-Charge on behalf of the President of India shall have powers:
- a) To determine the contract as aforesaid so far as performance of work by the Contractor is concerned (of which determination notice in writing to the If the revised tendered amount (worked out on the basis of quoted rate of individual items) contractor under the hand of the Engineer-in-Charge shall be conclusive evidence). Upon such determination, the Earnest Money Deposit, Security

Deposit already recovered, Security deposit payable and Performance Guarantee under the contract shall be liable to be forfeited and shall be absolutely at the disposal of the Government.

- b) After giving notice to the contractor to measure up the work of the contractor and to take such whole, or the balance or part thereof, as shall be un-executed out of his hands and to give it to another contractor to complete the work. The contractor, whose contract is determined as above, shall not be allowed to participate in the tendering process for the balance work. In the event of above courses being adopted by the Engineer-in-Charge, the contractor shall have no claim to compensation for any loss sustained by him by reasons of his having purchased or procured any materials or entered into any engagements or made any advances on account or with a view to the execution of the work or the performance of the contract. And in case action is taken under any of the provision aforesaid, the contractor shall not be entitled to recover or be paid any sum for any work thereof or actually performed under this contract unless and until the Engineer-in-Charge has certified in writing the performance of such work and the value payable in respect thereof and he shall only be entitled to be paid the value so certified".
256. The claimant was requested many times to expedite the progress of the work and deploy the required resources like T&P, man, machinery etc. but the claimant always failed to achieve the targets as per completion programme submitted by him. The assigned work was not executed up to extended date of completion on account of reasons solely attributable to the claimant. Hence the claim is strongly denied.
257. It is further submitted that the law of contractual damage is governed by Section 55 & Section 73 of the Indian Contract Act. This section further provides that in order to be eligible to receive such damages, the party who suffers losses due to breach of contract, will give notice of his intention to claim compensation, to the party who is responsible for causing such damage at the earliest possible time when such damage is suffered or expected to be suffered. This section aims to alert the

breaching party and give him an opportunity to contain or avoid such damage. It also affords an opportunity to breaching party to contest the claim of damage lodged by the party giving such a notice.

258. Thus, it is clear that in order to claim such damages, certain conditions need to be essentially fulfilled by the contractor as follows:

- (i) Proof of definite breach of contract on the part of other party which caused loss to the contractor;
- (ii) Notice under section 55 to the other party at the appropriate time about suffering of loss or damage;
- (iii) Proof of sufferance of such damage and its quantum;
- (iv) Efforts made by the contractor to mitigate such losses; and
- (v) The loss arose naturally in the usual course of things from such breach or the party knew when they made the contract, to be likely to result from the breach of it, meaning liable to be that the losses are not indirect or remote.

259. Thus, the claimant is not entitled to the claims of damages as he did not fulfil any of the conditions which are necessary pre- requisites for claiming damages.

260. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim, it is stated that Calculation in the claim has been worked out by taking some imaginary coefficients which have no basis and are beyond the provisions of contract.

261. Further, the Claimant in his calculation stated that the work amounting to Rs 8,26,22,719/- was remain unexecuted/ balance remain unpaid during the stipulated period of completion of work and the Respondent had only paid Rs.2,92,20,158/- to him. The department paid the 6th and final RA bill to the claimant upon determination of the contract under Clause 3 of the Agreement. Since the claimant did not participate in the measurement despite repeated requests by the

department. Thus, the contention of the claimant that they could not earned requisite profit during stipulated period is not true, correct and liable to be rejected.

262. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim, it is stated that the calculation submitted by the claimant is not correct and are based on imaginary assumptions, beyond agreement provisions and is liable to be rejected.
263. The Hon'ble Ld. Arbitrator may rely upon the judgment of Hon'ble Madhya Pradesh High Court in the case of M/S Saluja Construction Co. v. State of M.P. Civil revision no. 2136/1995, decided on 7.09.1999, where in the Court has observed as under:
264. "Claimant must prove the actual loss of profit and on failure to prove loss of profit, contractor is not entitled for loss of profit."
265. The Respondent rely upon the recently judgment of Supreme Court of India in case of M/S UNIBROS v/ s ALL INDIA RADIO "as per the judgment a claim of damages, whether general or special, cannot as a matter of course result in an award without proof of the claimant having suffered injury. The Arbitral award in question, in our opinion, is patently illegal and that is based on no evidence and is, thus, out rightly perverse, therefore, again, it is in conflict with the public policy of India as contemplated by section 34(2) (b) of the act".
266. This claim of the claimant is false, bogus, forged for one more reason as the delay allegedly attributed to the respondent is false and wrong on the face of the admitted records. These admitted records includes records maintained by the claimant himself will show and prove to the Hon'ble Arbitral Tribunal that there was never any idle phase of work being executed by the claimant contractor. Thus, the present claim raised on the grounds of prolongation of the contract resulted in determination is without any substantial and cogent document and evidence and deserves to be dismissed in light of the admitted and proved documents.
267. The Respondent refers the Annexures:

Letter dated 14.07.2020 Annexure R-4, Letter dated 21.07.2020 Annexure R-5, Letter dated 05.08.2020 Annexure R-7, Letter dated 05.12.2020 Annexure R-20, Letter dated 07.12.2020 Annexure R-21, Letter dated 15.12.2020 Annexure R-23, Letter dated 01.01.2021 Annexure R-27, Letter dated 06.04.2021 Annexure R-37, Letter dated 28.05.2021 Annexure R-45, Letter dated 24.06.2021 Annexure R-53, Letter dated 11.06.2021 Annexure R-48, Letter dated 24.06.2021 Annexure R-53, Letter dated 17.08.2021 Annexure R-56, Letter dated 27.08.2021 Annexure R-57

268. This claim is contrary to contract provisions and against the Public Policy of India. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and award

269. **Claim:** Loss of profit due to prevented earning as a result of delays and hindrances caused by the Respondent, amounting to Rs. 61,96,704/-, filed under Claim No. 3.

Background Facts

270. The contract for work valued at Rs. 11,18,42,877/- was signed between the Claimant and the Respondent with a stipulated completion period of 320 days from 07/07/2020 to 22/05/2021.

271. Due to delays and hindrances allegedly caused by the Respondent, the contractual period was extended to 23/07/2021, and the contract was ultimately determined on 18/08/2021.

272. The Claimant alleges that these delays led to reduced turnover and prevented the earning of requisite profit, claiming a loss of profit at 7.5% of the unexecuted balance work value, calculated as Rs. 61,96,704/-.

Arguments presented by the Claimant:

- 273. Hindrances caused by the Respondent resulted in delays beyond the stipulated completion period.
- 274. Resources (manpower, machinery, etc.) were retained at the site during the extended period, preventing the Claimant from participating in other contracts.
- 275. Profit was calculated at 7.5% on the unexecuted balance of Rs. 8,26,22,719/-.
- 276. The claim is based on Sections 54 and 73 of the Contract Act, 1872, and usage of trade under Section 28(3) of the Arbitration and Conciliation Act, 1996.
- 277. Reference to case laws supporting the calculation of damages, including the Hudson Formula.

By the Respondent:

- 278. Delays were caused by the Claimant due to insufficient resources and inefficiency, as documented in various communications.
- 279. The Claimant failed to prove actual loss of profit, as per judgments cited, including **M/S Saluja Construction Co. v. State of M.P.** and **M/S Unibros v/s All India Radio**. Conditions specified are not met with.
- 280. Calculations provided by the Claimant were based on imaginary coefficients without contractual basis.

Observations

- 281. **Prolongation of Contract:** Evidence provided indicates that the contract was prolonged beyond the stipulated period due to reasons attributed to the Respondent. However, specific instances of hindrances caused by the Respondent were not sufficiently addressed timely. Respondent has taken plea that due to delays on the part of claimant action was taken under clause 3 of the contract and contract was determine on 18.8.21. However, determination of the contract has been held invalid as decided in claim no 1.

282. **Calculation of Loss:** The Claimant relied on the Hudson Formula and CPWD trade practices to establish loss of profit. However, such formulas require clear proof of actual loss, which was demonstrated by the claimant by submitting his financial statements which clearly shows that there was substantial decrease in turnover of claimant for the year 2020-21 and 2021-22 (**Exhibit C-159 page 239/1**) when his contract was determined.
283. **Case Law References:** Case laws cited by both parties highlight the necessity of proving actual loss for claims of damages. In **M/s Saluja Construction Co. v. State of M.P.**, the court emphasized that loss of profit must be substantiated with evidence. As stated above loss of turnover has been substantiated by financial statements of the claimant.
284. Case law of M/s Unibros vs All India Radio decided on 19.10.23 is relied upon where para 17 evidences required to consider loss of opportunity is stated as below: “ It may generally include independent contemporaneous evidence such as other potential projects that the contractor had in the pipeline that could have been undertaken if not for the delays, total number of tendering opportunities that the contractor received and declined owing to prolongation of the contract, financial statements or any clauses of the contract related to delays” All above criteria has been fulfilled in this case as claimant submitted proof of available tendering opportunities for which he could not submit tender due to blockage of his money and claimant has submitted financial statements which proves that there is substantial reduction in his turnover due to delays and prolongation of contract. Substantial loss in turnover has resulted into loss of profit. Claimant is entitled for loss of profit due to loss of opportunity. Further in para 19 it has been decided as under : “ The law , as it should stand thus, is that for claims related to loss of profit, profitability or opportunities to succeed, one would be required to establish the flowing conditions: First, there was delay in the completion of the contract; second, such delay is attributable to the respondent; third, the claimant’s status as an established contractor, handling substantial projects; and fourth, credible evidence to substantiate the claim of loss of profitability. In view of the above, I am of the

considered view that claimant's case is fit for awarding loss of profits due to fulfilling all the conditions.

First : As there was delay in the completion of the contract; second, such delay is attributable to the respondent as already established in claim no 1 and claim no 11; third, the claimant's status as an established contractor, handling substantial projects, Claimants has submitted list of projects handled in period 2017-2020 (Exhibit C-158 page 228) which proves that claimant is an established contractor and fourth, credible evidence to substantiate the claim of loss of profitability. It has been explained in above para that there has been considerable decrease in turnover for the year 2020-21 and 2021-22 (Exhibit C-159 page 239/1) of the claimant due to delays and less execution of work.

Conclusion by Arbitral Tribunal

Based on the review of documents, arguments, and evidence, the Arbitral Tribunal concludes the following:

285. The Claimant provided sufficient evidence proving the actual loss of profit due to hindrances which resulted in delay and prolongation of contract caused solely by the Respondent.

286. The methodology and calculations used by the Claimant are supported by contractual provisions or substantiated facts.

The claim for Rs. 61,96,704/- is moderated as claim of unmeasured and extra work has been held valid to the extent of Rs. 202,25,298/-. As such unexecuted work will be as below:

Contract amount = Rs.11,18,42,877/-

Work done up to 18.08.2021 but only paid = Rs.2,92,20,158/-

Work done i/c extra work justified in claim no.8 = Rs.2,02,25,298/-

Amount of balance work /remained to be executed = Rs.6,23,97,421/-

Reducing 15 % profit and overheads = Rs.6,23,97,421/- / 1.15
= Rs.5,42,58,627/-

LOSS OF PROFIT

Keeping in view profit earned earlier as per financial statements and mitigation of losses a profit @5 % is considered reasonable. Profit earned in previous year has been submitted by claimant at Exhibit C160/ page 230 details of which are as below:

Particulars	Year – 2017-18	2018-19	2019-20
Gross Annual Turn over	2002.39	657.76	1431.96
Profit after taxes	147.44	44.68	93.72
Profit percentage	7.36	6.71	6.54

Average profit earned 6.87%

LOSS OF PROFIT on the work remained unexecuted at the end of contract is assessed at 5% in view of profit earned in previous years and keeping in view mitigation of losses i.e on 18.08.2021 = (Rs.5,42,58,627) X 5% = Rs. 27,12,931/-

Award: The claim of Rs. 61,96,704/- is justified to the extent of Rs 27,12,931, I award Rs 27,12,931/- under claim no 3 in favour of claimant.

Amount of Award Rs 27,12,931/-

Claim no. 4 : Contractor's claim of Rs. 40,00,000/- on account of escalations in construction cost due to market inflation for the agreement items of work executed during the stipulated/extended period of contract.

287. By present claim, the Claimant is seeking Rs.39,51,069/- by way of loss incurred to Claimant due to escalation in cost of materials & labour during stipulated/ prolonged period of contract & other hindrances in work attributed to the Respondent.

288. That the tender's last date of submission was 17.03.2020. The work was awarded to the Claimant vide Respondent's letter dated 16.06.2020 with its stipulated date

of completion as 07.07.2020. The work was actually illegally and unlawfully determined on 18.08.2021.

289. By present claim, the Claimant is seeking Rs.39,51,069/- on account of escalation in construction cost due to market inflation for the works executed during stipulated period/beyond the stipulated period of Contract on account of breach of contract committed by the Department. The Respondent has also paid the escalation by wrong calculation made under the escalation clauses in the contract. It has been claimed by virtue of Section 73 of the Indian Contract Act, 1872 as per detail set out herein. Relevant Indices are also annexed marked as **Exhibit C-82 in SOC Part-III collectively**.
290. The claimant submits that the undertakings given by the claimant (which was withdrawn vide letter dated 04.01.2023), were given under economic and commercial duress due to the dominant position enjoyed by the Respondents. **Moreover, the entire delay was attributed to the Respondents either by delayed decisions of increase in scope of work or other hindrances viz. late /piece meal decisions of handing over the site for work, non-issue of timely Good for Construction Structural drawings, delay in release of payments for the work done, Lesser working hours due to daily security checks in the morning & evening and during day time being the location of work at Indo-Pak Border.** The claimant hereby refers the exhibits for the causes of delay. The delay was totally attributed to the Respondents for the reasons/hindrances mentioned in Claimant's letter dated 15.03.2022 (**Exhibit C-65**) and hereinabove, hindrances not cleared from site in a time bound manner by the department.
291. In order to avoid prolixity, the Claimant crave reference to the facts stated hereinabove.
292. This is to state that in this work due to the hindrances attributed to the Respondents at the initial stage due non-handing over of the site for the work, the Respondent vide letter dated 05.10.2020 (Exhibit C-15) shifted the date of start to 28.08.2020. Claimant submitted that not even a single hindrance was attributed to the Claimant.

Due to breaches of specific terms and conditions of contract by the Respondents the work delayed and contract period prolonged and the Claimant suffered huge losses due to increase in rates of construction materials, hire charges of machinery/equipment labour cost and other miscellaneous input costs during the stipulated/prolonged period of contract.

293. Briefly, the present claim has come to be made by virtue of Section 73 of Indian Contract Act as a result of breaches caused by the Respondent resulted in delay in work/prolongation of Contract. Detail of breaches caused by the Respondent in performing their contractual obligations resulted in delay in work/prolongation of Contract beyond the contractual period are elaborated by the Claimant extensively in its letter dated 15.03.2022 and also herein above and the same may kindly be referred to.
294. It is a definite case of the Claimant for compensation by virtue of Section 73 of the Indian Contract Act, 1872 for the breaches caused by the Respondent resulted in delay in work/prolongation of Contract and during such stipulated/prolonged period the construction cost was increased due to market inflation for the **quantum of works of agreement items executed during/beyond the stipulated period of Contract** and it was incurred by the Claimant as per detail set out here under. The claim was submitted to the Respondent EE (BFD-II) Amritsar, & SE (BFC) CPWD, Ferozepur & CE(BFZ), CPWD New Delhi vide Claimant's letters dated 04.01.2023 (**Exh. C-70**), 02.02.2023 (**Exh. C-71**), 25.02.2023 (**Exh. C-72**) respectively but they did not bother to release the amounts.
295. Certainly, the Respondent cannot take advantage of their breaches and should have released the amount due to variation in prices of material and labour under the contract prevailing at the time of stipulated/prolonged period of contract. It may be noted that the Respondent has made lesser payment of escalation of labour & Steel, Cement under clause-10C & 10CA by restricting the indices on the stipulated date of completion. The Claimant has, therefore, claimed escalation for materials and labour for the stipulated/prolonged run period of contract by taking 45% of the

quantum of materials and 25% component of labour and also claimed lesser payment made under clause 10CA/10C. The labour component has been mentioned as 25% in the work under clause-10C in the Schedule-F in the agreement.

296. It is also significant to note that there is no prohibition clause which prevents allowing damages to cover escalation in prices of materials and labour during the contract period as well as in extended period of contract, which has happened due to breach by Respondent. For claim on damages as envisaged under Section 73 of the Indian Contract Act, there need not be any provision in the contract to claim damages.
297. The responsibility of the fundamental losses and other damages due to various breaches and lapses squarely rest with the Engineer-in-charge/Respondent to camouflage the real facts and anxiety to cover up the departmental delays/lapses and defaults. The party at default cannot be benefited by his own defaults. Thus, the Claimant is entitled to payment of escalation in construction cost due to increase in cost of materials and labour during the stipulated/extended period of contract. **Escalation is a normal incident arising out of gap of time in this inflationary age in performance of contracts.** The Claimant cannot be denied compensation for the work done by the Claimant at the rate which was prevailing during the relevant period when the work was executed. The claimant estimated the escalation in cost as per indices published by Economic Advisor to Govt. of India, New Delhi for escalation in cost of materials which is a accepted base for calculations for working out escalation in construction cost of materials in support of the claim. The labour wages of unskilled labour have been adopted for calculation of escalation in cost of labour as notified by Central Labour Commissioner, Govt. of India, New Delhi from time to time. The details of losses incurred by the claimant due to escalation in construction cost is set out as here under:

Escalation in cost of construction during stipulated/extended period of contract:

Total Work done in agreement items in stipulated/prolonged
period of contract & paid = Rs.2,92,20,158/-

Materials:

Indices issued by Office of the Economic Advisor to Govt. of India on the last date of
submission of tenders i.e. on 17.03.2020 (**Base 2011-12**) = 120.4

Indices issued by the Office of the Economic Advisor to Govt. of India on the date of
determination of contract i.e. on 18.08.2021 (**Base 2011-12**) = 136.2

Average indices = $(120.4+136.2)/2 = 128.3$

Escalation in cost of materials:

Civil Work: Rs.2,92,20,158/- x 45% x $(128.3-120.4)/120.4$
= Rs.8,62,771/- (A)

Escalation in cost of labour 10C :

Amount of labour component in the work executed:

Minimum Wage applicable for un-skilled labour issued by Central Labour Commissioner
New Delhi on the date of submission of tender i.e. on 17.03.2020 = **Rs.403/-p.d.**

Minimum Wage applicable for un-skilled labour issued by Central Labour Commissioner
New Delhi on the date 01.10.2020 = **Rs.427/-p.d.**

Minimum Wage applicable for un-skilled labour issued by Central Labour Commissioner
New Delhi on the date of submission of tender i.e. on 01.04.2021 = **Rs.431/-p.d.**

Minimum Wage applicable for unskilled labour issued by Central Labour Commissioner
New Delhi on the date of determination of contract i.e. on 18.08.2021 = **Rs. 431/-p.d.**

Escalation in labour cost 10C:

1st R/A bill = Rs.42,06,056/- x 85% x 25% x (427 – 403)/403 = Rs.53,228/-
 2nd R/A bill = Rs.34,82,629 x 85% x 25% x (427 – 403)/403 = Rs.44,073/-
 3rd& 4th R/A bill = Rs.79,73,493 x 85% x 25% x (431 – 403)/403 = Rs.1,17,723/-
 5th R/A bill = Rs.72,42,038 x 85% x 25% x (431 – 403)/403 = Rs.1,06,923/-
 6th & final bill = Rs.63,15,932 – 62,400 – 6,43,189 – 20,53,440
 (M.R. items) = Rs.35,56,903/-

6th & final bill = Rs.35,56,903 x 85% x 25% x (431 – 403)/403 = Rs.52,515/-

Total = Rs.3,74,462/- (B)

(III) Escalation under Clause-10CA (TMT bars):

Base price of steel bars in NIT (CIO) = Rs.38,875 per MT

November, 2020:

TMT bars procured during November 2020 = 101.46 MT

CI = Rs.45000 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $38875 \times 101.46 \times \{(45000-38875)/38875\}$ = Rs.6,21,442/-

March, 2021:

TMT bars procured during March 2021 = 35.720 MT

CI = Rs.53,400 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $38875 \times 35.720 \times \{(53400-38875)/38875\}$ = Rs.5,18,833/-

April, 2021:

TMT bars procured during April 2021 = 13.85 MT

CI = Rs.56800 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $38875 \times 13.850 \times \{(56800 - 38875)/38875\} = \text{Rs.}2,48,261/-$

May, 2021:

TMT bars procured during May 2021 = 16.583 MT

CI = Rs.59900 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $38875 \times 16.583 \times \{(59900 - 38875)/38875\} = \text{Rs.}3,48,658/-$

June, 2021:

TMT bars procured during June 2021 = 16.910 MT

CI = Rs.59900 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $38875 \times 16.910 \times \{(59900 - 38875)/38875\} = \text{Rs.}3,55,533/$

.....

Rs.20,92,727/- (C)

(I) Escalation under Clause-10CA (Cement OPC):

Base price of Cement OPC in NIT (CIO) = Rs.5156.00 per MT

February, 2021:

Cement OPC procured during February,2021 =15.00MT

CI = Rs.6538 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $5156 \times 15.00 \times \{(6538-5156)/5156\} = \text{Rs.20,730/-}$

March, 2021:

Cement OPC procured during March,2021 = 252.00 MT

CI = Rs.6538 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $5156 \times 252.00 \times \{(6538-5156)/5156\} = \text{Rs.3,48,264/-}$

April, 2021:

Cement OPC procured during April,2021 = 76.00 MT

CI = Rs.6381 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $5156 \times 76.00 \times \{(6381-5156)/5156\} = \text{Rs.93,100/-}$

May, 2021:

Cement OPC procured during May,2021 = 38.00 MT

CI = Rs.6300 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = PxQx\{(CI-CIO)/CIO\}$

= $5156 \times 38.00 \times \{(6300-5156)/5156\} = \text{Rs.43,471/-}$

June, 2021:

Cement OPC procured during June,2021 = 101.00 MT

CI = Rs.6300 per MT as issued by ADG office CPWD Chandigarh

Escalation (10CA) = $V = P \times Q \times \{(CI - CIO)/CIO\}$

= $5156 \times 101.00 \times \{(6300 - 5156)/5156\} =$ Rs.1,15,544/-

.....

Rs.6,21,109/- (D)

Total Escalation payable =A+B+C+D

= Rs.8.62,771+3,74,462+20,92,727+6,21,109

= Rs,39,51,069/-

Payment already made under clause 10C = (-) Rs.

Payment already made under clause 10CA = (-) Rs.

The details of payment made under Clause 10C & 10CA has been requested from the Respondent but was not been received by the Claimant. Hence, the payment made shall be adjusted in this claim in the Rejoinder by the Claimant.

Copies of indices for materials & labour are enclosed herewith (Exh. C-82).

298. This is to state that the delay in work and work prolonged due to faults of the Respondent in not removing the hindrances in work in time bound manner and non-providing the necessary decisions required to progress the work in requisite pace. Reference is made to the letters written in this regard annexed herewith marked as Exhibits viz...Letter dated 04.07.2020 (Exhibit C-3), 09.07.2020 (Exhibit C-4), 15.07.2020 (Exhibit C-5), 14.08.2020 (Exhibit C-7), 18.08.2020 (Exhibit C-8), 26.08.2020 (Exhibit C-9), 04.09.2020 (Exhibit C-10), 21.09.2020 (Exhibit C-13),

01.10.2020 (Exhibit C-14), 05.10.2020 (Exhibit C-15 Respondent's letter shifting of date of start), 13.10.2020 (Exhibit C-16), 03.11.2020 (Exhibit C-18), 25.11.2020 (Exhibit C-22), 06.12.2020 (Exhibit C-23), 26.12.2020 (Exhibit C-26), 04.04.2021 (Exhibit C-37), 28.04.2021 (Exhibit C-39), 06.06.2021 (Exhibit C-46), 05.07.2021 (Exhibit C-51), 14.08.2021 (Exhibit C-52), 18.08.2021 (Exhibit C-53) and 15.03.2022(Exhibit C-65).

299. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.39,51,069/- on account of escalation in construction cost due to market inflation for the works of agreement items executed during stipulated/prolonged period of Contract on account of breach of contract committed by the Department or otherwise due by virtue of Section 73 of the Contract Act, 1872 as per detail set out as herein above.

300. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.39,51,069/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No.4.

Reply of the respondent.

Claim No. 4: Contractor's Claim of Rs.40,00,000/- on account of escalations in construction cost due to market inflation for the agreement items of work executed during the stipulated/extended period of contract.

301. The agreement has been drawn between claimant and respondent which include General Conditions of Contract 2020 with correction slip up to date of submission of tender. The Claimant and the Respondent both are bound with the Conditions/ Procedure mentioned in General Condition of Contract 2020. There are provisions in the contract for escalation in labour price and material price after receipt of tender. Clause 10C is for escalation in labour rates and Clause 10CA is for escalation in material prices mentioned in schedule.

302. As per provision of the contract, escalation for material under Clause 10 CA (i.e. for cement and steel) amounting to Rs.6,44,339/- (Annexure R-8) has already been paid to the Claimant for the work done up to the date of determination of the contract.

Thus, the contention of the claimant that they had incurred extra cost due to price escalation for the quantum of work up to the date of determination of the contract (R-64) is not true, correct and liable for rejection.

303. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim, it is stated that the claimant in his calculation stated that he has done the work of Rs.8,06,80,380/- before determination of contract is not correct. While as per Annexure-R-8, it can be seen that as per 6th and final bill, the amount of Rs.2,92,20, 159/- was paid to the claimant by the Respondent after determination of the contract under Clause 3 of the Agreement after finalization of measurements since the claimant did not participate in the measurement despite repeated requests by the department.

Escalation in cost of material

304. Escalation in cost of material as specified in schedule-F had been paid up to the date of determination of Contract as per pre-defined clause 10CA of the contract as per Annexure (R-8).
305. The claimant considers some coefficients like 45% and indices for calculation of his claim are not mentioned in the contract which is beyond contract provisions.

Escalation in cost of labour I0C

306. The claimant has submitted the only calculation sheet in support of his claim. The claimant has failed to submit the details of wages paid to the labour, which has to be submitted by the claimant in support of his claim as per Clause I0C of GCC.
307. In this regard, the Hon'ble Ld. Arbitrator is requested to refer Clause I0C of GCC at page No. 26 "The contractor shall, within a reasonable time of his becoming aware of any alteration in the price of any such materials and/or wages of labour, give notice thereof to the Engineer-in-Charge stating that the same is given pursuant to this condition together with all information relating thereto which he may be in position to supply".

308. The claimant did not send a notice to the Respondent within a reasonable time of his becoming aware of any alteration in the prices of any such materials and/or wages of labour.

(iii) & (iv) Escalation under Clause 10CA (TMT Bars & Cement OPC)

309. The claimant has submitted the calculations in support of his claims after considering price indices for Steel Reinforcement Bars and Cement OPC as issued by the ADG office, CPWD, Chandigarh. Whereas, as per Clause 10CA of the Agreement, the price indices for Steel Reinforcement Bars and Cement OPC should be as issued by the o/o Director General, CPWD.

310. It is also important to mention here that the Respondent has already paid amount of Rs.6,44,339/-to the claimant on account of Clause 10CA as per provisions of Agreement.

311. Hence, this claim of the claimant is false, bogus, forged, wrong on the face of the admitted records, contrary to contract provisions and against the Public Policy of India.

312. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

313. The Respondent refers the Annexures:

Letter dated 14.07.2020 Annexure R-4, Letter dated 21.07.2020 Annexure R-5, Letter dated 05.08.2020 Annexure R-7, Letter dated 05.12.2020 Annexure R-20, Letter dated 07.12.2020 Annexure R-21, Letter dated 15.12.2020 Annexure R-23, Letter dated 05.01.2021 Annexure R-27, Letter dated 06.04.2021 Annexure R-37, Letter dated 28.05.2021 Annexure R-45, Letter dated 24.06.2021 Annexure R-53, Letter dated 11.06.2021 Annexure R-48, Letter dated 24.06.2021 Annexure R-53, Letter dated 17.08.2021 Annexure R-56, Letter dated 27.08.2021 Annexure R-57

314. This claim is contrary to contract provisions and against the Public Policy of India. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Background:

315. The Claimant has raised a claim for Rs. 39,51,069/- on account of escalation in the cost of materials and labour during the stipulated and extended period of the contract, alleging delays and hindrances caused by the Respondent. The claim is primarily based on Section 73 of the Indian Contract Act, 1872, which provides for compensation for losses caused by breaches of contract.

316. The Respondent has opposed the claim, stating that escalation amounts for materials (Rs. 6,44,339/-) have already been paid under Clause 10CA of the General Conditions of Contract (GCC), and that the Claimant's calculations are beyond the scope of the contract provisions.

Details of the Claim:

317. The Claimant provided detailed calculations for escalation in costs based on:

- (i) Civil work material indices.
- (ii) Labor component under Clause 10C.
- (iii) Steel reinforcement bars under Clause 10CA.
- (iv) Cement OPC under Clause 10CA.

318. The Claimant alleges delays caused by the Respondent due to various breaches, including:

- (i) Delay in handing over the site.
- (ii) Non-issuance of timely Good for Construction foundation drawings.

- (iii) Delay in release of payments for completed work.
- (iv) Hindrances at the project site, including daily security checks and late decisions on scope changes.

Respondent's Reply: The Respondent argues:

- 319. That escalation amounts for materials and labour have been calculated and paid as per the provisions of Clause 10CA of the GCC, and further claims are inadmissible.
- 320. That the Claimant's calculations use coefficients and indices not mentioned in the contract, making the claim invalid.
- 321. That the Claimant failed to provide wage details or timely notices of price alterations as required under Clause 10C.
- 322. That the escalation indices used for steel and cement are incorrect and not as per the agreement, which specifies indices issued by the Director General, CPWD.

Findings:

Upon reviewing the submissions of both parties, the Arbitrator finds the following:

- 323. **Delays and Hindrances:** It is established through evidence and correspondence (Exhibits C-3 to C-65) that delays and hindrances were caused by the Respondent. The delay in handing over the site, late issuance of construction drawings and that too foundation drawing, and daily security checks are uncontested facts that led to a prolonged contract period.
- 324. Escalation in cost of labour 10C: claimant submitted in his rejoinder that as per the Labour Laws the payment of wages to labour cannot be made lesser than the Minimum wage notified by the office of the Central labour commissioner or by state Authorities whichever is higher and the Claimant paid wages in accordance with the same. There has been no complaint regarding labour not paid at minimum wages. As such it is clear that claimant paid increased wages to the labour.

325. **Escalation Calculations:** While the Respondent contends that escalation amounts have been paid, the Claimant has demonstrated discrepancies in the calculations under Clause 10CA, particularly for steel and cement, which were calculated using indices issued by the ADG office instead of the Director General, CPWD, as stipulated in the contract. In view of the above indices as per DG has been adopted and calculation modified.
326. It has been observed that total quantities of cement and steel received at site has not been accounted for. Claimant has taken back 40 MT of steel and claimed in separate claim the loss due to disposal at much less rate than procurement rate. Calculations has been modified as per indices of DGW for 10CA and other compensation as claimed as per table below:

10C FOR Materials				
By adopting materials Indices of DGW				
		Mio		Mi1
	7.3.20	141.76	18.8.21	147.63
	P	A	B	
	$W \times 0.85$	$(Mi1 - Mi0)/Mi0$	$(A \times P \times 45\%)$	
Work done	29220158	= (147.63-141.76)/141.76		
85%	24837134.3	0.041408014	462805	

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

10 CA for Cement						
SN.	Month of receipt	Quantity of material brought at site for bonafide use in the work since previous bill	Basic price of material as issued by ADG (CHD REGION) as indicated in schedule	Price index of cement or Cement reinforcement for period under consideration	Price index of cement or steel reinforcement as indicated in schedule F Dec2019	variation in material cost
		MT	MT			
		Q	P	CI	Cio	V= PxQx(Ci-Cio)/Cio
1	Feb 2021	15	5156	106.06	113.9	-5323
2	March 2021	252	5156	111.94	113.9	-22359
3	April 2021	76	5156	125.69	113.9	40562
4	May-21	38	5156	119.81	113.9	10166
5	June -2021	76	5156	117.85	113.9	13589
						36635

10 CA steel						
SL No	month of receipt	quantity of material brought at site for bonafide use in the work since previous bill MT	Basic price of material as issued by ADG (CHD REGION) as indicated in schedule F MT	Base cost index for steel for Dec 2019	Price index of cement or steel reinforcement as per DG OM	variation in material cost
		Q	P	Sio	Si1	$V = P \times Q \times (Si - Sio) / Sio$
1	Nov-20	101.46	38875	78.66	91.51	644339
2	Mar-21	35.72	38875	78.66	108.57	528013
3	21-Apr	13.85	38875	78.66	108.57	204731
4	May-21	16.58	38875	78.66	115.76	304001
5	June-2021	16.91	38875	78.66	111.89	277709
		184.52				1958793
		16.91	(RETURN)			-277709
		16.58	(RETURN)			-304001
		6.51	(RETURN)			-96231
		40				1280852

Labour 10C								
SN	RA Bill no	Amount W	Adv.	SA	Net Amount NW=(W-Adv.-SA)0.85	Lio	Li1	VI=0.25*(Li1-Lio)/Lio* NW
1	1st RA	7821275			6648084	403	427	98979
2	2nd RA	3482629	0	0	2960234.65	403	427	44073
3	3rd & 4th RA	4354000	0	0	3700900	403	427	55100
4	5th RA	7242038	0	0	6155732.3	403	431	106923
5	6th RA	6315932	705589	2053440	3023367.55	403	431	52515
								357590

Compensation on account of 10C for materials Rs 4,62,805/- (A)

Amount of 10CA on account of cement Rs 36635/- (B)

Amount of 10CA on account of steel Rs 12,80,852/- (C)

Compensation on account 10C for labour Rs 3,57,590/- (D)

Total A+ B+C+D =Rs 21,37,882/-

Less already paid by respondent Rs644339-6443=6,37,896/-

Rs 21,37,882-6,37,896=Rs14,99,986/-

327. **Legal Basis:** Section 73 of the Indian Contract Act, 1872, supports the Claimant's right to compensation for losses due to breaches of contract. Additionally, it is noted that there is no prohibition in the contract preventing compensation for escalation beyond the stipulated period and delays are attributable to Respondent.

328. **Case Law References:** Relevant judgments supporting the Claimant's position include:

- a) *McDermott International Inc. v. Burn Standard Co. Ltd. & Ors.* [2006] 11 SCC 181: Establishing principles for compensation under Section 73 of the Indian Contract Act.
- b) *ONGC v. Saw Pipes Ltd.* [2003] 5 SCC 705: Affirming the right to damages for delays caused by breaches of contract.

329. **Decision:** Based on the evidence, submissions, and legal principles, the Arbitrator decides as follows:

330. The Claimant is entitled to escalation costs as per the detailed calculations provided (Rs14,99,986/-), after deducting amounts already paid under Clause 10C and 10CA.

331. **Award:** The Arbitrator awards a sum of Rs.14,99,986/- (adjusted for payments already made under Clause 10C and 10CA) in favor of the Claimant. The Respondent is directed to comply with the Award as stipulated.

Amount of Award Rs. 14,99,986/-

Claim no. 5: Contractor's claim of Rs. 64,32,900/- on account of loss due to idle/under-utilization of machinery, equipment, centering, shuttering & other T & P etc. during stipulated period of contract due to various decisions, drawings not given in time and other hindrances as a result the machinery, equipment, T&P etc. as above could not be used to its full extent.

332. By present claim, the Claimant is seeking Rs. **62,94,605/-** by way of loss incurred to Claimant due to its machinery/equipment remained idle/under-utilized due to hindrances in work attributed to the Respondent.

333. That after the allotment of the said work our concern with the intention to start and complete the work in time, arranged all the requisite infrastructure, T&P, machinery and equipments, but due to contractual default by the Respondents, the T&P, machinery/equipment engaged by the Claimants remained idle/under-utilized at site. The Claimant has incurred expenditure on idle/under-utilization of the T&P,

machinery/equipment and other ancillary requirements like electricity/generators, water, petroleum etc.

334. Detail of such hindrances is set out in Claimant's letter dated 15.03.2022 and also herein above and in this context **the reference is also made to the letters referred under para 4.12 of SOC.** This is to state that in this work due to the hindrances attributed to the Respondents at the initial stage due non-handing over of the site for the work, the Respondent vide letter dated 05.10.2020 (Exhibit C-15) shifted the date of start to 28.08.2020. Claimant submitted that not even a single hindrance was attributed to the him. Thus, Respondent cannot take advantage of their own hindrances and, in all fairness in terms of Section 73 of the Contract Act, the Respondents are liable to pay the compensation as claimed by the Claimant.
335. The work remained stopped/partly stopped during the progress of work as a result of various hindrances resulting in idle/under-utilization of its machinery/equipment time to time during the progress of work and in all, the machinery/equipment, remained idle/under-utilized during 98 days (**Exhibits C-77, in Part-III of SOC.**) and the Claimant claimed accordingly under this claim and losses on this account is set out hereunder. The work was also forced to stop by the BSF time to time for security reasons and the resources deployed by the Claimant remained idle during those periods. Keeping in view the effect of hindrances on the quantum of work affected when the machinery/equipment remained idle/under-utilized and on the observations that the machinery & equipment were working during 1/3rd of the period of work during the said period of 98 days. This is to state that the effected period of idleness/under-utilization of such resources deployed at site based on ground realities due to various hindrances, due to non-decisions in the work and other hindrances time to time has been assessed as 98 days.
336. The Respondents were to provide hindrance free site, required decisions, drawings and payments to the Claimants, idle/under-utilization of machinery /equipment due to hindrances caused by the Respondent and some of the factors causing hindrance are furnished viz. **non-handing over of site in time, non-issue of good for**

construction drawings, change of foundation design from raft to RCC Pile work at Chaura site and change in design at two other sites of the work, non-decision to dispose of the surplus excavated earth, non-sanction of the deviation items and Extra items as per the prevailing market rates, various other decisions not given in time and all these factors contributed to delay in execution of the work. All these things were not made available for work in time which resulted in forced stop of the work time to time for long periods due to which the T&P, machinery and equipments, remained idle/under-utilized and could not be used fully in work for a substantial period due to the reasons attributed to the Respondents during the progress of work. The copy of documents in respect of period of idle/under-utilization of machinery/ equipments and losses incurred on this account are given in the documents annexed marked as **Exhibits C-77, in Part-III of SOC.**

337. The claimants have been put to huge loss under the head of idling/under-utilization of T&P, machinery and equipments due to breach of contract by the Respondents. The amount incurred on the above remain unpaid and is payable to the Claimant. The total amount under the head of idling/under-utilization of T&P, machinery and equipments comes to Rs.**62,94,605/-**. Hence the claimants are entitled to compensation for the above direct loss occurred. **Reference is made to para C3.2 to E5.3 of SOC along with reference made to Claimant's letters therein which may be read as part and parcel of this claim.**
338. The Claimant submit details of the claim on the basis of machinery, equipments, labour deployed at site on work as per details here under which is based upon the minimum requirement having regard to the execution of the work at Site. The rates of hire charges for machinery/equipments have been adopted from the basic rates of Morth Standard Data Book and Hire charges of which are not available in MORTH SDB-2019 publication market rates prevalent during the relevant period have been adopted:

Loss due to Machinery and Equipments deployed and remained Idle/under-utilized on work site for 98 days and loss worked out on the basis of hire charges in MORTH SDB-2019/prevalent market rates:

Machinery/ equipment & other T&P deployed on work at Chaura site

SR. No	Morth ref Sr no/ M.R.	Description	Qty/ no	Hire charges per day	Total Hire charges per day
1	MR	Transformer with Electricity Connection 63 KVA	1	1273.39x60%	764.03
2	MR	Cable from transformer to Site 16 Amp	450.00	460/110x60%	1129.09
3	88	Barcutting & Barbending machine	1	503x8	4024.00
4	MR	MR Genset 110 KVA (Without Diesel)	1	5000.00	5000.00
5	MR	Genset 63 KVA (Without Diesel)	1	4000	4000
6	13	Excavator with back hoe	1	1717x8	13736
7	38	Tractor with Trolley	1	873x8	6984
8	MR	Submersible pump 3 hp (running 24 hr every day)	12	10000/month x2/30.4each	3289.47
9	MR	Monoblock pump 3 hp (24 hr Running)	5	10000/month x2/30.4each	7894.73
10	MR	Steel Shuttering plates 4'x 2'	190	3.50/sft	5320
11	MR	auto level	1	300	300
12	MR	Hilti machine	1	500	500
13	MR	Lab Equipment	1	2000	2000
14	MR	Dewatering material Cables & wires, pipes etc.	for 17 pumps	2000	2000
15	MR	Challis	50	5	250
16	MR	Welding set	3	500	1500
17	MR	Submersible pump 1 hp	3	5000pmx1/30.4	493
18	MR	Installed Borewell	14	2000pm x 1/30.4	921
19	MR	Bike(without Petrol & oil)	1	500	500
20	MR	Chposaw	1	500	500
21	MR	Grinder	3	500	1500
22	MR	Hand tools, hammer, tasla, kassi Gum boots etc.	1	500	500
23	MR	Drums for diesel and water	5	30	150
				Total=	63255.34

Machinery and equipment and other T&P deployed on work at Bamial site

SR. No	Morth ref Sr no/ M.R.	Description	Qty/ no	Hire charges per day	Total Hire charges per day
1	MR	Transformer with Electricity Connection 25 KVA	1	533.56x60%	319.80
2	MR	Cable from transformer to Site 16 Amp	130.00	130/146x60%	245.75
3	88	Barcutting & Barbending machine	1	503x8	4024.00
4	MR	Genset 63 KVA (Without Diesel)	1	4000	4000
5	13	Excavator with back hoe	1	1717x8	13736
6	38	Tractor with Trolley	1	873x8	6984
7	MR	Submersible pump 3 hp (running 24 hr every day)	4	10000/month x2/30.4each	2631.57
8	MR	Monoblock pump 3 hp (24 hr Running)	4	10000/month x2/30.4each	2631.57
9	MR	Steel Shuttering plates 4'x 2'	567	3.5/sft	15876
10	MR	Steel Shuttering plates 3'x 2'	188	3.5/sft	3948
11	MR	Auto level	1	300	300
12	MR	Theodolite	1	500	500
13	MR	Hilti machine	2	500	1000
14	MR	Lab Equipment	1	2000	2000
15	MR	Dewatering material Cables & wires, pipes etc.	for 8 pumps	1000	1000
16	MR	Challis	35	5	175
17	MR	Welding set	4	500	2000
18	MR	Submersible pump 1 hp	3	5000pmx1/30.4	493
19	MR	Bike(without Petrol & oil)	1	500	500
20	MR	Chposaw	1	500	500
21	MR	Grinder	2	500	1000
22	MR	Hand tools, hammer, tasla, kassi Gum boots etc.	1	500	500
23	MR	Drums for diesel and water	7	30	210
24	MR	ISMB 150mm	56	20	1120
25	MR	GI pipe 3inch 6m long	4	630/mx40%x1/225	27
26	MR	channel 100mm	120	20	2400
27	91	compactor	1	569/hrx8	4552

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

28	MR	concrete mixer	1	487/hrx8	3896
29	MR	scaffolding vertical member 3m	559	2.5	1397.5
30	MR	scaffolding horizontal member 1.2m	1960	1.5	2940
31	MR	Drill machine	1	500	500
32	MR	vibrator petrol	2	350	700
33	MR	vibrator electrical	5.00	350.00	1750
				Total=	83857.21

Machinery and equipment and other T&P deployed on work at Dhinda site					
SR. No	Morth ref Sr no/ M.R.	Description	Qty/ no	Hire charges per day	Total Hire charges per day
1	MR	Transformer with Electricity Connection 63 KVA	1	1130.32x60%	678.00
2	MR	Genset 63 KVA (Without Diesel)	1	4000	4000
3	9	Excavator 0.90cum bucket capacity without diesel	1	2689/hrx8	21512
4	38	Tractor with Trolley	1	873x8	6984
5	MR	Monoblock pump 3 hp (24 hr Running)	16	10000/month x1/30.4each	5263.15
6	MR	Steel Shuttering plates 4'x 2'	67	3.5/sft	1876
7	MR	Dewatering material Cables & wires, pipes etc.	for 16 pumps	2000	2000
8	MR	Challis	10	5	50
9	MR	Welding set	1	500	500
10	MR	Bike(without Petrol & oil)	1	500	500
11	MR	Hand tools, hammer, tasla, kassi Gum boots etc.	1	500	500
12	MR	Drums for diesel and water	6	30	180
13	MR	Slush pump	3	10000/month x1/30.4each	987
14	MR	channel 100mm	20	20	400
15	MR	scaffolding vertical member 3m	59	2.5	147.5
				Total=	45577.66

Total Hire charges for machinery/ equipment & other T&P deployed on all three work sites=	63255+83859+45578=	192692
--	--------------------	--------

339. On the basis of the actual observations at site during the progress of work it was noticed that machinery/equipment, other T&P were being used during 1/3rd of the period of work and on an average the machinery/equipment, other T&P were remained idle/under-utilized on 98 days.

340. Therefore, loss occurred due to idle/under-utilization of machinery & equipment, other T&P = Rs.1,92,692/- x 98 days x 1/3 = **Rs.62,94,605/- (A)**

341. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

342. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.**62,94,605/-** on account of loss incurred by the Claimant due to idle/under-utilized machinery/equipment, other T&P as per detail given herein above.

343. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.**62,94,605/-** in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 5.

Reply of the respondent

Claim No. 5: Contractor's Claim of Rs.64,32,900/- on account of loss due to idle/ under-utilization of machinery, equipment, centering, shuttering & other T&P etc. during stipulated period of contract due to various decisions, drawings not given in time and other hindrances as a result the machinery, equipment, T&P etc. as above could not be used to its full extent.

344. The work was stipulated to be completed on 22.05.2021, but on claimant contractor's request the date of completion was shifted 23.07.2021 due to various hindrances submitted by claimant. The loss incurred to the claimant due to its own mismanagement and because of his slow work.

345. After the allotment of said work despite repeated reminders the claimant did not submit the completion programme as per agreement conditions (R-17). The pace of the work was very slow and claimant was directed to deploy sufficient Nos. of manpower, machinery and materials etc. so that the work could be completed within the stipulated period (R22) & (R-33). The claimant was again requested to submit the revised completion programme and adhere to the programme already submitted. The claimant was also requested to accelerate the progress of work otherwise the action will be taken under the appropriate Clause of the Agreement for which claimant will be responsible vide letter dated 06.04.2021 (R-37). The claimant was directed to execute the work at war footing at all the sites with adequate arrangements of manpower, materials and machinery etc. vide letter dated 19.04.2021 (R-38).
346. The Respondent always fulfilled its responsibility as and when it was due. The total delay was attributed to the claimant only. All the "Good for Construction drawings" were supplied to the claimant well in time. The structural drawings were issued to the claimant vide letter dated 21.09.2020 (R-9) and revised drawings vide letter dated 15.12.2020(R23). In the meantime, the Respondent did not direct the claimant to stop the work. There was no hindrance due to the revised drawings. In revised drawings of Bemial and Dhinda, only one cell/ box was added and in Chaura additional pile foundation was provided. It is totally false and fabricated averment that progress of the work suffered due to no providing of decisions/GFC drawings in time. There was never any manpower, staff, machinery and equipment, centering, shuttering, other T&P etc. remained idle/under-utilized at site of work due to site not decided in time, non-decisions and due to various hindrances attributed to the Respondent. The claimant was requested many times to expedite the progress of the work and deploy required resources like T&P, man, machinery etc. but he always remained failed to achieve the targets as per completion programme submitted by him as detailed as per annexed R-71. During the site visit, it was found that the claimant did not engage deploy resources like manpower, material, T&P, manpower except some minor quantity of TMT reinforcement approximately 1 MT. at Dhinda

site. No machinery, material, T&P, manpower found available at site during site visit at Bemial site, no machinery, material, T&P, manpower found available at site during site visit as annexed R-58. Only 5 spans of culvert approximate length 30 mtr had been cast by the claimant. The details of not completion of work within the stipulated date of completion is as annexed R-71, which was conveyed to the claimant. All the decisions were already communicated to claimant through various letters to complete the work those were necessary to complete the work within the stipulated time. Hence, the question of loss due to idle sitting of manpower, machinery/ staff and other reasons did not arise. Hence, the claim is strongly denied.

347. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim it is stated that calculation of the claim amount submitted by claimant are based on some imaginary coefficients and unilaterally decided hire charges rates which have no documentary proof and are beyond the provisions of the contract. No valid documentary proof for deployment of machinery/equipment's and receipts/ bills/ vouchers paid for hire charges of machinery/equipment has been provided with the claim.
348. The claimant has adopted the exaggerated and unilaterally decided rate of hire charges of machinery, T&P etc. which are inclusive of services of operating staff, Cost of lubricating oil, diesel/ Petrol/ Kerosene oil, other consumables for running the plant and machinery and all the taxes.
349. Whereas, Point No. 13 at Page No. 38 of Special Conditions of Contract clearly states that "the rates for all items of work, shall unless clearly specified otherwise include cost of all labour, materials, T&P and other inputs involved in the execution of the item".
350. Thus, the present claim primary raised on the grounds of delay and prolongation of the contract is without any substantial and cogent evidence and deserves to be dismissed in light of the admitted and proved documents.

Objections on ground of section-55 & 73 of the Indian Contract Act.

351. It is submitted that the law of contractual damage is governed by the Section 55 & Section 73 of the Indian Contract Act. This section provides that in order to be eligible to receive such damages, the party who suffers losses due to breach of contract, will give notice of his intention to claim compensation, to the party who is responsible for causing such damages at the earliest possible time when such damages is suffered or expected to be suffered. This section aims to alert the breaching party and give him an opportunity to contain or avoid such damages. It also affords an opportunity to breaching party to contest the claim of damages lodged by the party giving such a notice.

352. Thus, it is clear that in order to claim such damages, certain conditions need to be essentially fulfilled by the claimant as follows:

- (i) Proof of definite breach of contract on the part of other party which caused loss to the claimant;
- (ii) Notice under section 55 to the other party at the appropriate time about suffering of loss or damage;
- (iii) Proof of sufferance of such damage and its quantum;
- (iv) Efforts made by the claimant to mitigate such losses; and
- (v) The loss arose naturally in the usual course of things from such breach or the party knew when they made the contract, to be likely to result from the breach of it, meaning liable to be that the losses are not indirect or remote.

353. All the claims of the claimant are damages or loss and are compensatory in nature, which are related to the prolongation of contract.

354. Thus, the claimant is not entitled to the claims of damage or loss as he did not fulfil any of the conditions which are the necessary pre-requisites for claiming damage or loss. This claim is contrary to contract provisions and against the Public Policy of India.

355. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Rejoinder by Claimant.

356. Claimant has denied that there is any requirement of notice under section 55 and section 73 of the Indian contract act since respondent was responsible for delays and time of the contract was set at large and no time was extended after shifted date of completion. Moreover, contention of the respondents is false that they were not intimated about the losses being suffered and intent of the claimants to claim the same, Intimation that the claimant is suffering losses and will claim the same was intimated to the respondents through letters dated C-36 Dt 03.4.2021, C-39 dt 28.4.2021, 10.5.2021, C- 43 Dt 20.5.2021, C-46 dt. 06.6.2021, C-50- Dt 04.7.2021, C-51 dt. 05.7.2021, C-53 dt. 18.8.21, C-122 dated 01.3.2022.

Analysis and Award

357. The Tribunal has carefully examined the submissions made by both the Claimant and the Respondent, along with the rejoinder submitted by the Claimant. The findings are as follows:

Claimant's Submission:

358. The Claimant has sought compensation of Rs. 62,94,605/- for losses incurred due to idle/under-utilized machinery, equipment, centering, shuttering, and other T&P during the stipulated period of the contract.

359. The Claimant has attributed the idling and under-utilization to various hindrances caused by the Respondent, including non-handing over of the site, non-issuance of good-for-construction drawings, changes in foundation design, and delays in decisions regarding disposal of surplus excavated earth, extra work and deviation items.

360. The Claimant has provided details of the hindrances in its letter dated 15.03.2022 and referenced Exhibit C-15 and Exhibit C-77 in Part-III of the Statement of Claim (SOC).
361. The Claimant has calculated the loss based on the hire charges of machinery and equipment as per MORTH SDB-2019 and prevalent market rates, amounting to Rs. 62,94,605/-.
362. The Claimant has argued that the Respondent is liable to compensate under Section 73 of the Indian Contract Act.

Respondent's Submission:

363. The Respondent has denied the Claimant's allegations and attributed the delays to the Claimant's own mismanagement and slow progress of work.
364. The Respondent has stated that all good-for-construction drawings and decisions were provided in a timely manner and that no machinery or equipment remained idle due to the Respondent's actions.
365. The Respondent has argued that the Claimant failed to provide valid documentary proof for the deployment of machinery and equipment and the hire charges claimed.
366. The Respondent has also contended that the Claimant did not fulfil the conditions under Sections 55 and 73 of the Indian Contract Act, including providing notice of damages and mitigating losses.

Rejoinder by Claimant:

367. The Claimant has denied the applicability of Sections 55 and 73 of the Indian Contract Act, arguing that the Respondent was responsible for the delays and that the time of the contract was set at large.
368. The Claimant has reiterated its entitlement to compensation for the losses incurred due to the Respondent's breaches.

Findings of the Tribunal:

369. The Tribunal notes that the Claimant has provided detailed calculations and references to exhibits, including Exhibit C-15 and Exhibit C-77, to substantiate its claim.
370. The Tribunal also notes that the Respondent has not provided sufficient evidence to refute the Claimant's calculations or to substantiate its own allegations of mismanagement by the Claimant. Respondent has cited R-58 dated 24.9.21 for denial of deployments of resources at site which is not convincing as same was written after the recission of the contract on 18.8.21. Though respondent has stated that hiring charges taken by the claimant are on higher side but have not produced any document in support of it. In view of such objection though no details submitted by respondent, I apply a factor of 5% reduction in rates adopted by claimant based on Morth SDB to arrive at modified amount.
371. The Tribunal finds that the delays and hindrances cited by the Claimant, including non-handing over of the site and delays in issuing drawings and decisions, are supported by documentary evidence.
372. Detailed reasons by which works were held up has been supplied. Respondent has ignored effect of revision of drawings and stated that claimant was never asked to stop the work. Work was automatically stopped when drawings were being revised and after revision there were lot of changes in the structures which are already detailed in para 18 above.
373. Above details of changes in drawings on revision show that there were considerable changes and progress of was affected badly and many components of work at three sites were to be halted waiting for revision of drawings. At many locations work was held up at foundation stage only which means that no other activity of work was possible. All these factors resulted into idle/under utilisation of machinery and equipment.

374. The Tribunal further finds that the Claimant's calculation of Rs. 62,94,605/- as compensation for idle/under-utilized machinery and equipment is now assessed as $\text{Rs}62,94,605 \times 0.95 \times 0.85 = \text{Rs } 50,82,894/-$ by taking a factor of 5% for market rates and 15% for mitigation of losses considered reasonable and based on standard data.

375. The Tribunal does not find merit in the Respondent's argument regarding the non-fulfilment of conditions under Sections 55 and 73 of the Indian Contract Act, as the delays were attributable to the Respondent and time was set at large. More over claimant served several notices (C-36 Dt 03.4.2021, C-39 dt 28.4.2021, 10.5.2021, C- 43 Dt 20.5.2021, C-46 dt. 06.6.2021, C-50- Dt 04.7.2021, C-51 dt. 05.7.2021,) stating that he is suffering losses and he will claim damages.

Award:

376. In light of the above findings, the Tribunal awards a sum of Rs. 50,82,894/- in favour of the Claimant and against the Respondent for losses incurred due to idle/under-utilized machinery and equipment during stipulated period.

Amount of Award Rs 50,82,894/-

Claim No. 6: Contractor's claim of Rs. 43,11,100/- on account of loss due to manpower/staff remained idle/under-utilized during the stipulated period of contract due to various decisions not given in time and other hindrances as a result the work delayed due to breach of contract by the department.

377. By present claim, the Claimant is seeking Rs. 43,32,750/- by way of loss incurred to Claimant due to its manpower/staff remained idle/under-utilized due to hindrances in work attributed to the Respondent.

378. That after the allotment of the said work our concern with the intention to start and complete the work in time, arranged all the requisite manpower/staff, infrastructure, T&P, machinery and equipments, but due to contractual default by the Respondents, the Manpower/staff & T&P, machinery/equipment engaged by the

Claimants remained idle/under-utilized at site. The Claimant has incurred expenditure on wages/salary remained idle/under-utilized and other ancillary requirements like electricity/generators, etc.

379. Detail of such hindrances is set out in Claimant's letter dated 15.03.2022 (Exhibit C-65) and also herein above and in this context **the reference is also made to the letters referred under para D4.1 to D4.6 of SOC.** Thus, due to the hindrances attributed to the Respondents at the initial stage due to non-handing over of the site for the work, the Respondent vide letter dated 05.10.2020 (Exhibit C-15) shifted the date of start to 28.08.2020. Not even a single hindrance was attributed to the Claimant. Thus, Respondent cannot take advantage of their hindrances and in all fairness in terms of Section 73 of the Contract Act, the Respondents are liable to pay the compensation as claimed by the Claimant.
380. The work remained stopped/partly stopped during the progress of work as a result of various hindrances resulting in idle/under-utilization of its Manpower/staff from time to time during the progress of work and in all, the Manpower/staff, remained idle/under-utilized for 106 days during the period of the stipulated time of completion (07.07.2020 to 22.05.2021) and the Claimant claimed accordingly under this claim and losses on this account is set out hereunder. The work was also forced to stop by the BSF from time to time for security reasons and the manpower/staff resources deployed by the Claimant remained idle during such periods. Keeping in view the effect of hindrances on the quantum of work affected when the Manpower/staff remained idle/under-utilized and on the observations at site that the Manpower/staff were remained Idle during 106 days. The effected period of idleness/under-utilization of such resources deployed at site based on ground realities due to various hindrances, due to non-decisions in the work and other hindrances time to time has been assessed as 106 days during the stipulated period of completion.
381. The Respondents were to provide hindrance free site, required decisions, drawings and payments to the Claimants, idle/under-utilization of Manpower/staff due to hindrances caused by the Respondent and some of the factors causing hindrance

and idle/under-utilization of Manpower/staff are furnished viz. **non-handing over of site in time, non-issue of good for construction drawings, change of foundation design from raft to RCC Pile work at Chaura site and change in design at two other sites of the work, non-decision to dispose of the surplus excavated earth, non-sanction of the deviation items and Extra items as per the prevailing market rates, various other decisions not given in time and all these factors contributed to delay in execution of the work.** All these things were not made available for work in time which resulted in forced stopping of the work time to time for long periods due to which the Manpower/staff remained idle/under-utilized and could not be used fully in work for a substantial period due to the reasons attributed to the Respondents during the progress of work. The copy of documents in respect of period of idle/under-utilization of Manpower/staff and losses incurred on this account are given in the documents annexed marked as **Exhibits C-78, page 150 in Part-III of SOC.**

382. The claimants have been put to huge loss under the head of idling/under-utilization of Manpower/staff due to breach of contract by the Respondents. The amount incurred on the above remain unpaid and is payable to the Claimant. The total amount under the head of idling/under-utilization of Manpower/staff comes to Rs.43,11,100/-. Hence the claimants are entitled to compensation for the above direct loss occurred. **Reference is made to para C3.2 to E5.3 of SOC along with reference made to Claimant's letters therein which may be read as part and parcel of this claim.**
383. The Claimant submit details of the claim on the basis of Manpower/staff deployed at site on work as per details here under which is based upon the minimum requirement having regard to the execution of the work at Site. The wages/rates of Manpower/staff have been adopted from the minimum wages notified by the Central Chief Commissioner prevalent during the relevant period.
384. The Claimant worked out the loss on the basis of actual manpower/staff engaged on the work during the stipulated period of contract. Hence herein the Claimant has

considered wages/salaries of the staff paid and the amounts are claimed accordingly as set out hereunder:

i) Mason	= 4 nos. @Rs.658/-p.d.	= Rs.2632.00
ii) Mistry	= 1 no. @ Rs.711/- p.d.	= Rs.711.00
iii) Bar binder	= 9 nos. @ Rs.658/- p.d.	= Rs.5922.00
iv) Carpenters	= 8 nos. @ Rs.658/-p.d.	= Rs.5264.00
v) Pump operators	= 6 nos. @ Rs.606/- p.d.	= Rs.3636.00
vi) Beldar/coolie	= 25 nos. @ Rs.429/- p.d.	= Rs.10,725.00
vii) Bhisti	= 2 nos. @ Rs.450/- p.d.	= Rs.900.00
viii) Foreman	= 3 no. @ Rs.18,500/-month x1/30.4	= Rs.1826.00
ix) Supervisor	= 3 nos.@Rs.15200/- month x1/30.4	= Rs.1500.00
x) Engineer (P.M.)	= 1 no.@ Rs.45000/-month x1/30.4	= Rs.1480.00
xi) Engineer(PE)	= 1 no. @Rs.35000/-month x1/30.4	= Rs.1151.00
xii) Engineer(plg) B.Tech.	= 1 no. @Rs.30000/-x1/30.4	= Rs.987.00
xiii) Engineer (Plg)DCE	= 1no.@Rs.20000/-x1/30.4	= Rs.658.00
xiv) Engineer (Billing)DCE	=1 no.@Rs.25000/x1/30.4	= Rs.822.00
xv) Engineer(Billing)DCE	=1 no. @Rs.20000/-x1/30.4	= Rs.658.00
xvi) Electrician	= 3 nos. @ Rs.20000/-x1/30.4	= Rs.1974.0

**Total wages of Manpower/Staff engaged
per Day =**

Rs.40,846/-

385. As per the work site assessment during progress of work, It was noticed that Labour/Staff engaged were remained idle during 106 days in stipulated period of contract.

Therefore, loss due to idle sitting of Labour/Staff during stipulated period of contract:

= Rs.40,846/- x 106 days = Rs.43,29,676/-

Amount claimed of this claim = Rs.43,11,100/-

386. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

387. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.43,11,100/- on account of loss incurred by the Claimant due to idle/underutilized manpower/staff as per detail given herein above.

388. Claimant requests the Hon'ble Arbitrator to Award a sum of Rs.43,11,100/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 6.

Reply of the respondent.

389. The work was stipulated to be completed on 22.05.2021, but on the claimant's request the date of completion was shifted to 23.07.2021 due to various hindrances submitted by them. The loss incurred to the claimant due to its own mismanagement and because of his slow work.

390. After the allotment of said work despite repeated reminders the claimant did not submit the completion programme as per agreement conditions (R-17). The pace of the work was very slow from the starting and claimant was several times directed to deploy sufficient Nos. of manpower, machinery and materials etc. so that the work could be completed within the stipulated period (R-22) & (R-33). The claimant was again requested to submit the revised completion programme and adhered to the programme already submitted. The claimant was also given a warning to take action

under the appropriate Clause of the Agreement (R-37). The claimant was directed to execute the work at war footing at all the sites with adequate arrangements of manpower, materials and machinery etc. (R-38). This is to state that not even a single hindrance was attributed to the Respondent.

391. The Respondent always fulfilled its responsibility as and when it was due. The work remained stopped/ partially stopped was always due to the mismanagement of the claimant. It is crystal clear from the letters written to the claimant by this office vide letter No.23(21)/EE/BFD11/CPWD/ASR/2021-22/691 dated 27.08.2021(R-57) and also AE, BFSD, GSP letter No. 213 dated 24.08.2021 (R-82) that during the site visit it was found that the claimant had not engaged/deployed resources like manpower, materials, T&P etc. at the site. The details of the same are as under:-

- a) Chaura Fwd site :- No machinery, materials, T&P, manpower found available at site during site visit except some minor qty of TMT reinforcement approximately IMT.
- b) Dhinda Site:- No machinery, materials, T&P, manpower found available at site during site visit.
- c) Bemial Site:- No machinery, materials T&P, manpower found available At site during site visit. 5 spans of culvert approximate length 30 mtr have been casted only. Some quantity on shuttering & scrolling was available.

392. The claimant was requested many times to expedite the progress of the work and deploy required resources like T&P, man, machinery etc. but he always remained failed to achieve the targets as per completion programme submitted by him (R-71).

393. All the decisions were already communicated to him through various letters to complete the work those were necessary to complete the work within the stipulated time. Hence, the question of loss due to idle sitting of manpower, machinery/ staff and other reasons did not arise. Hence, the claim is strongly denied.

394. The Hon'ble Ld. Arbitrator is requested to refer to the Additional Point 4 at Page No. 32 (to be noted by the claimant before quoting the rate for which nothing extra shall be paid) of General Conditions of Agreement which envisages that "On account of

security consideration, there could be some restrictions on the working hours, movement of vehicles for transportation of materials nothing extra shall be payable on this account or due to less/reduced working hours etc. the claimant shall be bound to follow all such restrictions and adjust the programme for execution accordingly".

395. Further, without agreed to the admissibility of the claim as per term and condition of the contract and without any prejudice to dispute the claim, it is stated that calculation of the claim amount submitted by claimant are based on some imaginary and unilateral decision of wages rates which have no documentary proof and are beyond the provisions of the contract. No valid documentary proof for deployment of staff/ manpower and receipts/ bills/ vouchers paid for wages of staff/ manpower have been provided with the claim. Even, the claimant has failed to submit valid documents like books of accounts, labour reports, EPF, ESIC deduction statements/ deposition statement as a proof of payment in support of his claim.
396. It is also stated that the department persuaded the claimant through various letters, SOB, and various meetings to expedite the progress of the work. There was not any decision which was not conveyed to him within the time frame due to which manpower/ staff, remained idle/ under-utilized during the stipulated period of contract due to various decisions not given in time and other hindrances attributed to the department at site of work. The department always conveyed all the decisions well in time and considered the justified hindrances and date of completion shifted from 22.05.2021 to 23.07.2021. Hence, the claim is denied.
397. As per Point No. 13 at Page No. 38 of Special Conditions of Contract which is reproduced here "clearly states that "the rates for all items of work, shall unless clearly specified otherwise include cost of all labour, materials, T&P and other inputs involved in the execution of the item" and hence the claim of the claimant is denied.
398. It is a baseless, false and fabricated fact of the claimant that he had been put to huge losses due to idling/ underutilization of manpower/ staff, during the stipulated

period of contract due to breach of contract by the Respondent. The reply in above paras by the Respondent may be read as part and parcel of this claim.

399. Objections on ground of section-55 & 73 of the Indian Contract Act.

400. It is submitted that the law of contractual damage is governed by the Section 55 & Section 73 of the Indian Contract Act. This section provides that in order to be eligible to receive such damages, the party who suffers losses due to breach of contract, will give notice of his intention to claim compensation, to the party who is responsible for causing such damages at the earliest possible time when such damages is suffered or expected to be suffered. This section aims to alert the breaching party and give him an opportunity to contain or avoid such damages. It also affords an opportunity to breaching party to contest the claim of damages lodged by the party giving such a notice.

401. Thus, it is clear that in order to claim such damages, certain conditions need to be essentially fulfilled by the claimant as follows:

- a) Proof of definite breach of contract on the part of other party which caused loss to the claimant;
- b) Notice under section 55 of the contract Act to other party at the appropriate time about suffering of loss or damage;
- c) Proof of sufferance of such damage and its quantum;
- d) Efforts made by the claimant to mitigate such losses; and
- e) The loss arose naturally in the usual course of things from such breach or the party knew when they made the contract, to be likely to result from the breach of it, meaning liable to be that the losses are not indirect or remote.

402. As all the claims of the claimant are damages or loss and are compensatory in nature, which are related to the prolongation of contract. Thus, the claimant is not entitled to the claims of damage or loss as he did not fulfil any of the conditions which are the necessary pre-requisites for claiming damage or loss.

403. This claim is contrary to contract provisions and against the Public Policy of India.

404. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Rejoinder by the Claimant.

405. Claimant has denied that there is any requirement of notice under section 55 and section 73 of the Indian contract act since respondent was responsible for delays and time of the contract was set at large. No time was extended after shifted date of completion. Claimant submitted notices vide exhibits C-36 Dt 03.4.2021, C-39 dt 28.4.2021, 10.5.2021, C- 43 Dt 20.5.2021, C-46 dt. 06.6.2021, C-50- Dt 04.7.2021, C-51 dt. 05.7.2021, stating that he suffering losses and he will claim damages.

Analysis and Award

Claimant's Position:

406. The Claimant seeks compensation of **Rs. 43,11,100/-** for losses incurred due to idling of manpower and staff, attributing the delays to the Respondent. The key allegations include:

- a) Non-provision of drawings and approvals, leading to interruptions.
- b) Hindrances caused by the Respondent, including non-handing over of the site in time.
- c) Change in foundation design (Chaura site) and design modifications at other locations.
- d) Failure to sanction deviation and extra items, which affected the pace of execution and no decision for disposal of earth for long time.
- e) Site closures by the **BSF** for security reasons.

407. The Claimant submits that **labour and staff were idle for 106 days** within the stipulated period (**07.07.2020 – 22.05.2021**) and calculates losses based on actual

wages/salaries paid for deployed manpower. The computation for idleness is as follows:

Breakdown of Claimed Loss:

- a. Daily wage cost of engaged manpower/staff: **Rs. 40,846/-**
- b. Number of idle days: **106 days**
- c. Total computed loss: **Rs. 43,29,676/-**
- d. Amount Claimed: **Rs. 43,11,100/-**

408. Supporting exhibits include Claimant's letter dated **15.03.2022 (Exhibit C-65)** detailing hindrances and other relevant letters listed under **para 4.11**. Additionally, **Exhibit C-78** in Part-III of SOC is referred to for further documentation.

Respondent's Position:

409. The Respondent denies any liability, asserting:

- a) No hindrance was caused by the department.
- b) The delays resulted from the Claimant's own mismanagement and slow progress.
- c) The Claimant failed to submit completion programmes on time (R-17) and did not maintain adequate deployment of resources (R-22, R-33, R-71).
- d) Site visits revealed insufficient workforce and machinery at multiple locations (Chaura, Dhinda, Bemial sites) (R-57, R-82).
- e) Security restrictions were known and factored into contract terms (General Conditions of Agreement, Page 32).
- f) The Claimant has not furnished documentary proof such as books of accounts, labour reports, EPF/ESIC records, or supporting receipts for payment.
- g) The claim is contrary to contract provisions and Sections 55 & 73 of the Indian Contract Act, as no timely notice was provided for alleged damages.

Findings:

410. Hindrances and Delays: While the Claimant has pointed to various impediments, including delayed site possession and design modifications, the **Respondent's contended slow work and inadequate manpower was there and** repeated reminders were issued to the claimant.

411. The Respondent has presented multiple correspondences highlighting the slow pace of work and lack of deployment of resources by the Claimant. Site inspections were cited by the Respondent's to show that the Claimant had failed to mobilize necessary manpower and machinery. Claimant has denied the same citing not decisions for smooth progress. Respondent has emphasised that through R57 dated 27.8.21 and R 82 dated 24.8.21 it was notified that there is hardly any machinery at site. These exhibits do not prove stand of the respondent as these letters are written after the contract was rescinded on 18.8.21. In other letters also respondents never notified claimant that what is machinery required and how much is deployed or how much manpower required and how much is deployed. In RA bills respondents certified that engineering staff has been deployed. In view of the above it is proved that claimant's Machinery, T&P and Manpower remained idle and could not be utilised fully.

412. **Security Restrictions:** The presence of security-related stoppages was foreseeable, as outlined in the contract provisions but claimant claims that much more time was wasted than nominal time required for checking.

413. **Documentary Evidence:** The Claimant has relied on wage calculations based on minimum wages.

414. **Section 73 Considerations:** The absence of adequate notice under **Section 55 & 73 has been replied by the claimant stating that time was not essence of** the contract due to regular breaches by the respondent and time was set at large as such no notice was required. Moreover, claimant notified respondent that his manpower and machinery is getting idle and he will claim damages. Claimant notified respondent vide notices exhibits C-36 Dt 03.4.2021, C-39 dt 28.4.2021, 10.5.2021, C- 43 Dt

20.5.2021, C-46 dt. 06.6.2021, C-50- Dt 04.7.2021, C-51 dt. 05.7.2021, stating that he suffering losses and he will claim damages.

415. **Quantum of Loss:** While labour idleness is claimed for **106 days**, the quantum has been worked for such period.

Conclusion:

416. Based on the above analysis, the claim for **Rs. 43,11,100/-** needs moderation and modification. Engineering staff has been considered for calculation is as per clause 36 of the agreement. Respondent has certified in the bill submitted and passed that all the engineering staff has been deployed. As far as other labour is concerned same can be deployed in other works as a mitigation measure but since site is located at border area where other works are not available to idle labour and if labour leaves the site, it will be difficult to arrange again. Keeping in view that claimant had to make efforts to mitigate losses 50 % of labour is allowed and engineering staff is allowed as per clause 36 and per day amount is assessed as Rs21638 per day and for 106 days $21638 \times 106 = 22,93,628/-$. The number of labours considered tally with labour engagement records and of course delays were predominantly Respondent induced and attributable to respondent. Hence, I award Rs 22,93,628/- under this claim.

Amount of award Rs 22,93,628/-

Claim No. 7: Contractor's claim of Rs. 36,92,400/- on account of loss due to overstay, idle/under-utilization of manpower/staff, machinery, equipment, centering, shuttering & other T & P etc. during the prolonged period of contract due to various decisions not given in time and other hindrances as a result there was delay in work due to breach of contract by the department.

417. By present claim, the Claimant is seeking Rs. **36,92,400/-** by way of loss incurred to Claimant due to its machinery/equipment, T&P and manpower/staff remained idle/under-utilized/overstayed due to hindrances in work attributed to the Respondent during the prolonged period of contract.

418. That after the allotment of the said work our concern with the intention to start and complete the work in time, arranged all the requisite infrastructure, T&P, machinery and equipments, manpower/staff, but due to contractual default by the Respondents, the T&P, machinery/equipment and manpower/staff engaged by the Claimants remained idle/under-utilized at site during the prolonged period of contract. The Claimant has incurred expenditure on idle/under-utilization/overstay of the T&P, machinery/equipment, manpower/staff and other ancillary requirements like electricity/generators, water, petroleum etc.
419. Detail of such hindrances is set out in Claimant's letter dated 15.03.2022(C-65) and also herein above and in this context the reference is also made to the letters referred under para 4.12 of SOC This is to state that in this work due to the hindrances attributed to the Respondents at the initial stage due non-handing over of the site for the work, the Respondent vide letter dated 05.10.2020 (Exhibit C-15) shifted the date of start to 28.08.2020. This is to state that not even a single hindrance was attributed to the Claimant. Had the Respondent given decisions/GFC drawings in time and handed over site timely there would have not been delay in completion of work which otherwise remained incomplete due to the faults on the part of Respondent. The Claimant had to maintain the machinery/equipment, T&P and manpower/staff during the prolonged period of the contract as the Respondent was ready with its resources deployed to complete the work. Thus, Respondent cannot take advantage of their hindrances and thus, in all fairness in terms of Section 73 of the Contract Act, the Respondent are liable to pay the compensation as claimed by the Claimant.
420. The work remained stopped/partly stopped during the progress of work during prolonged period of contract as a result of various hindrances resulting in idle/under-utilization of its machinery/equipment, T&P and manpower/staff time to time and in all, the machinery/equipment, other T&P and manpower/staff, remained idle/under-utilized during 88 days i.e. w.e.f 23.05.2021 to 18.08.2021 and the Claimant claimed accordingly under this claim and losses on this account is set out hereunder. The work was also forced to stop by the BSF time to time for security

reasons and the resources deployed by the Claimant remained idle during the prolonged period of contract. Keeping in view the effect of hindrances on the quantum of work affected when the machinery/equipment, T&P and manpower/staff remained idle/under-utilized and on the observations that the machinery & equipment T&P were being used in 1/3rd period remained idle/under-utilized during 40% of the period of work during the said period of 88 days. This is to state that the effected period of idleness/under-utilization of manpower/staff deployed at site based on ground realities due to various hindrances, due to non-decisions in the work and other hindrances time to time has been assessed as 40% for the period of 88 days i.e. during the prolonged period of contract.

421. The Respondents were to provide hindrance free site, required decisions, drawings and payments to the Claimants, idle/under-utilization of machinery /equipment due to hindrances caused by the Respondent and some of the factors causing hindrance are furnished viz. **non-handing over of site in time, non-issue of good for construction drawings, change of foundation design from raft to RCC Pile work at Chaura site and change in design at two other sites of the work, non-decision to dispose of the surplus excavated earth, non-sanction of the deviation items and Extra items as per the prevailing market rates, various other decisions not given in time and all these factors contributed to delay in execution of the work.** All these things were not made available for work in time which resulted in forced stop of the work time to time for long periods due to which the T&P, machinery and equipments and manpower/staff remained idle/under-utilized and could not be used fully in work for a substantial period due to the reasons attributed to the Respondents during the prolonged period of work. The copy of documents in respect of period of idle/under-utilization of machinery/equipments and losses incurred on this account are given in the documents annexed marked as **Exhibits C-81, C-83, in Part-III of SOC.**
422. The claimants have been put to huge loss under the head of idling/under-utilization of T&P, machinery and equipments and manpower/staff due to breach of contract by the Respondents. The amount incurred on the above remain unpaid and is

payable to the Claimant. The total amount under the head of idling/under-utilization of T&P, machinery and equipments comes to Rs. **36,92,400/-**. Hence the claimants are entitled to compensation for the above direct loss occurred. **Reference is made to para C3.2 to E5.3 of SOC along with reference made to Claimant's letters therein which may be read as part and parcel of this claim.**

423. The Claimant submit details of the claim on the basis of machinery, equipments, labour/staff deployed at site on work as per details here under which is based upon the minimum requirement having regard to the execution of the work at site. The rates of hire charges for machinery/equipments have been adopted from the basic rates of Morth Standard Data Book and Hire charges of which are not available in MORTH SDB publication market rates (Exh. C-84) prevalent during the relevant period have been adopted:

424. **Loss due to Machinery and Equipments, T&P deployed and remained Idle/under-utilized on work site during prolonged period of 88 days and loss worked out as under:**

- a. Total hire charges per day of machinery/Equipment,
T&P deployed on work are same as worked out in
claim no. 5 herein above = Rs.1,92,692/-
 - b. Loss due to TMT Steel bars procured for work
and not Taken over by the Respondent and the
Claimant had to Sale at lesser rates as the steel
was cut/bend for use in the work = 40.00 MT @ Rs.30,000/MT x 1/88 days
= Rs.13,636/-
 - c. Loss due to boulders procured for Gabion work
and not taken over by the Respondent and the
Claimant had to sale at much lesser rates
= 2500 cuft @ Rs.25/cuft x 1/88days = Rs.710/-
- Total loss during Extended period per day = Rs.2,07,038/-**

425. As per the observations at site during the progress of work during prolonged period it was observed that machinery/Equipment, T&P's use were required during 1/3rd period. 60% of machinery/equipment, T&P were working and the machinery/equipments, T&P were remained idle to the extent of 40 % period (Ave.) during the period of 23.05.2021 to 18.08.2021 (88 days).

426. Therefore, loss occurred due to idle/under-utilization of machinery /equipment, T&P
= Rs.2,07,038/- x 88 days x 1/3 x 40% = Rs.24,29,246/- (A)

Manpower/staff deployed on work during prolonged period of contract and remained Idle and loss occurred worked out as under :

427. Total wages/salary per day of Manpower/staff deployed on work are same as worked out in claim no. 6 herein above = **Rs.40,846/-**

428. As per the observations at site during the progress of work during prolonged period it was observed that 60% of the Manpower/staff were working and the Manpower/staff were remained idle to the extent of 40 % period (Ave.) during the period of 23.05.2021 to 18.08.2021 (88 days).

429. Therefore, loss occurred due to idle/under-utilization of Manpower/staff
= Rs.40,846/- x 88 days x 40% = Rs.14,37,779/-(B)

Total losses for idle Machinery/equipment &

Manpower/staff under claim no. 7 = A + B = Rs.38,67,025/-

Amount claimed = Rs.36,92,400/-

The Claimants refer the Exhibits:

430. Letter dated 04.07.2020 (Exhibit C-3), 09.07.2020 (Exhibit C-4), 15.07.2020 (Exhibit C-5), 14.08.2020 (Exhibit C-7), 18.08.2020 (Exhibit C-8), 26.08.2020 (Exhibit C-9), 04.09.2020 (Exhibit C-10), 21.09.2020 (Exhibit C-13), 01.10.2020 (Exhibit C-14), 05.10.2020 (Exhibit C-15 Respondent's letter shifting of date of start), 13.10.2020 (Exhibit C-16), 03.11.2020 (Exhibit C-18), 25.11.2020 (Exhibit C-22), 06.12.2020

(Exhibit C-23), 26.12.2020 (Exhibit C-26), 04.04.2021 (Exhibit C-37), 28.04.2021 (Exhibit C-39), 06.06.2021 (Exhibit C-46), 05.07.2021 (Exhibit C-51), 14.08.2021 (Exhibit C-52), 18.08.2021 (Exhibit C-53) and 15.03.2022(Exhibit C-65).

431. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

432. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.**36,92,400/-** on account of loss incurred by the Claimant due to idle/under-utilized machinery/equipment, other T&P and Manpower/staff as per detail given herein above.

433. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.**36,92,400/-** in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 7.

Reply of the respondent:

Claim No. 7: Contractor's Claim of Rs.36,92,400/- on account of loss due to overstay, idle/ under-utilization of manpower/ staff, machinery, equipment, centering, shuttering & other T&P etc. during the prolonged period of contract due to various decisions not given in time and other hindrances as a result there was delay in work due to breach of contract by the Respondent.

434. The work was stipulated to be completed on 22.05.2021, but on claimant's request the date of completion was shifted 23.07.2021 due to various hindrances submitted by them. The loss incurred to the claimant due to its own mismanagement and because of his slow work.

435. After the allotment of said work despite repeated reminders the claimant did not submit the completion programme as per agreement conditions (R-17). The pace of the work was very slow and claimant was directed to deploy sufficient Nos. of manpower, machinery and materials etc. so that the work could be completed within the stipulated period (R22) & (R-33). The claimant was again requested to submit

the revised completion programme and adhered to the programme already submitted.

436. The claimant was also given a warning to take action under the appropriate Clause of the Agreement (R-37). The claimant was directed to execute the work at war footing at all the sites with adequate arrangements of manpower, materials and machinery etc. (R-38).
437. The Respondent always fulfilled its responsibility as and when it was due. The total delay was attributed to the claimant only. The site of Chaura Fwd was handed over to the claimant on 28.08.2020 and the sites of Bemial and Dhinda handing over on 24.09.2020 as per site order book. All the "Good for Construction" were supplied to the claimant well in time. It is totally false and fabricated averment that progress of the work suffered due to non-providing of decisions/GFC drawings in time. There was never any manpower, staff, machinery and equipment, centering, shuttering, other T&P etc. remained idle/unutilized at site of work due to site not decided in time, non-decisions and due to various hindrances attributed to the Respondent. The claimant was requested many times to expedite the progress of the work and deploy required resources like T&P, man, machinery etc. but he always remained failed to achieve the targets as per completion programme submitted by him (R-71). A number of letters were written from time to time for slow progress, non-deployment of machinery, manpower and other required resources.
438. The work remained stopped/partially stopped was always due to the mismanagement of the claimant. It is crystal clear from the letters written to the claimant by this office vide letter No.23(21)/EE/BFD11/CPWD/ASR/2021-22/691 dated 27.08.2021 (R-57) and also AE,BFSD, letter No. 213 dated 24.08.2021 (R-82) that during the site visit it was found that the claimant had not engaged/deployed resources like manpower, materials, T&P etc. at the site. The details of the same are as under:-

- a) Chaura Fwd site:- No machinery, materials, T&P, manpower found available at site during site visit except some minor qty of TMT reinforcement approximately 1.00 M.T.
- b) Dhinda Site:- No machinery, materials, T&P, manpower found available at site during site visit.
- c) Bemial Site:- No machinery, materials T&P, manpower found available at site during site visit. 5 spans of culvert approximate length 30 mtr have been cast only. Some quantity on shuttering was available.

439. The Respondent provided the hindrances free sites, timely decisions regarding work, drawings and timely payments to the claimant. It is false and fabricated fact that the Respondent did not hand over the sites in time and not issued drawings timely, change of foundation design from raft to RCC pile work at chaura site and change in design at two other sites of the work, nondecisions to dispose of the surplus excavated earth, non-sanction of the deviation items and extra items as per the prevailing market rates etc. The reply given vide Respondent's letter No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/691 dated 27.08.2021 (R-57) and also AE,BFSD, GSP letter No. 213 dated 24.08.2021 (R82) should also be read as part and parcel of this para also. In this regard, the Hon'ble Ld. Arbitrator is requested to refer to the following Clauses of the Agreement: -

440. Additional Point No. 13 at Page No. 33 of the Agreement, "In the rainy or any other season the roads leading to site becomes muddy and now of water in nallahs increases hence keeping in view all the points the completion programme may be planned accordingly. No claim whatsoever will be entertained on this account".

441. Additional Point No. 10 at Page No. 33 of the Agreement, "The structural drawings are available with the department. However, during execution of work if any change or addition in design/drawings is required by the Engineer-in Charge due to site condition or other reason what so ever, the contractor shall implement the same in the execution of the work. Nothing extra shall be paid on this account".

442. It is also submitted that all the extra items submitted by the claimant were sanctioned by the Competent Authority which were admissible for the payment and the same was conveyed vide letter 23(24)/BFSD(GSP)/BFD-II/2021/191 dated 09.06.2021 (R-50).
443. It is a baseless, false and fabricated fact of the claimant that he had been put to huge losses under the head of idling/under-utilization of T&P, machinery and equipments and manpower/staff due to breach of contract by the Respondent. Even, the claimant has failed to submit valid documents like books of accounts, labour reports, EPF, ESIC deduction statements/ deposition statement as a proof of payment in support of his claim.
444. Reference is made to reply given in para 7.4 along with reference made to the Respondent's letter s therein which may be read as part and parcel of this claim.
445. The claimant is submitting the false and forged details of the machinery, equipments, labour/staff deployed at sites of the work. Reply of this point has already been given by the Respondent in aforesaid paras. It is nothing but only the Claimant's ill intentions to extract public money in wrong/undue manner with fabricated facts & statements.
446. The Respondent refers the Annexures: Letter dated 14/07/2020 (R-4), Letter dated 21/07/2020 (R-5), Letter dated 05/08/2020 (R-7), Letter dated 05/12/2020 (R-20), Letter dated 07/12/2020 (R-21), Letter dated 15/12/2020 (R-23), Letter dated 05/01/2021 (R-27), Letter dated 06/04/2021 (R-37), Letter dated 28/05/2021 (R-45), Letter dated 11/06/2021 (R-48), Letter dated 24/06/2021 (R-53), Letter dated 17/08/2021 (R-56), Letter dated 27/08/2021 (R-57).
447. The contract was determined as per justified and legitimate clause of the contract. Thus, the present claim is raised on the grounds of delay and prolongation of the contract, is without any substantial and cogent document and evidence and, thus, liable to be dismissed.
448. This claim is contrary to contract provisions and against the Public Policy of India.

Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Introduction

449. The Claimant has submitted Claim No. 7 seeking compensation of **Rs. 36,92,400/-** for loss incurred due to the idling and under-utilization of manpower, machinery, equipment, and other resources during the prolonged period of contract execution. The Claimant asserts that various decisions were not given in time, and hindrances caused by the Respondent led to delays in the work, amounting to a breach of contract. The Respondent contests the claim, arguing that the delay was attributable to the Claimant's mismanagement and slow pace of work.

Claimant's Position

450. The Claimant alleges that after the allotment of work, all necessary infrastructure, machinery, equipment, and manpower were arranged to commence work as per schedule. However, contractual defaults and hindrances caused by the Respondent resulted in idling and under-utilization of these resources.

451. The Claimant references various correspondences to establish the hindrances that led to delays in execution, including **Claimant's letter dated 15.03.2022 (Exhibit C-65)** and earlier letters cited in **para 4.11**. The Respondent, via **letter dated 05.10.2020 (Exhibit C-15)**, shifted the start date to **28.08.2020** due to non-handing over of the site. The Claimant emphasizes that no hindrance was caused or attributed to them.

452. The Claimant states that due to hindrances, the work remained stopped or partially stopped between 23.05.2021 and 18.08.2021, totalling 88 days. Further, 40% of machinery, equipment, T&P, and manpower were idle or under-utilized during this period. The losses are detailed as follows:

- a. **Loss due to idle machinery/equipment, T&P:** Rs. 2,07,038/- per day × 88 days × 1/3 × 40% = **Rs. 24,29,246/- (A)**
- b. **Loss due to idle manpower/staff:** Rs. 40,846/- per day × 88 days × 40% = **Rs. 14,37,779/- (B)**

Total Loss: Rs. 38,67,025/- **Claimed Amount:** Rs. 36,92,400/-

453. The Claimant refers to multiple exhibits supporting their claim, including:

- a. **Exhibit C-3 to C-16 (letters exchanged regarding delays)**
- b. **Exhibit C-37, C-46, C-51, C-52, and C-53 (hindrances during work execution)**
- c. **Exhibits C-81, C-83, and C-84 (supporting calculations for idle machinery and manpower costs)**

Respondent's Position

454. The Respondent refutes the claim, stating that the delay in completion was due to the Claimant's own mismanagement and slow progress. According to the Respondent:

455. The completion date was **originally 22.05.2021** but was **shifted to 23.07.2021** upon the Claimant's request.

456. Despite reminders, the Claimant failed to submit a completion program as required by agreement conditions (Exhibit R-17).

457. The Claimant was repeatedly directed to deploy sufficient manpower, materials, and machinery to expedite progress (Exhibits R-22, R-33, and R-38).

458. The work remained stalled primarily due to the Claimant's failure to mobilize resources as confirmed in letters dated 27.08.2021 (Exhibit R-57) and 24.08.2021 (Exhibit R-82).

459. Site visits revealed minimal or no machinery, manpower, or materials at Chaura, Dhinda, and Bemial sites.

460. The Respondent argues that all required approvals, site handovers, drawings, and decisions were provided in time. The delay was caused solely by the Claimant. Relevant agreement clauses cited include:
461. Clause 13 (Page 33): No claims for delays due to seasonal or muddy conditions.
462. Clause 10 (Page 33): Contractor must implement required design changes without extra payment.
463. The Respondent further states that the Claimant has failed to submit valid supporting documents such as **books of accounts, labor reports, EPF, ESIC deduction statements**, or any other proof of actual losses incurred.

Findings

464. Based on the review of exhibits and claims from both parties, it is evident that the contract experienced delays. However, the primary cause of the delay was attributable to respondent as he failed to handover site timely, to provide drawings timely and delayed the other decisions required for smooth progress of work.
465. Claimant has provided a detailed breakdown of losses incurred.
466. The Respondent has presented multiple correspondences highlighting the slow pace of work and lack of deployment of resources by the Claimant. Site inspections were cited by the Respondent's to show that the Claimant had failed to mobilize necessary manpower and machinery. Claimant has denied the same citing not decisions for smooth progress. Respondent has emphasised that through R57 dated 27.8.21 and R 82 dated 24.8.21 it was notified that there is hardly any machinery at site. These exhibits do not prove stand of the respondent as these letters are written after the contract was rescinded on 18.8.21. In other letters also respondents never notified claimant that what is machinery required and how much is deployed or how much manpower required and how much is deployed. In RA bills respondents certified that engineering staff has been deployed. In view of the above it is proved that claimant's Machinery, T&P and Manpower remained idle and could not be utilised fully.

467. As already decided in claim no 5 & 6 Rs 21638/- per day for labour for 88 days and 40% of idling Rs $21638 \times 88 \times 0.4 = \text{Rs}761658/-$

468. Loss of idle Machinery and equipment assessed as Rs $2,07,038 \times 88 \times 0.4 \times 1/3 = \text{Rs}24,29,246/-$ Apply a factor of 5% for market rates and 15% for mitigation of losses Rs $24,29,246 \times 0.95 \times 0.8 = \text{Rs}19,61,616/-$

Conclusion

469. Based on the above considerations:

Amount of Rs 27,23,274 is hereby awarded for idle manpower and machinery and equipment during prolongation of contract in favour of claimant.

Amount of Award Rs 27,23,274/-.

Claim No. 8 : Contractor's claim of Rs. 5,83,92,200/- on account of balance payment for the work executed under the contract and lesser rates paid in additional work/deviations/E.Is., short paid in quantities/rates, work done but not paid in final bill.

470. By present claim, the Claimant is seeking Rs. **5,11,75,548/-** by way of loss incurred to Claimant due to lesser payment in rates of deviation items/Lesser rates paid in Extra items/ Lesser quantities paid in the final bill/ work done under Extra items but not paid by the Respondent.

471. That the Claims under this Claim No. 8 on account of balance payment for work executed under the contract including deviations, extra items work etc. The Claimant had executed the works as per the requirement of the work at the instance and under the strict supervision of the Respondent, which are not paid fully/not paid to the Claimant. The Claimant refers Clause-12.2 & 12.3 of the contract with regard to payment of deviations and extra work executed under the contract. However, the Respondent has paid lesser amounts/not paid for the work done under the contract in respect of the following:

- i) Rates claimed by the Claimant for work executed in deviation in quantities beyond deviation limit but lesser rates paid by the Respondent.
- ii) Rates claimed by the Claimant for work executed in Extra items but lesser rates paid by the Respondent.

472. Work done in Extra items under the Agreement but not paid to the Claimant.

473. Work done under the contract in various contract items, but lesser quantity paid by the Respondent

474. The Claimant submitted the final bill on 07.03.2022 (**Exhibit C-80(page 152/1 to 152/106 Vol.-III of SOC)**). On the face of it, the Claimant incorporated all the items and quantities executed in the 6th and final bill for pass and payment. The Respondent has neither issued any notice to the Claimant nor obtained its consent for disallowing the Extra items/deviated quantities/claimed rates in the final bill. The Respondent has paid the alleged final bill on 27.03.2022 (**Exh. C-85 Part-III of SOC**) disallowing the various Extra/Deviation/Quantities/claimed rates for the work done under the contract and incorporated in the final bill.

475. The Claimant had executed various agreement items during the progress of work under the contract, as per the requirement of the work at the instance and under the strict supervision of the Respondents. The Respondents have not paid the rates for the quantities executed beyond the deviation limit for the various agreement items in terms of clause-12 of the Agreement. Various quantities have deviated beyond the deviation limit for which the claimants submitted the Analysis of rate of market rates and the Claimant is entitled to market rate of such contract items.

476. Further, the Claimant had also executed various extra/additional items for which the Respondent had wrongly derived the rates for said items. As the final bill was finalized by wrong derivation of rates for deviations/extra by the Respondents, therefore, the said final bill cannot be termed as final bill.

477. The Claimant had executed some extra work under the contract at the instructions of the Respondents for which the Claimant intimated the Respondent, but payment

has not been made to the Claimant. The Claimant also executed Extra work/extra items under the contract at the instructions of the Respondents for which the Claimant intimated the Respondent and accordingly the quantities executed by the Claimant and payment of these items have not been made by the Respondent. The Respondent has also reduced quantity of some of contract items executed at site and the work done under these items have been disallowed without giving any notice under clause-12.3 of the contract. **No notice was served for obtaining consent of the Claimant before approving/paying lesser rates for E.I./Deviation items/reducing the rates claimed by the Claimant.** The Claimants were under instructions of the Respondent to prepare R/A bills for the quantities at the rates (whether part or full) as were acceptable to the department. That is why only fair bills prepared as per instructions of the AE-in-charge/EE. The bills were submitted to the Engineer-in charge who passed and paid without any correction in quantities or rates. The instruction had to be followed to maintain cordial relation with the department, otherwise there could be no reason why we would not claim the due amounts and still would not submit the R/A bill at the actual market rates/for the due amounts. We were assured to pay the actual market rates to us as per the prevailing market rates in the final bill. Being under the financial dominance of the Respondent/ department we could not help it as our security deposit could be released only after payment of final bill.

478. The Respondent may argue that the Claimant has not adduced any documentary evidence to this effect. It cannot subscribe to the argument of the Respondent that the claimant has not adduced any documentary evidence in support of the alleged instructions, for the simple reason that no departmental officer could give at his own such instruction in writing. This Claim no. 8 is having huge due payments yet to be paid by the Respondent to the Claimant. The Claimant submitted the amounts claimed under this claim and rate analysis on the market rates prevalent at the time of execution of Extra/Deviation items in the work to Respondents vide letters annexed herewith marked as Exhibits Viz. letter dated 25.12.2020 (**Exhibit C-25**), 29.12.2020 (**Exhibit C-27**), 24.02.2021 (**Exhibit C-31**), 04.03.2021(**Exhibit C-32**),

18.03.2021 (Exhibit C-33), 19.03.2021 (Exhibit C-34), 03.04.2021(Exhibit C-36), 11.04.2021 (Exhibit C-38), 28.04.2021 (Exhibit C-39), 02.05.2021 (Exhibit C-41), 20.05.2021 (Exhibit C-43), 26.05.2021 (Exhibit C-44), 03.06.2021 (Exhibit C-45), 06.06.2021 (Exhibit C-46), 14.06.2021 (Exhibit C-48), 193 dated 14.06.2021 (Exhibit C-48 by AE), 04.07.2021 (Exhibit C-50), 05.07.2021 (Exhibit C-51), 04.01.2023 (Exhibit C-70), 02.02.2023 (Exhibit C-71) and 25.02.2023 (Exhibit C-72).

479. Without prejudice, the Claimant submit the details of its claim, which have been due to be paid to the Claimant details of which are furnished herein and the amount of this claim as per the details of due payments comes to Rs.5,11,75,548/- :

480. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

481. Thus, no reason exists on the part of the Respondent to avoid delay in releasing Rs.5,11,75,48/- on account of loss incurred by the Claimant due to lesser payment in rates of deviation items/Lesser rates paid in Extra items/ Lesser quantities paid in the final bill/ work done under Extra items but not paid by the Respondent.

482. Therefore, in view of afore-going the Hon'ble Arbitrator may be pleased to make and publish an Award for payment/refund of Rs.5,11,75,548/- in favour of the Claimant, M/s Satinder Mahajan and against the Respondent, Union of India in respect of its Claim No. 8. It is prayed for accordingly.

Reply of the respondent

Claim No. 8: Contractor's Claim of Rs.5,83,92,200/- on account of balance payment for the work executed under the contract and lesser rates paid in additional work/deviations/E.Is., short paid in quantities/rates, work done but not paid in final bill.

483. The claim of the claimant is false, baseless, malicious, without proof and afterthought. All the payments were made to the claimant as per Clauses of the Agreement and the Respondent never forced the claimant to do anything else

beyond the Terms & Conditions of the Agreement. The claimant was persuaded several times to submit the final bill as per Clause 6 of the Agreement and was also provided soft copy of the measurement to check and verify the same but the claimant did not come for joint measurement, the measurement of the balance work was done by the site staff of the Department and payment was made to the claimant in the 6th and Final Bill on 26.03.2022 vide voucher No. 52 dated 27.03.2022 (R-69). In this regard, please refer to AE BFSD GSP Letter Nos. 23(34)/BFSD(GSP)/BFD-11/2021/229 dated 18.10.2021, 23(34)/BFSD(GSP)/BFD-II/2021/233 dated 26.10.2021, and this office letter No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/807 dated 07.10.2021, No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/861 dated 28.10.2021, 23(21)/EE/BFD-II/CPWD/ASR/2021-22/89 dated 04.02.2022, No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/149 dated 22.02.2022 and No. 23(21)/EE/BFD-II/CPWD/ASR/2021-22/155 dated 23.02.2022. As such, no work was done by the claimant either measured jointly or otherwise, is left out for payment (R-76). Nobody can be awarded for his own faults, the delay was totally attributed to the claimant for his own faults, mismanagements and non-deployment of required manpower/ staff, materials, machinery and equipment and other T&P etc.

484. The claimant was asking again and again absurd rates and absurd extra items which were not admissible without going through the terms and conditions of the agreement. The items required for execution at site as per structural requirement, extra depth for excavations, piles etc. had been sanctioned and paid by the Competent Authority and was conveyed to the claimant vide this office letter No.23(21)/EE/BFDII/CPWD/ASR /2020-21/339 dated 06-04-2021 (R-38). The items which were not required had also been conveyed to the claimant through various letters by the respondent letter even no 1111 dated 31.12.2020.(R-27), 338 dated 06.04.2021 (R-37). All extra items which were admissible for payment had already been sanctioned by the competent authority. The Extra Item Statement No. I was sanctioned by AE vide letter No.23(34)/BFSD(GSP)/BFD-II/2021/131 dated 05.03.2021, Extra Statement No. II was sanctioned by EE vide letter No.

23(21)/EE/BFD-II/CPWD/ASR/2021/339 dated 06.04.2021 and Extra Item Statement No. 111 was sanctioned by AE vide letter No. 23(34)/BFSD (GSP)/BFD11/2021/176 dated 15.05.2021 (R-83). All the rates of extra items had been worked out by the Department as per Agreement provisions (R-54).

485. This claim is contrary to contract provisions and against the Public Policy of India.

486. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

FINDING ON CLAIM NO. 8

Claim Summary:

487. The Claimant, M/s Satinder Mahajan, has raised Claim No. 8 seeking an amount of ₹5,11,75,548/- on account of alleged underpayment and non-payment for work executed under the contract, including deviations, extra items (E.Is), and quantities executed but either not paid or paid at lower rates by the Respondent, Union of India. The Claimant contends that a total claim amount of ₹5,83,92,200/- was originally asserted, with ₹5,11,75,548/- specifically claimed in this head for various heads of shortfall in the final bill payment.

The Claimant asserts the following:

488. Execution of additional quantities and deviation items beyond deviation limits without corresponding payment at market rates, as per Clauses 12.2 and 12.3 of the contract.

489. Execution of Extra Items under Respondent's instruction but lesser or no payment made in final bill, with no prior notice or consent obtained by the Respondent while processing reduced or disallowed rates and quantities.

490. Final bill dated 07.03.2022 (Exhibit **C-80(page 152/1 to 152/106 Vol.-III of SOC)**) included all executed items and quantities, yet payments were made vide Voucher

No. 52 dated 27.03.2022 (Exhibit C-85 Part-III of SOC) without addressing or compensating for these deviations.

491. Work was executed under strict supervision and verbal assurances of Respondent's engineers. The Claimant was instructed to submit Running Account bills reflecting only department-accepted rates, with the assurance of final market-rate payment. Various communications were placed on record in support, including letters dated 25.12.2020 (Exh. C-25), 29.12.2020 (Exh. C-27), through to 25.02.2023 (Exh. C-72).
492. The Claimant alleges that the final bill was unilaterally closed without consultation, that quantities were reduced arbitrarily, and that several items were completely left out from payment despite execution.
493. Claim is made for loss incurred due to non-payment or underpayment of:
- a. Deviation items executed beyond permissible limits (market rates sought),
 - b. Extra items executed and either not paid or paid at reduced rates,
 - c. Agreement items paid in lesser quantities,
 - d. Works executed but omitted from final bill without any notice and justification.

Respondent's Defence:

The Respondent denies the entirety of Claim No. 8, asserting that:

494. All payments made were in accordance with the contractual terms and duly sanctioned by competent authorities.
495. The Claimant failed to comply with Clause 6 of the contract, by not participating in joint measurements despite repeated reminders.
496. The final bill was processed on 26.03.2022 and paid via Voucher No. 52 dated 27.03.2022 (R-69), after due measurements recorded by departmental staff.
497. Extra Items sanctioned and paid include:

- a. Extra Item Statement I via AE Letter No. 131 dated 05.03.2021,
 - b. Extra Item Statement II via EE Letter dated 06.04.2021,
 - c. Extra Item Statement III via AE Letter No. (GSP)/BFDII/2021/176 dated 15.05.2021 (R-83).
498. Communication regarding inadmissible extra items was conveyed to Claimant via letters including AE BFSD GSP Letter Nos. BFD-11/2021/229 dated 18.10.2021, 26.10.2021, and EE's letters 2021-22/807 dated 07.10.2021, 28.10.2021, 04.02.2022, 149 dated 22.02.2022 and 155 dated 23.02.2022.
499. The Respondent asserts that all admissible Extra Items were appropriately evaluated and paid. Rates were derived strictly in accordance with agreement provisions (R-54). There is no outstanding amount. The claim, they argue, is contrary to contract terms, lacks documentary support, and is not tenable in law.

Findings:

500. After reviewing the pleadings, oral arguments, and documentary evidence presented by both parties, including but not limited to Exhibits C-25 through C-72 on behalf of the Claimant and various correspondence and measurement records cited by the Respondent (R-27, R-38, R-54, R-69, R-76, R-83), the Tribunal notes the following:
501. There is credible documentary record indicating that the Claimant informed the Respondent of additional/deviation works executed under instructions of the Respondent and sought rate approvals in several letters over an extended period.
502. The Respondent has filed departmental letters and Extra Item Statements showing approval and payment for certain extra works. Further, the final bill appears to have been prepared by departmental staff and paid post departmental measurements which were done unilaterally and never accepted by the claimant.
503. Claimants have submitted that final bill was submitted on 7.3.22 after respondent failed to take joint measurements. There is no notice on record when respondent

fixed a date and time for joint measurement at site. When claimant submitted bill on 7.3.22, its measurements were never contested and comments and clarification on this bill was issued after passing of bill on 23.4.22. After submission of bill by claimant, respondent never asked the claimant that his measurements are not correct and work is being measured by them and be present at site for joint measurement. Respondent never informed that they have completed the measurements of balance work and bill is ready for payment. Respondent never invited claimant to inspect the bill and accept the measurement. Respondent submitted clarification on bill and measurements submitted by claimant much after passing of bill on 23.4.22. All the above actions of the respondent give reasonable doubt that respondent neither measured balance work properly nor checked the measurements submitted by the claimants much before the passing and payment of bill. Documents **of measurements C-161 and CD-17/1** submitted by the claimants proves that respondents wilfully omitted measurements after measuring work at site.

504. Claimant has contended that payments were made under duress in RA bills and assurances were given verbally for market rate reimbursement in final settlement. Claimant demonstrated that the deductions or reduced rates paid were protested contemporaneously and sought for revision of rates as per analysis submitted by him.
505. The absence of joint measurement and without raising any objection on the measurements submitted by the claimant well before the passing and payment of final bill invalidates the final bill.
506. Nonetheless, the Tribunal finds merit in aspects of the Claimant's position, especially in regard to:
- a. Quantities of Items wherever executed exceeded deviation thresholds were not measured and rates were not reconsidered. Large scale deviations in quantity of most of the items is justified by the balance work tender, where quantities taken in it are much more than it should have been worked out after deducting

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

quantities executed by the claimant. Following Annexure clearly proves that there was going to be large variations in the tender and respondent did not take decisions on rates of deviated and extra items. Annexure showing difference of quantities is tabulated as below :

Item No.	Ref. to MoRTH SDB		QTY AS PER ORIGINAL TENDER	QTY PAID IN FINAL BILL BY DEPARTMENT	BALANCE UNEXECUTED QTY	QTY AS PER JAS CONST AGREEMENT	QTY AS PER MGA AGREEMENT		TOTAL EXCESS QTY to be executed beyond qty. of original tender
			1	2	3=1-2	4	5	6=4+5	7=6-3
1	304	cum	10369	12794.01	-2425.01	23374	18432.15	41806.15	44231.16
		cum	0	8530.36	-8530.36	15595	15624.84	31219.84	39750.2
		cum	0	0	0	216	249	465	465
2	1500,1700 & 2100	cum	1242	275.89	966.11	626	585	1211	244.89
3	1500,17 & 2100	cum	2037	430.53	1606.47	981	985	1966	359.53
		cum	1854	366	1488	1196	1213	2409	921
4	1600& 200	Kg	225550	72523.55	153026.45	130290	177300	307590	154563.55
5	1600	Kg	181585	67143.3	114441.7	149771	218340	368111	253669.3
6	2706 & 2200	each	525	72	453	285	222	507	54
7	710.1.4 of IRC:78 & 2200	cum	1941	329.19	1611.81	1542	399	1941	329.19
8	710.1.4 of IRC:78 and 2200	cum	812	98.75	713.25	546	167	713	-0.25
9	2507.2	cum	1306		1306	1085	958	2043	737
10	2505	cum	1284	145.8	1138.2	749	544	1293	154.8
11	CPWD Specification	kg	5349		5349	3506	2610	6116	767
12	2702	cum	60		60	36	26	62	2
13	CPWD Specification	Sqm	3600		3600	2160	1440	3600	0
14	2504				0			0	0
		cum	220		220	155	65	220	0
15	2504	cum	146		146	103	43	146	0
16	2503				0			0	0
		cum	631	253.09	377.91	298	177	475	97.09
17	CPWD Specification	cum	3737		3737	3206	2104	5310	1573
18	305	cum	5574		5574	3391	2183	5574	0
19	401	cum	246.38		246.38	162	84.38	246.38	0
20	CPWD Specification	cum	99		99	65	34	99	0
21	CPWD Specification	cum	197		197	129	68	197	0
22	CPWD Specification	kg	3744		3744	2200	1544	3744	0
23	CPWD Specification	kg	56250	254.1	55995.9	33496	22500	55996	0.1

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

24	CPWD Specification	metre	4464		4464	2700	1764	4464	0
25	CPWD Specification	kg	280		280	170	110	280	0
26	700 & 2504	kg	4164	200.27	3963.73	2644	1320	3964	0.27
27	2600	metre	60.75		60.75	34	27	61	0.25
		CUM	20821	23318.62	-2497.62	368.65		368.65	2866.27
		CUM	0	0	0	2351	2058.3	4409.3	4409.3
		CUM	0	0	0	1567	1372.2	2939.2	2939.2
		CUM	0	0	0	1567	1372.2	2939.2	2939.2
		CUM	0	0	0	784	686.1	1470.1	1470.1
		CUM	0	0	0	784	686.1	1470.1	1470.1
		CUM	0	0	0	784	686.1	1470.1	1470.1

- b. Certain extra items reflected in Claimant's letters for which no express rejection or inclusion is evident on the record and some items which otherwise becomes payable on interpretation of BOQ and contract conditions. Many extra items which were denied to claimant have been added in balance work tender which proves that these items were justified as extra items and required to be executed and paid as extra items in present work. The very first item in balance work "Earth work in excavation----:" 6m to 9m depth has been added whereas same has been denied to claimant. Item No 29 of the balance work agreement "carriage of materials -----"
- c. Lead up to 5km beyond initial lead of 1km 5km to 6km
- d. 6km to 7km----- 9km to 10 km
- e. This clearly establishes that these items have been wilfully denied to the claimant.
507. Accordingly, the Tribunal is of the view final bill has not been prepared by the respondent as per conditions of contract and intentionally violated principals of natural justice. Bill and measurements submitted by the claimant is considered valid one subject to admissibility of certain items. The Tribunal does not find justification for the full quantum claimed but finds that the Claimant is entitled to partial relief and amount which is assessed as below:

508. Claimant has claimed five items for which measurement have not incorporated in the final bill by the respondent. Quantities of all these items are treated as final except for reinforcement steel where claimant has added quantities of overlap and chairs. As per agreement condition these items are not to be considered for payment. As such there is a total receipt of 184532 kg at site and 40000kg has been agreed to be taken back by claimant and claimed salvage value at Rs 30per kg. As per final bill quantity paid is $72523.55+67143.30=139666.85\text{kg}$. Balance quantity to be paid is $184532-139666.85-40000=4856.15\text{kg}$
509. Similarly, quantity of RCC is on higher side when corelated with theoretical cement consumption and total receipt of cement at site. Measurement of M15 24.4.cum quantity measured but not paid. (Exhibit C-161 Page 231/1 of Rejoinder Part V) Accordingly, quantity of RCC M15 and M25 have been modified.
510. Extra item No 2 Earth Work 3 to 6m less paid and market rate approved is less than submitted and not agreed. Respondent has not added component of dewatering. Agreement condition will not be binding for extra work. Claimant has claimed on actual observation but same is not agreed by respondent. In one of the analysis proposed by respondent a component of 7.5% is added for dewatering which is on very much lower side. I asses this 25% of other costs and add the same to get the reasonable rate.
511. Extra item 3 Earth Work 6 to 9m has not been paid despite being informed to respondent and executed at site. Necessity of the execution and admissibility has been proved as respondent himself has added this item in balance work tender as item 1 (c).
512. Extra Item No 4 for boring and installation of pile. Quantity of test pile has not been added, it being extra item and there was no condition in the agreement that measurement of test pile will not be done. Market rate submitted by the claimant

has not been approved timely and claimant has not agreed to reduced rate. As such 10m qty of test pile is allowed. DSR rate has been considered as Market rate.

513. Extra Item 5 & Extra Item 6 Claimant claims that there was no quantity of M15 in curtain wall hence extra item as per DSR which is applicable as per schedule F is allowed.
514. Extra Item 7 and Extra Item 9 There is no item in the BOQ for executing work under water conditions. Considered justified and payable.
515. EI 8, EI 10, EI 11, EI 12, EI 20, EI 21 and EI 22 are justified and payable as per DSR and CPWD specifications.
516. Extra Item 13 has been claimed for dewatering for executing agreement item no 1. As per respondent there is a condition in the agreement that nothing is payable for dewatering due to any reason. In view of the specific condition in the agreement this item is not payable.
517. Extra Item 14 and Extra Item 15 is the extra item required as item provided in the BOQ of agreement is as per Morth SDB which does not include components of loading unloading of excavated earth and neatly dressing of the same. Hence this item is justified as extra item.
518. Extra Item 19 There is no item of RCC in Deck slab above plinth level or superstructure. Hence this item as per DSR and as per CPWD specification is justified.
519. Extra Item 23 is not justified as per details submitted
520. Extra Item 24 is not Justified in view of specific condition provided in the agreement that for making any diversions and temporary structure nothing extra is payable.
521. In view of the above claim no 8 is allowed to the extent as per table below.

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

SR. No	Agg./ extra item no	Description of Item	Qty. in Agmt.	Unit	Qty. as per final bill submitted by cont.	Qty paid by dept.	Difference in qty	Rate claimed/ allowed	DSR 2021	Rate paid net	Diff. in Rate	Amount due to be paid
1	1	Earth work in foundations										
		Qty. B/F from TCMB, P-	10369.00	cum	20738.00	12794.01	7943.99	60.95		60.95	60.95	484186
					4612.63	0.00	4612.63	212.20	205.45	0.00	212.20	978800
2	2	Plain/RCC work M15										
			1242.00	Cum	133.53	275.89	-142.36			5469.07		-778577
3	3	Plain/RCC PCC M25 upto plinth										
			2037.00	cum	372.29	430.53	-58.24	0.00		5919.01	0	-344723
		Above plinth level										
			1854.00	cum	0.00	366.00	-366.00	0.00		6846.06	0	-2505658
4	4	Supplying fitting & placing TMT reinforcement in sub structure										
		Total =	225550.00	KG	84957.12	72523.55	4856.15	66.03		0.00	66.03	320652
5	5	do in superstructure										
		Total =	181585.00	KG	71925.16	67143.30	0.00	67.91		0.00	67.91	0
6	18	C/o Embankment and compacting to meet the reqt of table 300										
		Total =	5574.00	CUM	3733.29	0.00	3733.29	193.39		0.00	193.39	721981
7	28	Excavating and supplying of local earth										
		Total =	20821.00	CUM	31560.85	23318.62	8242.23	309.81		0.00	309.81	2553525
8	EI 1	Clearing jungle							2.31			
		Total =	0.00	SQM	37940.00	6500.00	31440.00	10.11	14.50	0.00	10.11	317858
						6500.00	31440.00	10.11		9.60	0.51	16034
9	EI2	Earth work in excavation depth 3m to 6m										
		Total =		CUM	10864.74	8530.36	8530.36	255.96		75.40	180.56	1540242
					10864.74	8530.36	2334.38	255.96		0.00	255.96	597508
10	EI 3	Earth work in excavation depth 6m to 9m										
		Total =		CUM	512.43	0.00	512.43	306.83		0.00	306.83	157228.9
11	EI4	Boring, providing cast in situ RCC piles Grade M25750mm							20.24			
		Total =		M	548.80	480.00	10.00	4695.00	4695.00	0.00	4695.00	46950
							480	4695.00		4278.00	417.00	200160
12	EI5	P/L RMC M 15 upto PL										
		Total =		CUM	127.80	0.00	95.70	7900.00		0.00	7900.00	756030
13	EI6	P/L RMC M 15 above PL										
		Total =		CUM	81.06	0.00	81.06	9023.30		0.00	9023.30	731428.7

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

14	EI7	Extra for laying concrete under water										
		Total =		CUM	1389.48	0.00	1389.48	716.75		0.00	716.75	0
15	EI 8	centering, shuttering - retaining walls										
		Total =		sqm	520.07	0.00	520.07	536.30		0.00	536.30	278913.54
16	EI 9	extra for laying concrte M25 under water										
		Total =		CUM	4095.40	0.00	4095.40	692.86		0.00	692.86	1486461.8
					2145.40							
17	EI 10	Centering and shuttering columns, pillars, piers										
		Total =		sqm	848.72	0.00	848.72	716.90		0.00	716.90	608447.37
18	EI 11	extra for additional height of centering and shuttering Columns, piers										
		Total =		sqm	655.58	0.00	655.58	551.80		0.00	551.80	361749.04
19	EI 12	extra for shuttering in circular or trapezoidal work										
		Total =		sqm	110.50	0.00	110.50	143.40		0.00	143.40	15845.7
20	EI 13	Extra for dewatering as per actual observation in agreement item no 1										
		Total =		cum	18213.93	0.00	18213.93	583.30		0.00	583.30	0
21	EI14	Loading and unloading excavated earth/ sandsoil										
		Total =		CUM	36727.80	0.00	36727.80	226.00		0.00	0.00	0
22	EI 15	Extra for levelling and neatly dressing disposed earth.										
		Total =		CUM	36727.80	0.00	36727.80	53.52		0.00	53.52	1965671.9
23	EI 16	Extra rates for work under water for BOQ item no 28										
		Total =		CUM	14101.12	0.00	14101.12	64.78		0.00	64.78	0
24	EI 17	Extra for stone work in opr under water for agrrement item no 10,16										
		Total =		CUM	1709.74	0.00	1709.74	692.86		0.00	692.86	0
25	EI 18	Cost of haulage excluding loading /unloading										

Case no. ARB/HSI/ASR CPWD/BFD-SM/
M/s Satinder Mahajan Vs UOI (Through EE, BFD-II)
Agreement No. 03/EE BFD-II/CPWD/ASR/2021-21

		excavated earth/sand/soil										
				T.km	85922.88	0.00	85922.88	47.50		0.00	47.50	4081336.8
26	El 19	P/L design mix concrete M25 all work above plinth level										
				CUM	366.00	0.00	366.00	10907.00		0.00	10907.00	3991962
					10.00		10.00	10907.00			10907.00	109070
27	El 20	Centering shuttering Suspended floor, roofs										
				sqm	167.06	0.00	167.06	668.30		0	668.30	111646.2
28	El 21	Extra for additional height in centering shuttering suspended floors										
				sqm	501.19	0.00	501.19	279.00		0.00	279.00	139832.01
29	El 22	Centering, shuttering for edges of slabs										
				sqm	49.56	0.00	49.56	737.30		0.00	737.30	36540.588
30	El 23	demolishing RCC work										
				CUM	25.85	0.00	25.85	0.00		0.00	0.00	0
31	El 24	providing and constructing temporary island of 30mx12m										
				m	84.00	0.00	84.00	13621.38		0.00	13621.38	1144195.9
											TOTAL=	20125298
											less GST 12% (applying factor of 0.1405)	2827604.4 17297694

Award: The Tribunal partially allows Claim No. 8. The Respondent shall pay to the Claimant an amount of ₹[17297694] towards deviation/extra items, underpayments, as elaborated above, All other components of Claim No. 8 are rejected.

Amount of Award Rs. 1,72,97,694/-

Claim no. 9: Contractor's claim of Rs. 40,73,100/- on account of depreciation of machinery, equipments, and other T&P etc. during its stay at site of work during the progress of work.

522. By present claim, the Claimant is seeking Rs.40,73,100/- by way of losses incurred to the Claimant by way of depreciation of its machinery/equipment, other T&P deployed at site of work during the entire period w.e.f. 07.07.2020 to 18.08.2021. The Claimant was kept waiting for the issue of GFC drawings, and also made victim of non-decisions to progress the work, therefore, the Claimant had to retain its all machinery, equipment, centering shuttering, scaffolding and other T&P at site.
523. This is to state that the work was never allowed to proceed smoothly for want of decisions from the Respondent for which the Claimant intimated delays attributed to the Respondent by way of various letters. In this context the reference is made to the letters referred under Para 4.12 of SOC. The Claimant kept in dark by the Respondent and did not convey the factual situation as to whether the Respondent has its intent to get the work completed or not. The Claimant requested vide its various letters as referred to in the claims herein above for providing decisions to carry on the work smoothly and are not repeated for the sake of brevity. Depreciation in Value of machinery/equipment, centering shuttering, other T&P, articles etc. has been worked on the basis of Life span of machinery in MORTH SDB Vol. II (Exh. C-84) and the equipments which are not available in the said publication practice prevalent in the market has been adopted and the details are places herein. The Claims submitted to the Respondents also contained claim for depreciation in the machinery/equipment, other T&P. Reference is made to letter annexed marked as Exhibits i.e. Letters dated 04.01.2023 (Exh. C-70), 02.02.2023 (Exh. C-71) and 25.02.2023 (Exh. C-72).
524. That the Respondent had not taken seriously the requests of the Claimant and the work got delayed due to the reasons attributed to the Respondent. Due to delay and unfruitful results over the period of stay of the machinery, equipment, centering shuttering, scaffolding and other T&P, it deteriorated badly at site. The Claimant

assessed the depreciation in cost of its machinery, equipment, centering shuttering, scaffolding and other T&P which were deployed at site of work as per the prevailing trade practice and economic life span as per the MORTH guidelines and is worked out as herein. Depreciation for the period of 01.08.2020 to 18.08.2021 of the machinery, equipment, centering shuttering, scaffolding and other T&P has been worked out.

525. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.
526. The Claimant is, therefore, contractually and legally entitled for the above compensation due delaying on the part of the Respondent.
527. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.40,73,100/- in favour of the Claimant and against the Respondent in respect of Claimant's Claim No. 9.

Reply of the Respondent.

Claim No. 9: Contractor's Claim of Rs.40,73,100/- on account of depreciation of machinery, equipments, and other T&P etc. during its stay at site of work during the progress of work.

528. This claim is contradictory to claim Nos. 5 & 7. The claimant has claimed the amount of Rs 64,32,900/- under claim No.5 on account of loss due to idle/under-utilization of machinery, equipment, centering, shuttering & other T&P etc. during stipulated period of contract and Rs.36,92,400/- on account of loss due to overstay, idle/under-utilization of manpower/staff, machinery, equipment, centering, shuttering & other T&P etc. during the prolonged period of contract. Moreover, the claimant is claiming the amount of Rs.40,73,100/- on account of depreciation of machinery, equipments, and other T&P etc. during its stay at site of work during the progress of work which is duplicity of the items claimed in claim Nos.5 & 7. Hence, the Hon'ble Arbitrator is requested to reject this claim in toto.

529. The claim of the contractor is false, baseless, and malicious, without proof and afterthought. The Respondent always fulfilled its responsibility as and when due. For the reasons beyond the control of the claimant, which were beyond the control of Respondent as well, time extension was granted as per Clause 5 of General Conditions of Contract. The total delay was attributed to the claimant only. All the "Good for Construction" were supplied to the claimant well in time. The structural drawings were issued to the claimant on 04.08.2020 and revised drawings on 22.12.2020 on site. There was no hindrance due to the revised drawings. In revised drawings of Bemial and Dhinda, only one cell was added and in Chaura Fwd, additional pile foundation was provided. It is totally false and fabricated averment that progress of the work suffered due to non-providing of drawings in time. There was never any manpower, staff, machinery and equipment, centering, shuttering, other T&P etc. remained idle/ under-utilized at site of work due to site not decided in time, non-decisions and due to various hindrances attributed to the Respondent. The claimant was requested many times to expedite the progress of the work and deploy required resources like T&P, man, machinery etc. but he always remained failed to achieve the targets as per completion programme submitted by him (R-71). Moreover, whatever resources were deployed by the claimant, were not properly managed by him. Idling of resources, if any, was also attributed to the claimant due to his poor resource management. Due to his failure to complete the work in stipulated/ extended time period, notices were issued to him to improve the progress of work. But the claimant always failed to show improvement in the progress of the work and as a result of which, the Department/ Respondent had to determine the Contract under Clause 3 of General Conditions of Contract. It is also worth mentioning here that all the valid dues including price escalation, have already been paid to the claimant in various RA bills and 6th and final bill of the impugned work.
530. In this regard, the Hon'ble Ld. Arbitrator is requested to refer to the Point No. 13 at Page No. 38 of Special Conditions of Contract which clearly states that "the rates for all items of work, shall unless clearly specified otherwise include cost of all labour, materials, T&P and other inputs involved in the execution of the item".

531. If the claimant had arranged the machinery, equipment, and other T&P etc. well in time and adhered the completion programme and Respondent/ Department's instructions well in time, the work could have completed within the time frame of the Agreement. Hence, the question on account of depreciation of machinery, equipment, and other T&P etc. does not arise. Hence, the claim is denied in totto.
532. This claim is contrary to contract provisions, baseless, frivolous, afterthought and against public policy of India.
533. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Background

534. The Claimant asserts that due to the delay in the issuance of GFC drawings and the lack of decisive action by the Respondent, the Claimant was required to retain machinery, equipment, centering shuttering, scaffolding, and other T&P at the work site beyond the reasonable timeframe. The depreciation suffered due to this retention is calculated as per prevailing trade practices and guidelines prescribed in MORTH SDB Vol. II. The Claimant relies on various correspondences (Exh. C-70, C-71, and C-72) to substantiate its argument that the delay was caused by the Respondent, thereby entitling the Claimant to compensation for depreciation.
535. The Respondent disputes this claim, arguing that it contradicts previous claims (Nos. 5 & 7), where the Claimant has already sought compensation for idle machinery and T&P. The Respondent maintains that all necessary resources, including drawings, were provided in a timely manner and that delays, if any, were attributable to the Claimant's inefficiencies. Furthermore, the Respondent invokes contractual provisions that explicitly state that the agreed rates for work execution include the costs of labour, materials, and equipment depreciation.

Findings & Decision

536. Upon examining the claims, responses, and supporting documents, the following observations are made:

- a. **Duplicity of Claims:** The Claimant has previously sought compensation for idle machinery under Claim Nos. 5 & 7, which raises concerns regarding double recovery of losses. If the machinery was idle, its depreciation would have been factored into those claims.
- b. **Responsibility for Delay:** The Claimant attributes delays to the Respondent; however, the Respondent has stated that structural drawings were issued on time (04.08.2020 and 22.12.2020) with minimal revisions that should not have hindered the progress of work.
- c. **Contractual Considerations:** Clause 13 of the Special Conditions of Contract specifies that the agreed rates include costs for all tools, equipment, and other necessary inputs for execution. Therefore, unless the contract provides for additional compensation for extended machinery stay beyond normal depreciation, the Claimant's entitlement to compensation remains unsubstantiated.

Award

537. Considering the arguments, evidence, and contractual terms, the Claimant's request for Rs.40,73,100/- on account of machinery and equipment depreciation **is denied**. The claim lacks distinct merit apart from prior claims already submitted and does not establish direct liability on the part of the Respondent for any extraordinary depreciation beyond industry norms.

538. The arbitration tribunal finds no basis to grant additional compensation under Claim No. 9. The claim is **dismissed**.

Amount of Award Nil

Claim No. 10: Contractor's claim of Rs. 35,60,500/- on account of Lesser output of labour and machinery due to substantial period of working time of labour and staff and machinery/equipment was being wasted every day during security checks in the morning and evening and during day time.

539. By present claim, the Claimant is seeking Rs. 35,60,500/- on account of lesser output/wastage of time of labour/staff and under-utilization of machinery/ equipment as per details set out here-under. In order to avoid prolixity, the Claimant crave reference to the facts set out under para C3.2 to E5.3 of SOC explaining the delays in work attributed to the Respondent. The Claimant refers specifically EOT submitted vide its letter dated 15.03.2022 (Exh. C-65). **Progress of work hindered on account of restricted working hours, due to physical checking of labour/men/staff by the Security personnel every day at the time of entry and exit and during day which took minimum total 1.5 hour in the morning & in the evening every day during the period of contract i.e. w.e.f. 28.08.2020 to 18.08.2021= 1.5 hourx356 days x1/8 = 66.75 days or = 67 days**". Here the Claimant submits that all the resources deployed on the work viz. machinery, equipment, labour/staff, and other T&P remained under-utilized during above 67 days of hindrance and the Claimant suffered heavy losses by paying full wages/salary to the labour/staff and full payment/loss of hire charges of the machinery/equipment and other T&P for which the Claimant is entitled to compensation thereof.

540. Briefly, the Claimant had to engage specialized labour (skilled/unskilled) for executing the work in the border area and such labour was coming from Bihar and Orissa. In other words, no local labour was available for executing the present work. The labour/staff had to undergo thorough security checks in the morning hours while they were to move to the site and leave the site in the evening being site close to border.

541. Thus, for execution of the work, the Claimant arranged the labour from Bihar & Orissa who were specialized in carrying out such works. This is to state that no

other labour was available in the nearby state for the work at such border locations and thus thereby resulted the Claimant in an un-expected cost for its under-utilization as the Labour/staff, machinery/equipment etc. could not be put to use in any other work as the resources deployed were required very much for this work. The Claimant has suffered heavy losses due to under-utilization of its resources due to above hindrance in the work, of which the detail of losses is set out as here-under:

542. Number of work days lost due to 1.5 hours daily wastage of working time due to physical checking of labour/men/staff at the time of entry in and exit and during day time to time and as a result men/staff/machinery/equipment remained under-utilized during the period of 28.08.2020 to 18.08.2021 = 356 days x 1.5hour x 1/8 = 67 days

Less no. of days already taken under claim no. 5 above

67 days x 40% = (-) 27 days

Net days of work lost = 40 days

Average cost of labour/men/staff deployed on work per

month as per claim no. 6 = Rs.40,846/-

Average cost for hire charged of machinery/ Equipment &

other T&P etc. as per claim no. 5 = Rs.1,92,692/-

Therefore, loss incurred due to labour/men/staff

Time wasted in security checks = Rs.40,846/- x 40 day

= Rs.16,33,840/-(A)

Loss incurred due to machinery/equipment

And other T&P etc.'s time wasted in security checks

= Rs.1,92,692/- x 40 day x 1/3 = Rs.25,69,227/-(B)

Total amount of this claim(A+B) = Rs.42,03,067/-

Amount of claim under this claim no. 10 = Rs.35,60,500/-

Amount of claim changed due to correction of typographic error in calculations.

543. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

544. That absolutely, no reason exists on the part of the Respondent to avoid delay in releasing Rs. 35,60,500/- on account of losses incurred due to under-utilization of labour/men/staff and machinery/equipment and other T&P as per detail set out herein above.

545. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs. 35,60,500/- in favour of the Claimant and against the Respondent in respect of its Claim No. 10. It is prayed accordingly.

Reply of the Respondent.

Claim No. 10: Contractor's Claim of Rs.35,60,500/- on account of lesser output of labour and machinery due to substantial period of working time of labour and staff and machinery/equipment was being wasted every day during security checks in the morning and evening and during day time.

546. The Agreement was drawn between claimant & Respondent and both were bound & agreed to follow the Condition/ Procedure mentioned in the Agreement. As per Additional Point No. 4 at Page No. 32 of the Agreement (to be noted by the claimant before quoting the rate for which nothing extra shall be paid) of General Conditions of Agreement which envisages that "On account of security consideration, there could be some restrictions on the working hours, movement of vehicles for transportation of materials nothing extra shall be payable on this account or due to less/ reduced working hours etc. the claimant shall be bound to follow all such restrictions and adjust the programme for execution accordingly"

547. The Claimant had quoted his rates after considering effect of above already mentioned condition of the Agreement. Hence, on this account no claim is admissible and denied in totality.

548. Further, without having agreed to the admissibility of the claim as per terms and conditions of Agreement and without prejudice, it is stated that the calculation submitted in support of this claim by the claimant is unilateral and decided on imaginary assumptions and beyond the contract provisions. No valid documentary proof for deployment of considered staff in calculation of claim has been submitted by the claimant. Thus, this claim is not agreeable to the Respondent and liable to be rejected. Even, the claimant has failed to submit valid documents like books of accounts, labour reports, EPF, ESIC deduction statements/ deposition statement as a proof of payment in support of his claim.

549. This claim is contrary to contract provisions and against the Public Policy of India.

550. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Finding of the Arbitral Tribunal on Claim No. 10: Loss of Working Hours Due to Security Check at Entry

551. The Tribunal has considered the claim of the Claimant seeking compensation of **Rs. 35,60,500/-** on account of the loss of working hours due to security checks imposed at the entry and exit points during the contract period from **28.08.2020 to 18.08.2021**. The Claimant contends that the physical checking of labour/staff and machinery/equipment led to **1.5 hours of daily wastage**, cumulatively amounting to a loss of **67 working days**, and has submitted relevant facts and figures, including an **Extension of Time (EOT) request dated 15.03.2022 (Exh. C-65)**.

552. In its response, the Respondent has denied the admissibility of this claim, referring to **Additional Point No. 4 at Page 32 of the Agreement**, which explicitly states that **"On account of security considerations, there could be some restrictions on the working hours, movement of vehicles for transportation of materials. Nothing extra shall be payable on this account or due to less/reduced working**

hours." The Respondent argues that the Claimant had quoted its rates with full awareness of these conditions and had agreed to abide by them.

553. Furthermore, the Respondent has challenged the Claimant's calculations, asserting that they were **unilateral, based on hypothetical assumptions, and beyond contract provisions**. Additionally, the Respondent contends that the Claimant has failed to submit **valid documentary proof** of staff deployment, such as **books of accounts, labour reports, EPF, ESIC deductions, or deposit statements** in support of its claim.
554. Upon careful examination of the Agreement provisions, the Tribunal finds that the **restrictions on working hours due to security considerations were explicitly mentioned in the contract terms** and formed an inherent condition agreed upon by both parties. The Claimant, having been aware of these constraints prior to quoting its rates, **cannot now seek compensation for an agreed-upon condition**.
555. Moreover, the Tribunal finds **insufficient documentary evidence** submitted by the Claimant to substantiate its claim for loss of labour and equipment utilization. The claim is primarily based on estimated assumptions, rather than actual recorded data proving the quantum of losses suffered.
556. In view of the above findings, the Tribunal holds that **Claim No. 10 is not tenable under the contract provisions and is accordingly rejected**.

Amount of Award Nil

Claim no. 12 : Contractor's claim of Rs. 7,19,318/- on account of 15% p.a. interest on withheld amount of mile stones from respective date of withheld to date of release of the amounts.

557. That by present claim, the Claimant is seeking by way of interest Rs.7,19,318/-on the amount of withheld for mile stones which could not be achieved due to hindrances attributed to the Respondent.

558. This is to state that the work was never allowed to proceed smoothly for want of decisions from the Respondent for which the Claimant intimated delays attributed to the Respondent by way of various letters. In this context the reference is made to the letters referred under para 4.11 of SOC. The Claimant kept in dark by the Respondent and did not convey the factual situation as to whether the Respondent has its intent to get the work completed or not. The Claimant requested vide its various letters as referred to in the claims herein above for providing decisions to carry on the work smoothly and are not repeated for the sake of brevity.

559. The Respondents were to provide hindrance free site, required decisions, drawings and payments to the Claimants, some of the factors causing hindrance are furnished viz. **non-handing over of site in time, non-issue of good for construction drawings, change of foundation design from raft to RCC Pile work at Chaura site and change in design at two other sites of the work, non-decision to dispose of the surplus excavated earth, non-sanction of the deviation items and Extra items as per the prevailing market rates, various other decisions not given in time and all these factors contributed to delay in execution of the work.** All these things were not made available for work in time which resulted in forced stop of the work time to time for long periods resulting in delay of work. In view of above the Respondent were not required to withheld mile stones instead they were required to shift the mile stones in view of hindrances on their part. The detail of calculations for interest on withheld amounts of mile stones is as under:

Interest on 1st& 2nd mile stone deducted in 2nd R/A bill paid on 15.03.2021

Rs.27,96,072 x 15% x 382/365 days = Rs.4,38,945/-

(w.e.f. 15.03.2021 to 31.03.2022)

Interest on 3rd& 4th mile stone deducted in 5th

R/A bill paid on 31.07.2021 (w.e.f. 31.07.2021 to 31.03.2022)

= Rs.27,96,072 x 5% x 244/365 days = Rs.2,80,373/-

.....

Total under this claim Rs.7,19,318/-

560. The Claimant is, therefore, entitled for the above compensation due to breach of contract on the part of the Respondent.

561. That absolutely, no reason exists on the part of the Respondent to avoid delay in releasing Rs.7,19,318/- on account of losses incurred due to amounts withheld towards mile stones as per detail set out herein above.

562. Therefore, the Hon'ble Arbitrator may be pleased to Award a sum of Rs.7,19,318/- in favour of the Claimant and against the Respondent in respect of its Claim No. 12. It is prayed accordingly.

Reply of the Respondent.

Claim No. 12: Contractor's Claim of Rs. 7,19,318/- on account of 15% p.a. interest on withheld amount of mile stones from respective date of withheld to date of release of the amounts.

563. The assigned work was a time bound with target date of completion 22.05.2021, but on the request of the claimant the date of start was shifted to 28.08.2020 and, date of completion 23.07.2021. The work entrusted to the claimant was not completed due to claimant's wrongful delay and even mile stone were not achieved for which mile stones were withheld for Rs.7,19,318/- as he got failed to achieve the mile stones as per the Agreement. Every decision was given to the claimant as per the site and terms and conditions of the Agreement as and when requested by him. He was advised to expedite the progress of work by EE as well as by A.E. from time to time through letters, telephonically and verbally and through various meetings held with him or his representative. The claimant failed to follow the instructions given by the Respondent and thus non-achieved the mile stone. In this regard, the claimant may also refer Schedule 'F' Clause 5 and page no. 134 of the Agreement in which it is clearly mentioned that "In the event of not achieving the necessary progress, as assessed from the running payment, 1.25% of the contract value of work will be withheld for failure of achievement of each milestone". It's a term and condition of the contract for which no interest is payable.

564. Hence, this claim is contrary to contract provisions, baseless, frivolous, afterthought and against public policy of India. The Hon'ble Arbitrator is requested to refer to Clause 2 of the GCC at Page No. 14 of the Contract which is reproduced here:

Clause no. 2: Compensation for delay:

"If the contractor fails to maintain the required progress in terms of clause 5 or to complete the work and clear the site on or before the contract or justified extended date of completion as per clause 5 (excluding any extension under Clause 5.5) as well as any extension granted under clauses 12 and 15, he shall, without prejudice to any other right or remedy available under the law to the Government on account of such breach, pay as compensation the amount calculated at the rates stipulated below as the authority specified in schedule 'F' may decide on the amount of accepted Tendered Value of the work for every completed day/ month (as determined) that the progress remains below that specified in Clause 5 or that the work remains incomplete. Compensation for delay of work (i) With maximum rate @ 1% (one percent) maximum per month of delay to be computed on per day basis based on quantum of damage suffered due to stated delay on the part of Contractor. Provided always that the total amount of compensation for delay to be paid under this condition shall not exceed 10 % of the accepted Tendered Value of work or of the accepted tender value of the sectional part of the work mentioned in Schedule 'F' for which a separate period of completion is originally given.

565. In case no compensation has been decided by the authority in Schedule 'F' during the progress of work, this shall be no waiver of right to levy compensation by the said authority if the work remains incomplete on final justified extended date of completion. If the Engineer in Charge decides to give further extension of time allowing performance of work beyond the justified extended date, the contractor shall be liable to pay compensation for such extended period. If any variation in amount of contract takes place during such extended period beyond justified extended date and the contractor becomes entitled to additional time under clause 12, the net period for such variation shall be accounted for while deciding the period

for levy of compensation. However, during such further extended period beyond the justified extended period, if any delay occurs by events under sub clause 5.2, the contractor shall be liable to pay compensation for such delay.

566. Provided that compensation during the progress of work before the justified extended date of completion for delay under this clause shall be for non-achievement of sectional completion or part handing over of work on stipulated / justified extended date for such part of delay effects any other works / services. This is without prejudice to right of action by the Engineer in Charge under clause 3 for delay in performance and claim of compensation under that clause.
567. In case action under clause 2 has not been finalized and the work has been determined under clause 3, the right of action under this clause shall remain post determination of contract but levy of compensation shall be for days the progress is behind the schedule on date of determination, as assessed by the authority in Schedule F, after due consideration of justified extension. The compensation for delay, if not decided before the determination of contract, shall be decided after of determination of contract.
568. The amount of compensation may be adjusted or set-off against any sum payable to the Contractor under this or any other contract with the Government. In case, the contractor does not achieve a particular milestone mentioned in schedule F, or the rescheduled milestone(s) in terms of Clause 5.4, the amount shown against that milestone shall be withheld, to be adjusted against the compensation levied as above. With-holding of this amount on failure to achieve a milestone, shall be automatic without any notice to the contractor. However, if the contractor catches up with the progress of work on the subsequent milestone(s), the withheld amount shall be released. In case the contractor fails to make up for the delay in subsequent milestone(s), amount mentioned against each milestone missed subsequently also shall be withheld. However, no interest, whatsoever, shall be payable on such withheld amount".

569. Keeping in view of the above, this claim is frivolous not tenable as per contract provisions and under the eyes of law, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Claim No. 12: Contractor's Claim of Rs. 7,19,318/- on account of 15% p.a. interest on withheld amount of milestones

Background of the Dispute

570. The assigned work was time-bound, with an original target completion date of **22.05.2021**. Respondent stated that on the request of the claimant, the commencement date was revised to **28.08.2020**, with a new completion deadline of **23.07.2021** and due to delays attributable to the claimant, the work remained incomplete, and several milestones were not achieved. Consequently, milestone payments amounting to **Rs. 7,19,318/-** were withheld in accordance with the contract terms.

Claimant's Position

571. The claimant contends that interest at the rate of **15% per annum** is payable on the withheld milestone amounts from their respective dates of withholding until the dates of release. The claimant argues that the amounts were unfairly withheld and thus interest is due as compensation for delayed payment.

Respondent's Position

572. The respondent asserts that the amounts were withheld in strict adherence to **Schedule 'F', Clause 5** of the agreement, which stipulates that **1.25% of the contract value shall be withheld for failure to achieve each milestone**. Furthermore, **Clause 2 of the General Conditions of Contract (GCC) at Page No. 14** clearly states that withheld amounts due to milestone non-achievement shall not

carry interest. The respondent also highlights multiple attempts made to prompt the claimant to expedite the work, including written communications, telephonic discussions, verbal instructions, and meetings.

573. The respondent maintains that the claim is **contrary to the contract provisions, frivolous, baseless, and against public policy of India**, warranting outright rejection.

Findings and Decision

574. Upon examination of the contract documents, including **Schedule 'F', Clause 5, and Clause 2 of the GCC**, the Arbitral Tribunal finds the following:

- a. **The withholding of amounts due to milestone failures is explicitly stipulated under the contract terms.**
- b. Clause 2 of the GCC unequivocally states that no interest shall be payable **on withheld milestone amounts.**
- c. **The claim does not hold merit under contractual provisions, nor does it align with principles of equity or public policy.**

Award

575. Though there were hindrances in the work but claimant failed to submit a request for rescheduling of milestones at appropriate time. Based on the contractual terms, exhibits provided, and submissions made by both parties, the Arbitral Tribunal **rejects Claim No. 12 in its entirety**. The claimant is **not entitled to interest** on the withheld milestone amounts, and the claim is **dismissed**.

Amount of Award Nil

Claim No.13 : Contractor's claim for interest @ 15% p.a. for the amounts due for presuit, pendentelite and future.

576. The law relating to award of interest in arbitration from the due date/cause of action till the date of Award and from the date of Award to the date of payment is well settled that is, within the domain of the Hon'ble Arbitrator by virtue of provisions contained in Section 31(7) (a) & (b) of the Arbitration and Conciliation (Amended) Act, 2019.

577. The law is also well settled that neither party can take advantage of its own wrongs, in other words the party who has used the money of the other is liable to pay interest thereon or the party who has been prevented from using its own money is liable to be compensated by award of interest. Thus, for the facts and reasons set out hereinabove, it is apparent that the Respondent have made themselves liable to pay to the Claimant interest on the amounts that would be awarded in respect of Claims No.1 to 12 from respective due dates i.e. with effect from cause of action to the date of Award (pre-suit & pendentelite period) and thereafter from the date of Award till the date of payment (future period) and on claim no. 14 & 15 with effect from the date of Award till date of payment

578. Thus, in view of afore-going, the Claimant is entitled to interest @ 15% per annum or any other rate from the Respondent on the amounts that would be awarded in respect of claim no. 1 to 12 and 14&15 as stated above.

579. Therefore, in view of above, the Hon'ble Arbitrator may be pleased to award interest @ 15% per annum on the amounts that would be awarded in respect of aforesaid Claims in favour of the Claimant, M/s Satinder Mahajan and against the Respondent, Union of India in respect of its Claim No.13.

580. Thus, in view of afore-going, the Claimant is entitled to interest under claim no. 13 @ 15% per annum or any other rate from the Respondent on the amounts that would be awarded in respect of:

- i) Claims No.1 with effect from the date of 18.08.2021 to date of Award and from the date of Award till date of payment;
- ii) Claim No.2 with effect from 27.03.2022 to date of Award and from the date of Award till date of payment;
- iii) Claims No. 3,4,5,6,7,8,9 &10 with effect from 18.08.2021 to the date of Award and from the date of Award till date of payment;
- iv) Claims No. 11&12 with effect from 27.03.2022 to the date of Award and from the date of Award till date of payment and
- v) Claim No.14 & 15 with effect from the date of Award till date of payment.

581. Therefore, in view of above, the Hon'ble Arbitrator may be pleased to award interest @ 15% per annum compounded monthly on the amounts that would be awarded in respect of aforesaid Claims in favour of the Claimant, M/s Satinder Mahajan and against the Respondent, Union of India in respect of its Claim No.13 and it is prayed accordingly.

Reply of the Respondent:

Claim No. 13: Contractor's Claim for interest @15% p.a. for the amounts due to presuit, pendente lite and future.

582. In the lights of counter statement of facts given by Respondent and facts along with annexure presented here, it is clearly evident that all the claims of Claimant are afterthought, with mala-fide intentions and baseless. When no acceptable claims exist in the eyes of law and conditions of the contract, how interest can be paid thereon. Therefore, the Hon'ble Ld. Arbitrator is requested to note down the Claimant's ill intentions to extract public money in wrong/ undue manner with fabricated facts & statements and award 'Nil' in the said claims.

583. The Claimant claimed pre-suite, pendente lite and future interest on its claims. There is no doubt that the Hon'ble Ld. Arbitrator has power to award interest but when the claims submitted by the Claimant are itself false and misleading, there is no question of getting interest on these claims.

584. Further, without agreed to the admissibility of the claims as per terms and conditions of the contract and without any prejudice to the disputed claims, it is submitted that rate of interest claimed by the claimant is too exorbitant as the present rate of interest in Govt. Scheduled Banks is 4%.
585. In this regard, the Hon'ble Ld. Arbitrator may rely upon the judgment of Hon'ble Supreme court of India SCC 659(2002)(1) in Govt. of Rajasthan State and others V/s Nav Bharat Construction Company wherein the Apex Court has reduced the interest rate from 15% to 6%.
586. This claim is contrary to contract provisions and against the Public Policy of India.
587. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Claim No. 13: Contractor's Claim for Interest @ 15% p.a.

588. **Background:** The Claimant has preferred Claim No.13 seeking interest at the rate of 15% per annum (compounded monthly) on the amounts awarded in respect of Claim Nos. 1 to 12 and Claim Nos. 14 and 15. The claim is for three periods: pre-suit, pendentelite, and post-award (future). The Respondent opposes the claim in its entirety, alleging the claims are baseless and fraudulent and contesting the rate of interest as excessive.
589. **Legal Framework:** The law governing the award of interest is set out in **Section 31(7)(a) & (b) of the Arbitration and Conciliation Act, 1996 (as amended in 2019)**. As per these provisions:
590. The arbitral tribunal may award interest at a reasonable rate on the whole or part of the money awarded, for the whole or any part of the period between the date of cause of action and the date of the award.

591. Unless otherwise directed, the sum directed to be paid by an arbitral award shall carry interest at the rate of **2% higher than the current rate of interest** (as defined) from the date of award to the date of payment.

592. **Further**, in *State of Rajasthan v. Nav Bharat Construction Co.*, (2002) 1 SCC 659, the Hon'ble Supreme Court reduced the awarded interest rate to 6% in the absence of justification for higher interest.

Findings:

593. **Entitlement to Interest:** Upon review of the submissions, it is evident that the principal sums awarded under Claim Nos. 1 to 12, and 14 & 15 are established to the extent accepted in this award. As such, the Claimant is entitled to interest on these amounts under the established principles of law and equity.

594. **Periods of Interest Allowed:** The Claimant shall be entitled to interest on the awarded sums as follows:

Claim Nos.	From	To
Claim No. 1	18.08.2021/18.8.22	Date of Award
Claim No. 2	27.03.2022	Date of Award
Claim Nos. 3–7	22.06.2023	Date of Award
Claim Nos. 8,11	27.03.2022	Date of Award
Claim Nos. 14–15	Date of Award	Date of Payment

595. Additionally, **interest shall accrue from the date of Award till the date of actual payment** on all above claims.

596. **Rate of Interest:** Claimant has demanded 15 % interest compounded monthly. Given the prevailing bank lending rates and judicial guidance, and in the absence of any contractual provision to the contrary, a uniform rate of **9% per annum compounded yearly** is considered just and reasonable for two periods—pre-suit, pendente lite, and for post-award plus 2% i.e 11%.

Award on Claim No. 13: In view of the foregoing, the Tribunal hereby awards:

597. Interest @ **9% per annum (Compounded yearly)** on the amounts awarded under Claim Nos. 1 to 12 from the respective dates specified above until the date of Award.
598. Interest @ 11% per annum (simple interest) on the amounts awarded under Claim Nos. 1 to 12 and 14 from the date of Award till the date of actual payment.
599. **Final Directions:** This Award on interest is without prejudice to the other awards made in respect of the principal claims. The Claimant's prayer for compounding of interest monthly at 15% p.a. is declined in being on higher side. However, interest @9% compounded yearly is awarded.

Claim	Claimed Amount	Amount Awarded	Cause of action/ Due date	Award date	Time in days	Interest @9% compound ed yearly
Claim 1	6322648	5592144	18-08-2021	04-07-2025	1416	2222758
	(Sec.Dep.)	730504	18-08-2022	04-07-2025	1051	206067
Claim 2	176850	176850	22-06-2023	04-07-2025	743	33939
Claim 3	6254500	2712931	22-06-2023	04-07-2025	743	520630
Claim 4	4000000	10,37,181	27-03-2022	04-07-2025	1195	339121
	(10C material)	4,62,805	22-06-2023	04-07-2025	743	88815
Claim 5	6432900	5082894	22-06-2023	04-07-2025	743	975441
Claim 6	4311100	2293628	22-06-2023	04-07-2025	743	440163
Claim 7	3692700	2723274	22-06-2023	04-07-2025	743	522615
Claim 8	58392200	17297694	27-03-2022	04-07-2025	1195	5655730
Claim 9	4073100	0				
Claim 10	3560500	0				
Claim 11	3825026	3825026	27-03-2022	04-07-2025	1195	1250201

Claim 12	719318	0				12255480
Claim 14	Cost (15.0 Lakh)	850000				
	Total	42784931				
Claim 13	Interest 9% compounded yearly	12255480				

Total amount of Interest @ 9% compound yearly = Rs. 1,22,55,480/-

Claim No. 14 : Contractor's claim of Rs. 15,00,000/- on account of cost of arbitration if the above due payments are not paid by the department within 30 days of receipt hereof in that case we have to invoke relevant arbitration clause.

600. It is apparent from the facts as afore-stated that because of the Respondent's wrongful & arbitrary acts, the Claimant was constrained to recourse to arbitral proceedings for realization of its dues. The Respondent could have avoided costs of arbitration had it cleared the dues and avoided their wrongful acts. Thus, because of the Respondent's inefficiency, the Claimant has to incur expenses towards stenography, photocopying, fees and charges payable to the Arbitral Tribunal, fees to the Counsel/Advocate, Consultant, self-expenses for attending the case hearings etc. in preparation and prosecuting the arbitration for realization of the dues.

601. It is evident from the facts sets out herein above that the costs of Rs.15,00,000/- as claimed by the Claimant under the facts and circumstances of the case is just and reasonable and it is liable to be awarded. The law relating to award of costs of arbitration proceedings is well settled, that is, to follow the event. Nonetheless Section 31A of the Arbitration and Conciliation (Amended) Act, 2019 also empowers the arbitral tribunal to award such costs. Herein, the costs of arbitration claimed of Rs.15,00,000/- as set out here under in the facts & circumstances is just and reasonable and it to be awarded accordingly.

Arbitrator's fee as per CPWD's Arbitration fee structure :

i) Upto claim amount of 5.00 Lacs	=	Rs. 45,000/-
ii) Claims above 5.00 Lacs and upto 20.00 Lacs @ 2 %	=	Rs. 30,000/-
iii) Claims above 20.00 Lacs and Upto 100.00 Lacs @ 1.5%	=	Rs.1,20,000/-
iv) Claim above 100.00 Lacs and upto 1032.59 Lacs + 15% for 2 year = Rs.1342.24 @ 0.50%	=	Rs.6,71,184/-
Total	=	Rs.8,66,184/-

Add 25 % being Arbitral Tribunal a sole Arbitrator = Rs.2,16,546/-

Total =
Rs.10,82,730/-
.....

50% amount of fee to be paid by either party :

Amount of fee to be paid by the Claimant @ 50 % = Rs.5,41,365/- (A)

Secretariat service charges @5% on (A) = Rs.27,068/-

Advocate/Consultant's fee to be paid by the Claimant: = Rs.9,50,000/-

Claimant's expenses from Pathankot to attend

Hearings i/c stay at Chandigarh by car
10x15000/hearing = Rs.1,50,000/-

Stationery, clerkage, Photocopying the documents,

Postage, Misc. expenses etc. = Rs.50,000/-
.....

Total amount under this claim = Rs.17,18,433/-

Amount claimed under this claim = Rs.17,18,450/-

602. Therefore, in view of above, the Hon'ble Arbitrator may be pleased to award costs of **Rs.17,18,450/-** in favour of the Claimant, M/s Satinder Mahajan against the Respondent, Union of India in respect of Claimant's claim no. 14.

Reply of the Respondent.

Claim No. 14: Contractor's Claim of Rs.15,00,000/- on account of cost of arbitration if the above due payments are not paid by the Respondent within 30 days of receipt hereof in that case we have to invoke relevant arbitration clause.

603. The Claimant has unnecessary dragged the Respondent into unwanted arbitration. By the reply of Respondent which holds facts and documents in proper shape and manner to defend its reply, it is clearly evident that Claimant was ill intentioned, ready with fabricated and false claims and intended to extract ex-chequer money. The Claimant's ill intention for arbitration to get undue benefits and putting Respondent into difficulty and unwanted labour for personnel and Government machinery.

604. The Claimant has put the Respondent under Arbitration for its false claims and for its own un-contractual actions. The calculation of cost of Rs. 15,00,000/- claimed by the Claimant is wrong and hence, denied by the Respondent.

605. The Hon'ble Arbitrator is prayed to reject this claim with a 'nil' award against this claim as per the mandate of the Arbitration Act.

606. This claim is contrary to contract provisions and against the Public Policy of India.

607. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

Background

608. The Claimant has raised a claim for **Rs. 17,18,450/-** towards the costs incurred in the arbitration process, alleging that the Respondent's wrongful acts necessitated these proceedings. The Respondent, on the other hand, has argued that the arbitration was unwarranted, baseless, and initiated with ill intent, urging the rejection of the claim in its entirety.

Findings

609. Upon careful examination of the submissions from both parties, the Hon'ble Arbitral Tribunal finds as follows:

610. It is evident that the Claimant has had to bear expenses related to arbitrator's fees, legal counsel, logistical arrangements for hearings, secretariat service charges, and other administrative costs. These expenditures appear to be directly linked to the arbitration proceedings.

611. As per **Section 31A of the Arbitration and Conciliation (Amendment) Act, 2019**, costs of arbitration may be awarded based on the principles of justice and fairness. The tribunal acknowledges that some of the claims of the Claimant regarding arbitration costs are justified in view of the facts and circumstances of the case.

612. While the Respondent has argued that arbitration was initiated unnecessarily, the Claimant has demonstrated that non-payment of dues led to the invocation of arbitration. The Respondent had the option to settle outstanding dues to avoid arbitration but failed to do so.

613. The amount claimed by the Claimant includes legitimate expenditure towards arbitral fees, legal representation, and administrative costs. However, certain expenses appear to be excessive and require moderation.

Award

614. In light of the findings, the Hon'ble Tribunal determines that the Claimant is entitled to partial reimbursement of arbitration costs. I asses Rs 8,50,00/- as reasonable cost as per details submitted. **Accordingly, the Respondent, Union of India, is directed to compensate the Claimant, M/s Satinder Mahajan, an amount of Rs. 8,50,000/- towards arbitration expenses.**

Final Direction

615. This arbitration award is binding upon both parties, and the awarded sum of **Rs. 8,50,000/-** is to be paid by the Respondent.

Amount of Award Rs 8,50,000/-

Claim No. 15 : Contractor's claim towards Liability of GST on the Award amount including interest under the aforesaid contract the same shall be borne by the department or reimbursed to the Claimant if paid by him as applicable at that time.

616. By present claim, the Claimant is seeking GST payable on the amounts that would be awarded in respect of the Claimant's Claims along with interest thereon and to hold such GST would be payable by the Respondent or to be reimbursed by them.

617. This is to state that during the progress of work and the work executed and paid by the Respondent, the Claimant has accordingly paid GST on the work done which was applicable on the contract rates/amount in the contract for the entire period up to 18.08.2021 when the work was determined i/c on the final bill which was paid on 27.03.2022. The Government has introduced New Tax in the State of Punjab known as GST w.e.f. 01.07.2017 to be payable now @18% including on the amounts that would be awarded along with interest thereon. This is to further state that as a result of GST, the Punjab works contract Tax was abolished in the State of Punjab.

618. This is to state that nowhere it stipulates that the New Tax introduced by the Government would not be payable by the Respondent.
619. Herein, reference is made to the provisions contained in Clause 34 of the Agreement and the GST payable on the Award amount i/c interest thereon by the Respondent as the Claimant has no liability towards GST after payment of final bill as the Award would be over and above the contract rates quoted by the Claimant.
620. Thus, having regard to the aforesaid provision in the Agreement, no reason exists on the part of the Respondent to deny their liability to pay the GST payable on the amounts that would be awarded in respect of the Claimant's Claims along with interest thereon.
621. Therefore, in view of afore-going the Hon'ble Arbitrator may be pleased to hold that the amount of GST payable as applicable on the date of payment on the amounts awarded in respect of the Claimant's Claims along with interest thereon would be payable by the Respondent or to be reimbursed by them to the Claimant in respect of its Claim No.15.

Reply of the Respondent:

Claim No. 15: Contractor's Claim towards liability of GST on the Award amount including interest under the aforesaid contract the same shall be borne by the Respondent or reimbursed to the claimant if paid by him as applicable at that time.

622. In the lights of counter statement of facts given by Respondent and facts along with annexure presented here, it is clearly evident that all the claims of Claimant are afterthought, with mala-fid intentions and baseless.
623. Under what law of land the claimant can claim such claim and can be adjudicated upon by the Hon'ble Tribunal under the Arbitration Act. All statutory liabilities have to be borne and claimed under that specific statute as per the procedure under the same.

624. Further, when no claim exists in the eyes of law and conditions of contract, no GST reimbursement including interest is admissible and not tenable. Therefore, the Hon'ble Ld. Arbitrator is requested to go through the Claimant's ill intentions to get public money in wrong/ undue manner with fabricated facts and statements and award 'nil' in the said claims.

625. This claim is contrary to contract provisions and against the Public Policy of India.

626. Keeping in view of the above, this claim is frivolous not tenable under the eyes of law and as per contract provisions, liable to be rejected. Therefore, the Hon'ble Ld. Arbitrator is requested to reject the claim forthwith.

Analysis and Award

627. It is agreed that now GST is to be paid by the contractor on Award payment to be received by the contractor. Accordingly, the claimant will be required to pay GST on the award amount whenever it is paid to the claimant by the respondent and the GST is not included in the award amount. Thus, the claimant is entitled for the reimbursement of GST paid on award amount by the claimant.

628. The claim is sustained and GST shall be payable by the respondent to the claimant on reimbursement basis on the total award amount, on GST rates prevalent at the time of implementation of award. The claimant shall pay GST as per applicable rules of GST and submit documentary evidence of GST necessarily and properly paid to seek reimbursement of the like amount from the Respondent.

629. **The reimbursement of the GST as stated in para above will be made within one month of the production of the proof of payment made to GST department by the claimant, failing which the respondent will pay a simple interest @ 9% PA for the delay period beyond one month till the date of payment.**

Counter Claim of the Respondent: Counter Claims of the respondent:

630. The Respondent requests the Ld. Arbitrator to also adjudicate the counter claims of the respondent of amounting to Rs. 12,61,150/- as under:

Cost	Brief description of the cost	Amount (Rs.)
a.	Arbitrator Fee+ Secretariat Services Charges.	Rs. 3,28,125/-
b.	Lawyer/ consultant fee	Rs. 3,33,025/-
c.	TA/DA for Arbitration i/c man hour cost.	Rs. 4,00,000/-
d.	Cost of stationery and Incidentals.	Rs. 2,00,000/-

631. Arbitrator Fee as per CPWD's Arbitration fee structure:

1	Upto claim amount of 5.00 lacs	Rs.45,000/-
2	Claims above 5.00 lacs and up to 20.00 lacs @ 2%	Rs.30,000/-
3	Claims above 20.00 lacs and up to 100.00 lacs 1.5%.	Rs.1,20,000/-
4	Claim above 100.00 lacs and up to 1032.60 lac 0.50%.	Rs.4,66,303/-
Total		Rs. 6,61,303/-
Restricted to maximum ceiling of Rs.5 lacs as per O.M. No.2/2006/SE(TLC)/CSQ/137 dated 19 th November, 2019		Rs. 5,00,000/- (A)
5	Add 25% additional amount a Sole Arbitrator 50% amount of fee to be paid b either art	Rs.1,25,000/- (B)
6	Amount of fee to be paid by the Respondent of Rs. 6,25,000/- A+B	Rs. 3,12,500/-

632. Secretariat service charges @ 5% of fee payable:

Rs.16,406/- (5% of 3,28,125/-)

Lawyer/consultant fee:

Hearing attended charges 09000/ per hearing.

No. of hearings 20 Nos x Rs. 9000/-	Rs. 1,80,000/-
Conference charges — 20 x Rs. 450/-	= Rs. 9000/-
Drafting charges = 10 x Rs. 900/-	= Rs. 9000/-
Affidavit charges = 10 x Rs. 1350/-	= Rs. 13500/-
Application = 10 x 1125/-	= Rs. 11250/-
Misc. charges i/ c out of pocket expenses	= Rs. 60,000/-
Settling pleadings 10 x Rs. 2000/Total Rs.	= Rs. 20,000/-
	Rs. 3,02,750/-
Clerkage charges @10%	- Rs. 30,275/-
Total Rs.	=Rs. 3,33,025/-

(c) TA/DA for Arbitration :

TA/DA for attending hearing of 02 persons

CRS. 5000/- per hearing per person

Total No. of hearing = 20 Nos

20 x 2 x 5000/- = Rs. 2,00,000/Man hour costs of the employees involved Total Rs.
Rs. 2,00,000/-

(d) Cost of stationery and incidentals Rs. 4,00,000/-

Cost of Photocopies, stationery & other incidental charges.

= Rs. 2,00,000/-

633. The Respondent submits that the Claimant has unnecessarily put the Respondent under Arbitration for its own wrong doing and un-contractual actions and by creating disputes arose due to complete failure due to non-deployment of required manpower, material, required T&P, resources and mismanagement from the Claimant side. Respondent, being a Government organization runs from the valuable public money and the Claimant has no right to waste public money by creating disputes arising out of its own failure, mis-planning and mismanagement under this contract.
634. Therefore, Respondent counter claims for the costs of the arbitration amounting to Rs. 12,61,150/- which includes the man hour costs of the employees involved during the arbitral procedures, costs of pleadings and other miscellaneous charges & costs. The Hon'ble Arbitral Tribunal is prayed to award costs to the Respondent against the Claimant under this arbitration.

REPLY ON COUNTER-CLAIMS

Preliminary Objections:

635. At the outset, it is stated that the purported counter-claims tiled by the Respondent deserves to be rejected among other on the following preliminary objections:
- A. The Executive Engineer is not authorized to sign or file the Counter claims on behalf of the Respondent before the Hon'ble Arbitrator in the above arbitration.
 - B. The purported Counter-claims are untenable under the Contract and also
636. The purported Counter-claims are false, frivolous and it has come to be made in retaliation by way of a counter-blast.
637. The Respondent has not filed any documentary evidence to substantiate its counter claims
638. The Counter-claims are not the subject matter of reference as for which the Hon'ble Arbitrator has been appointed by the competent authority.

639. The above preliminary objections are without prejudice to one another and it may be treated as independent to one another.

640. Without prejudice to fore-going, preliminary objections, the Claimant submits preliminary submission and para-wise Reply to the purported Counter claims.

Preliminary Submission:

641. It is denied that the Respondent is entitled to any or the alleged amounts for any or the reasons set out under Counter-claims.

Counter claim No (a): Respondent's claim for Arbitrator Fee as per CPWD's Arbitration fee structure- Rs 3,28,125/-

642. The Counter-claims are misconceived, hence denied. The Respondent have raised the Counter-claim viz-a-viz [Or Rs.3,28,125/- on account of cost of arbitration has apparently come to be made as a counter-blast. The Respondent has not filed any documentary evidence, as non-exists to substantiate their Counter-claim. The Claimant submits that the counter claim is beyond the scope of arbitration and also the contract. Neither dispute was crystallized nor was any notice or demand made in respect of the purported counter-claim prior to filing of the Counter-claim before the Hon'ble Arbitral Tribunal.

643. The contract did not contemplate incurring any such expenditure on the part of the Claimant under any clause of the agreement.

644. The Respondent who themselves have created the disputes by committing breach of contract. It is submitted that the Respondent have dragged the Claimant into litigation for adjudicating of its genuine claims. Therefore, the cost as claimed by the Respondent may be rejected.

645. Necessary cost as incurred by the Claimant would be submitted for award in favour of the Claimant.

646. In order to avoid prolixity, the Claimant reiterates the submissions made hereinabove and reiterates the same.

647. Therefore, in view of afore-going, the Hon'ble Arbitral Tribunal may be pleased to dismiss/reject the purported Counter-Claim No. (a) of the Respondent.

Counter Claim No. (b) : Respondent's Claim for Lawyer/consultant fee -Rs. 3,33,025/-

AND

Counter Claim No. (c). TA/DA for Arbitration-Rs.4,00,000/-

AND

Counter Claim No. (d) : Cost of stationery and incidentals- Rs.2,00,000/-

648. The Counter-claims are misconceived, hence denied. The Respondent have raised these Counter-Claim viz-a-viz for Rs.9,33,025 /-(333025+400000+200000) on account of Lawyer/consultant fee, TA/DA for Arbitration and miscellaneous expenditure, such as cost of stationery and incidentals, have apparently come to be made as a counter-blast. The Respondent has not filed any documentary evidence, as non-exists to substantiate their Counter-Claim. The Claimant submits that the counter claim is beyond the scope of arbitration and also the contract. Neither dispute was crystallized nor was any notice or demand made in respect of the purported counter-claims prior to filing of the Counter-claims before the Hon'ble Arbitral Tribunal. The contract did not contemplate incurring any such expenditure on the part of the Claimant under any clause of the agreement.

649. The Respondent who themselves have created the disputes by committing breach of contract. It is submitted that the Respondent have dragged the Claimant into litigation for adjudicating of its genuine claims. Therefore, the cost as claimed by the Respondent may be rejected Necessary cost as incurred by the Claimant would be submitted for award in favour of the Claimant.

650. In order to avoid prolixity, the Claimant reiterates the submissions made hereinabove and reiterates the same.

651. Therefore, in view of afore-going, the Hon'ble Arbitral Tribunal may be pleased to dismiss/reject the purported Counter-Claim nos. (b), (c), & (d) of the Respondent.

652. The Respondent may please be restrained to file any further counter claim as no case has been made in the counter claims already submitted by the Respondent.

Analysis and Award

FINDING ON COUNTER-CLAIMS FILED BY THE RESPONDENT

653. The Hon'ble Arbitral Tribunal has taken note of the Counter-Claims raised by the Respondent amounting to ₹12,61,150/- towards expenses allegedly incurred in the arbitration proceedings. The claims are categorized under the following heads:

(a) Arbitrator Fee and Secretariat Service Charges (b) Lawyer/Consultant Fee (c) TA/DA for Attending Hearings and Man-Hour Costs (d) Cost of Stationery and Incidentals

654. The Tribunal has also considered the detailed reply and objections raised by the Claimant, both on maintainability and merit.

On Preliminary Objections:

655. The Claimant has raised several objections to the counter-claims, inter alia questioning the authority of the official filing them, the contractual basis of such claims, and the absence of any documentary proof. The Tribunal observes that no prior notice or substantiation has been submitted by the Respondent to support the alleged costs. Furthermore, the agreement between the parties does not contain any provision obligating the Claimant to reimburse or indemnify the Respondent for such internal or procedural expenses.

On Merits of the Counter-Claims:

656. **Claim (a): Arbitrator Fee & Secretariat Charges (₹3,28,125/-)** The Tribunal notes that arbitrator's fees and secretariat charges are institutional expenses and shared

unless otherwise agreed. The Respondent's unilateral claim for these costs lacks contractual basis and evidentiary support. The Tribunal finds no merit in this counter-claim.

657. **Claim (b): Lawyer/Consultant Fee (₹3,33,025/-)** Legal representation is a party's **prerogative** and cost of such services, unless awarded as part of costs by the Tribunal, cannot be claimed from the opposing party. No proof of such payment or justification has been submitted.

658. **Claim (c): TA/DA and Man-Hour Costs (₹4,00,000/-)** These are internal administrative expenses of the Respondent. The Tribunal finds no contractual or legal grounds for directing the Claimant to reimburse these sums.

659. **Claim (d): Stationery and Incidentals (₹2,00,000/-)** These are part of the internal functioning of the Respondent. No documentary support or credible estimation has been filed. The Tribunal does not find this head compensable.

Conclusion:

660. The Tribunal is of the considered view that the counter-claims of the Respondent are neither supported by documentary evidence nor tenable under the contract. They appear to be retaliatory in nature. Arbitration costs are awarded to the winning party or party whose claims are upheld. Since no claims of respondent are upheld, **all counter-claims filed by the Respondent are hereby dismissed.**

Amount of Award Nil

661. The list of the claims of the claimant is as under:

Claim no.	Description of Claims	Amount of the Claim	Amount Awarded
1	Claimant's Claim on account of non-release of Performance Guarantee & Security deposit due to illegal determination of contract by the Executive Engineer/ Superintending Engineer.	Rs 63,22,648/-	Rs 63,22,648 (Rs5592144+ Rs730504)
2.	Claimant's Claim on account of loss due to watch and ward arrangements kept under compulsion for the prolonged period of contract and till 30.09.2021	Rs 1,76,850/-	Rs 1,76,850/-
3.	Claimant's Claim on account of loss due to prevented earning of profit (Loss of productivity) due to non-providing of decisions in time and other hindrances caused by the Respondent as a result the work could not be completed in stipulated time and we could not earn requisite profit as the turnover remained lesser.	Rs62,54,500/-	Rs27,12,931/-
4.	Claimant's Claim on account of escalations in construction cost due to market inflation for the agreement items of work executed during the stipulated/ extended period of contract.	Rs. 40,00,000/-	Rs.14,99,986/- (Rs. 10,37,181/- + Rs. 4,62,805/-)

5.	Claimant's Claim on account of loss due to idle/under-utilization of machinery, equipment, centering, shuttering & other T&P etc. during stipulated period of contract due to various decisions, drawings not given in time and other hindrances as a result the machinery, equipment, T&P etc. as above could not be used to its full extent.	Rs 64,32,900/-	Rs 50,82,894/-
6.	Claimant's Claim on account of loss due to manpower/ staff remained idle/ under-utilized during the stipulated period of contract due to various decisions not given in time and other hindrances as a result the work delayed due to breach of contract by the Respondent.	Rs 43,11,100/-	Rs 22,93,628/-
7.	Claimant's Claim on account of loss due to overstay, idle/under-utilization of manpower/ staff, machinery, equipment, centering, shuttering & other T&P etc. during the prolonged period of contract due to various decisions not given in time and other hindrances as a result there was delay in work due to breach of contract b the Respondent.	Rs. 36,92,400/-	Rs. 27,23,274/-

8.	Claimant's Claim on account of balance payment for the work executed under the contract and lesser rates paid in additional work/ deviations/ E. Is., short paid in quantities/rates, work done but not paid in final bill.	Rs.5,83,92,200/-	Rs.1,72,97,694/-
9	Claimant's Claim on account of depreciation of machinery, equipment's, and other T&P etc. during its stay at site of work during the progress of work.	Rs. 40,73,100/-	Nil
10.	Claimant's Claim on account of lesser output of labour and machinery due to substantial period of working time of labour and staff and machinery/ equipment was being wasted every day during security checks in the morning and evening and during day time.	Rs.35,60,500/-	Nil
11.	Claimant's Claim on account of demand to release the amount of arbitrarily and illegally imposing low of compensation for delay in work when all the hindrances were attributed to the Respondent.	Rs. 38,25,026/-	Rs. 38,25,026/-

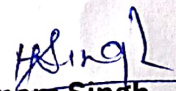
12.	Claimant's Claim on account of 15% p.a. interest on withheld amount of mile stones from respective date of withheld to date of release of the amounts.	Rs. 7,19,318/-	Nil
13.	Claimant's Claim for interest @15% p.a. for the amounts due to presuit, pendentelite and future.	Presuit, Pendentelite and future interest	Interest @ 9% Compounding Yearly (Para 599)
14.	Claimant's Claim on account of cost of arbitration if the above due payments are not paid by the Respondent within 30 days of receipt hereof in that case we have to invoke relevant arbitration clause.	Rs. 15,00,000/-	Rs. 8,50,000/-
15.	Claimant's Claim towards liability of GST on the Award amount including interest under the aforesaid contract the same shall be borne by the Respondent or reimbursed to the claimant if paid by him as applicable at that time	GST on award amount	Declaratory Award
	Total of claims	103260842	4,27,84,931
	Interest		@ 9% Compounded yearly Rs. 1,22,55,480

Counter Claims of the respondent:

Cost No.	Brief description of the cost	Amount (Rs.)	Amount Awarded
a)	Arbitrator Fee + Secretariat Services Charges	Rs.3,28,125/-	
b)	Lawyer/ consultant fee	Rs. 3,33,025/-	
c)	TA/DA for Arbitration i/ c man hour cost	Rs. 4,00,000/-	
d)	Cost of stationery and Incidentals	Rs. 2,00,000/-	
	Total	Rs,12,61,150/-	Nil
	Total of claims	Rs 10,32,60,842/-	Rs 4,27,84,931/-
	Interest to be paid	@ 15%	@ 9% compounded yearly 1,22,55,480/-

662. After careful examination of the pleadings, oral arguments, written submissions, case laws cited and documents filed and interpreting the provisions of the contract, I, Harnam Singh, Sole Arbitrator after critically analysing the claimant case and respondent case claim wise and vice versa, make sign and publish the award.

4-07-2025


Harnam Singh
Sole Arbitrator